Study Aids

Outline

# Contracts

Third Edition

Published by Quimbee

This content was downloaded or printed by Catharina Hacker (ana.carvalho@law.northwestern.edu) on February 27, 2026. This content is protected by U.S. copyright laws. Reproduction or distribution of this content without Quimbee's written permission is strictly prohibited.

Copyright © 2019 by Sellers International, LLC dba Quimbee®

Quimbee

# Contracts

**Quimbee Outlines**

## Table of Contents


I. Quickline **1**

I. Introduction **15**

II. Sources of Contract Law **15**

A. Goods, UCC 15

B. Contracts for the Sale of Goods v. Contracts for Services 16

C. Merchant, UCC 16

III. Formation of Contracts **17**

A. Offer 17

B. Acceptance 23

C. Intent 29

D. Consideration 29

E. Implied-in-Fact Contract 36

IV. Enforceability **37**

A. Void versus Voidable Contracts 37

B. Defenses to Enforceability 37

V. Interpretation **54**

A. Ambiguities 54

B. Rules of Construction 55

C. Clarifying Terms 56

D. General Obligation of Good Faith and Fair Dealing 59

E. Parol-Evidence Rule 60

VI. Performance **62**

A. Breach Generally 62

B. Breach, UCC Article 2 66


Quimbee

C. Anticipatory Repudiation, Common Law 71

D. Anticipatory Repudiation, UCC 73

E. Changed Circumstances 74

F. Conditions 80

G. Mistake 83

H. Discharge 86

VII. Warranties, UCC Article 2 **90**

A. Express Warranty 90

B. Implied Warranty of Merchantability 92

C. Implied Warranty of Fitness for a Particular Purpose 92

D. Modifying or Eliminating Warranties 93

VIII. Third Party Rights and Duties **95**

A. Beneficiaries 95

B. Assignment 96

C. Delegation 98

D. Assignment and Delegation under UCC Article 2 100

IX. Remedies **101**

A. Damages 101

B. Restitution or Quasi-Contract 105

X. Remedies, UCC **109**

A. Buyer's Remedies 109

B. Seller's Remedies Generally 110

Quimbee

# I. Contracts Generally

A contract is a legally enforceable exchange of promises between two or more parties.

# II. Sources of Contract Law

If a contract's primary purpose is the provision of services, it is governed by the common law of contracts. If a contract's primary purpose is the transfer of goods (*i.e.*, anything movable at the time of identification to the sale contract), it is governed by Article 2 of the Uniform Commercial Code (UCC). Even in the sale-of-goods context, the common law applies except to the extent that Article 2 displaces it.

# III. Formation of Contracts

A ***bilateral*** contract generally forms if one party makes an offer, and another party accepts the offer by manifesting assent to the offer's terms, provided there is adequate consideration. A ***unilateral*** contract exists if one party makes an offer, and the other party accepts by simply performing.

## A. Offer

An ***offer*** is a manifestation by an offeror that she is willing to enter a bargain, justifying acceptance by the offeree. The offer must be reasonably certain and communicated to the offeree, and it must not have terminated prior to acceptance.

## B. Acceptance

An offeree generally ***accepts*** an offer by manifesting ***unconditional assent*** to form a contract on the terms of the offer. An acceptance may consist of a promise or performance by the offeree, depending upon the terms of the offer.

### 1. Mirror-Image Rule

Under the common law, to accept an offer, the offeree must unconditionally agree to the exact terms of the offer (*i.e.*, the acceptance must be the ***mirror image*** of the offer). The mirror-image rule does not apply to contracts governed by UCC Article 2.

### 2. Mailbox Rule

Under the ***mailbox rule***, an acceptance by mail is effective upon ***proper dispatch*** (*i.e.*, once it is properly addressed, postage paid, and placed with the postal service).

### 3. Silence

With some exceptions, the general rule is that an acceptance may ***not*** consist of ***mere silence***—*i.e.*, failure to accept or reject an offer.

## C. Intent

A binding contract requires that the parties ***manifest intent*** to enter into a bargain, exchange, or similar arrangement under specific terms.

## D. Consideration

Forming a valid contract requires ***consideration***, *i.e.*, a ***bargained-for exchange*** of promises or performances.

### 1. Adequacy

Exchanges of value generally make for adequate consideration.

### 2. Preexisting Duty Rule

The performance of a legal duty that is ***already owed*** is generally ***insufficient*** for consideration.

### 3. Consideration Substitutes

In some circumstances, a contract that lacks consideration is enforceable through use of a consideration substitute.

#### a. Promissory Estoppel

***Promissory estoppel*** may permit enforcement of a promise made by a promisor to a promisee, without consideration, if (1) the promisor ***reasonably expects*** or should reasonably expect the promisee to rely on the promise; (2) the promisee in fact ***relies*** on the promise; and (3) as a result, the promisee suffers a ***substantial detriment***.

#### b. Statutory Substitute

In some states, a ***signed writing*** may form a contract under a statutory provision even without consideration.

## E. Implied-in-Fact Contract

A court may ***imply*** a contract if:

- one party provides another with valuable ***services***, ***property***, or ***money***;
- the recipient has ***reason to know*** of this;
- the circumstances reasonably indicate the services, property, or money was provided with the ***expectation of compensation***; and
- the recipient manifests ***assent***.

An express contract supersedes any implied-in-fact contract on the same subject.

# IV. Enforceability

A contract is generally ***enforceable*** upon formation. However, a breaching party may assert a ***defense*** to enforceability, which, if proven, renders the contract unenforceable.

## A. Lack of Capacity

A party may establish the defense of ***lack of capacity*** due to the party's (1) infancy, (2) mental illness or defect, or (3) intoxication at the time of the contract.

## B. Duress

A party may disaffirm a contract on the grounds of ***duress*** if the party's assent to the contract is induced by an improper threat leaving no reasonable alternative but to assent.

## C. Undue Influence

A party may generally disaffirm a contract on the grounds of ***undue influence*** if the party's assent to the contract is the product of unfair or excessive persuasion by someone who either (1) dominates the party or (2) shares a special relationship of trust and confidence with the party, so that the party is justified to think that the influencer will act in her best interests.

## D. Misrepresentation

A contract is voidable if a party's assent is induced by an ***untrue assertion*** that is fraudulent or material, provided the party's reliance on the misrepresentation is justified.

## E. Illegality

In general, a contractual promise is unenforceable on grounds of ***illegality*** to the extent a party would have to rely on the occurrence or nonoccurrence of an illegal act to support a right to relief under the contract.

### F. Public Policy

A contract is unenforceable to the extent that enforcement would ***contravene public policy***, *i.e.*, if enforcing it would be injurious or repugnant to the public interest or welfare or to good morals.

### G. Unconscionability

A party may assert the defense of ***unconscionability*** if both the bargaining process and terms of the contract are so one-sided as to be fundamentally unfair.

### H. Statute of Frauds

Under the statute of frauds, six types of contracts are ***unenforceable*** unless the terms are set forth in a ***writing signed by the party to be charged*** (*i.e.*, the party against whom enforcement is sought):

- ***suretyship*** contracts,
- ***land*** contracts,
- contracts that cannot be fully performed in ***one year***,
- contracts for the sale of ***goods*** for $500 or more,
- ***executor-administrator*** contracts, and
- ***marriage*** contracts.

## V. Interpretation

Ordinarily, courts will interpret a contract according to its plain meaning, unless the parties clearly intended a specialized meaning. However, terms may be ***ambiguous*** (*i.e.*, susceptible to more than one reasonable interpretation). Interpretation generally involves the application of ***rules of construction*** and the ***clarification of terms***.

### A. Ambiguities

A ***patent*** ambiguity appears on the contract's face. An ambiguity is ***latent*** if the agreement is clear on its face but admits multiple reasonable interpretations under the circumstances.

### B. Rules of Construction

Courts adhere to specific ***rules of construction*** in choosing among reasonable interpretations of a contract. These rules do not apply if the result would be inconsistent with the contract's clear, express language.

### C. Clarifying Terms

The terms of a contract must be ***reasonably certain*** for a court to enforce the agreement.

#### 1. Indefinite or Omitted Essential Terms

An ***indefinite*** term is left open or uncertain. An ***omitted*** term does not appear in the contract. If the indefinite term is ***essential***, then the court will likely void the contract for indefiniteness. However, if the parties intended to form a binding agreement, then the court will, if reasonable, supply a ***customary or reasonable*** term and enforce the contract.

#### 2. Misunderstanding

If both parties assigned the same meaning to an ambiguous term, a court will interpret the contract based on that meaning. If the parties understood different meanings, and one party knew of the other's understanding, a court will interpret the term against the party who knew of the other's understanding. If the parties assigned different meanings, and neither knew of the other's understanding, a court will void the contract for lack of mutual assent.

### D. General Obligation of Good Faith and Fair Dealing

In every contract, the law implies an obligation on both parties of good faith and fair dealing.

### E. Parol-Evidence Rule

The common-law ***parol-evidence rule*** provides that courts may not consider evidence of prior or contemporaneous oral or written agreements (or other evidence outside the four corners of the contract) to vary or contradict the unambiguous terms of an ***integrated agreement***.

## VI. Performance

An injured party to a contract is generally entitled to a remedy if the other party ***breaches*** the contract by failing to perform the agreed terms.

### A. Breach Generally

Technically, a ***breach*** is any failure to render full performance when performance is due.

#### 1. Effect of Breach on Nonbreaching Party's Duty of Performance

If one party commits only a minor or technical breach, the nonbreaching party generally may be entitled to damages but must still render performance. If one party commits a ***material breach*** by failing to render substantial performance when due, then the

nonbreaching party may ***suspend*** performance. The nonbreaching party's duty of performance is ***discharged*** if:

- the breaching party fails to cure the breach within a reasonable time after performance is due;
- time is of the essence;
- cure is impossible or apparently not forthcoming; or
- the breaching party ***repudiates*** the contract.

### 2. Tender or Offer of Performance by Nonbreaching Party

In general, a nonbreaching party must ***fully perform*** or, at the very least, ***tender*** performance (*i.e.*, credibly offer to perform) before she may avail herself of any remedies for breach.

## B. Breach, UCC Article 2

In general, the ***buyer*** breaches a contract for the sale of goods by:

- failing to make a payment when due,
- wrongfully rejecting goods,
- wrongfully revoking acceptance of goods, or
- repudiating the contract.

The ***seller*** breaches a contract for the sale of goods if the goods or their delivery deviate at all from the contract, because the ***perfect-tender rule*** provides that the goods and their delivery must conform to the contract in every respect. The UCC sets forth, among other things, the buyer's right to (1) inspect goods, (2) reject nonconforming goods, and (3) revoke acceptance of goods, as well as the seller's limited right to cure any nonconformity in the goods.

## C. Anticipatory Repudiation, Common Law

An ***anticipatory repudiation*** takes place when one party to a contract communicates to the other party that he will not perform under the contract, either by (1) a ***statement*** that clearly indicates an intent to breach or (2) a ***voluntary, affirmative act*** that renders (or apparently renders) a party unable to perform. An anticipatory repudiation generally allows the nonrepudiating party to terminate the contract ***immediately*** and obtain all appropriate remedies for breach of contract.

## D. Anticipatory Repudiation, UCC

If an anticipatory repudiation occurs, ***and*** the lost performance would ***substantially impair*** the contract's value to the nonrepudiating party, the nonrepudiating party may (1) immediately suspend performance and (2) either await the repudiating party's performance for a commercially reasonable time or immediately avail herself of any remedy for breach.

## E. Changed Circumstances

A breaching party's performance is ***excused*** if the circumstances since the contract have changed, so that performance is impossible or impracticable, or the principal purpose of the contract is substantially frustrated. The changed circumstances must result from an event (1) the nonoccurrence of which was a ***basic assumption*** underlying the contract (*i.e.*, an assumption that must be true for a party to receive the expected benefit of her bargain), (2) that is ***not*** the result of the nonperforming party's ***fault***, and (3) of which the nonperforming party has not ***assumed the risk*** (usually by contractual language).

### 1. Impossibility

A performance is impossible if it cannot be performed by anyone, not just the breaching party. Generally, only three types of events render performance impossible:

- the ***death or incapacity*** of a person necessary for the performance,
- the ***destruction*** of the subject matter, and
- the ***prevention*** of the performance by law.

### 2. Impracticability

Performance is impracticable if it will cause ***extreme and unreasonable*** difficulty, expense, injury, or loss to one of the parties, even if performance is still objectively possible.

### 3. Frustration of Purpose

A party's principal purpose is substantially frustrated if the other party's performance has become ***virtually worthless***, regardless of whether the performance is possible or practicable.

## F. Conditions

A ***condition*** is a term in a contract specifying an ***uncertain event*** that must occur before one of the parties is required to perform. A party may avoid performance if a condition has not occurred, and the nonoccurrence is not excused.

### 1. Types of Conditions

***Express*** conditions appear in the contract. ***Constructive*** conditions are implied by law.

### 2. Excuses for Nonoccurrence

An ***excuse*** for the nonoccurrence of a condition allows performance to become due even though the condition has not occurred. The most common excuses for nonoccurrence are:

- ***estoppel***, *i.e.*, if the obligee reasonably and detrimentally changes position in reasonable, foreseeable reliance on the obligor's promise to perform despite the condition's nonoccurrence, so that insisting on the condition would unjustly harm the obligee;
- ***waiver***, *i.e.*, if the obligor expressly communicates intent to waive the condition or accepts the obligee's performance despite knowing of the condition's nonoccurrence; and
- ***disproportionate forfeiture***, *i.e.*, if enforcing the condition would harm an obligee who has substantially relied, through preparation or performance, on the expectation of the exchange.

## G. Mistake

In contract law, a ***mistake*** is a belief that is not in accordance with the facts and law as they exist ***at the time of contracting***. A mistake may be ***mutual*** (*i.e.*, if both parties enter into the contract based on the same mistake) or ***unilateral*** (*i.e.*, if only one party enters the contract based on a mistake).

## H. Discharge

If a party's duty of performance is ***discharged***, then the party no longer owes that duty.

### 1. Accord and Satisfaction

An accord is created if the obligee agrees to accept a substitute performance in satisfaction of the obligor's existing duties.

### 2. Substituted Contract

In a substituted contract, the obligee accepts new contractual terms in complete, immediate discharge of the obligor's duties under the original contract.

### 3. Novation: Substituted Party

A novation is a type of substituted contract in which the parties agree to replace one party to the original contract with a new party who agrees to the substitution.

### 4. Mutual Rescission

A mutual rescission is a new contract in which each party to a prior contract agrees to immediately discharge all of the other's remaining duties of performance under the prior contract.

### 5. Release

A release occurs if one party agrees in writing to discharge a presently existing duty owed by the other party, either immediately or on the occurrence of a condition.

### 6. Contract Not to Sue

A contract not to sue exists if an obligee enters into a binding contract not to sue an obligor to enforce a duty.

## VII. Warranties, UCC Article 2

The sale of goods is often accompanied by a ***warranty***, which is an express or implied representation that the goods conform to a certain condition.

### A. Express Warranty

In general, an ***express warranty*** is the seller's overt representation that the goods conform to certain specifications. An express warranty may arise if the buyer relies on:

- an ***affirmation of fact*** or ***promise*** relating to the goods,
- a ***description*** of the goods, or
- a ***sample*** or ***model*** of the goods.

### B. Implied Warranty of Merchantability

If the seller is a merchant with respect to goods of the kind, the UCC implies a warranty of merchantability. Generally, goods are merchantable if they are ***fit for the ordinary purpose*** for which goods of the kind are used.

### C. Implied Warranty of Fitness for a Particular Purpose

Whether the seller is a merchant or not, the UCC implies a warranty of fitness for a particular purpose if, at the time of contracting, the seller either knows or has reason to know that the buyer (1) requires the goods for a ***particular purpose*** and (2) is relying on the seller's expertise or judgment to provide or choose goods ***suitable*** for that purpose.

### D. Modifying or Eliminating Warranties

Within limits, the parties may eliminate or modify warranties under UCC Article 2.

## VIII. Third Party Rights and Duties

Generally, contractual rights and obligations are imposed only on the parties to the contract. However, a third party may become involved as a ***beneficiary***, ***assignee***, or ***delegatee***.

### A. Beneficiaries

A third-party beneficiary is a nonparty to the contract who receives some advantage from the contract.

#### 1. Intended Beneficiary

A beneficiary is ***intended*** if giving the beneficiary a right to performance is appropriate to carry out the parties' intent, and either (1) performance would satisfy some debt the obligee owes to the beneficiary (making the beneficiary a ***creditor beneficiary***) or (2) under the circumstances, it appears the obligee intends to give the beneficiary the benefit of the promised performance, even as a gift (making the beneficiary a ***donee beneficiary***). An intended beneficiary may enforce the obligor's duties under the contract just as the obligee could, subject to the same defenses the obligor could assert against the obligee.

#### 2. Incidental Beneficiary

An ***incidental*** beneficiary is someone who would receive some indirect benefit from the contract's performance but is neither a party to the contract nor an intended beneficiary. An incidental beneficiary has no right to enforce the contract.

### B. Assignment

In an ***assignment***, an obligee under a contract (the assignor) transfers his contractual rights to performance from the obligor to a third party (the assignee), so that only the assignee may enforce the right against the obligor.

### C. Delegation

In a ***delegation***, an obligor under a contract (the delegator) arranges for a third party (the delegatee) to perform the obligor's duties.

### D. Assignment and Delegation under UCC Article 2

Absent clear contrary indication, a general assignment of all contractual rights ***also*** operates as a delegation of all the assignor's duties under the contract. If the assignee accepts the assignment, he is deemed to promise to perform those duties. Either the assignor or the obligee may enforce the implied promise against the assignee.

## IX. Remedies

When one party breaches an enforceable contract, the other party will be entitled to a ***remedy*** based on the circumstances of the resulting loss or injustice.

### A. Damages

An injured party may receive compensation for actual losses in the form of ***expectation***, ***reliance***, or ***liquidated damages***, subject to certain limitations.

#### 1. Expectation Damages

Expectation damages are intended to place the injured party in the position that she would have occupied had the contract ***been fully performed***.

##### a. Incidental Damages

Incidental damages arise in the ordinary course of events from the breach, which the breaching party should reasonably expect or foresee the injured party to incur.

##### b. Consequential Damages

Consequential damages arise from special circumstances peculiar to the injured party and are not recoverable unless the breaching party had reason to know of those circumstances.

#### 2. Reliance Damages

***Reliance damages*** are intended to place the injured party in the position that he would have occupied had the contract ***never been made***.

#### 3. Liquidated Damages

***Liquidated damages*** are a fixed measure of damages for breach set forth in the terms of the contract. An unreasonably large liquidated-damages provision is unenforceable as a ***penalty***.

#### 4. Avoidable Losses

Under the ***duty to mitigate loss***, the injured party may not recover damages for a loss that was ***avoidable*** without undue risk, burden, or humiliation.

### B. Restitution or Quasi-Contract

Restitution is a remedy intended to prevent ***unjust enrichment***—*i.e.*, if one party confers a benefit on another party, and under the circumstances, it would be unfair to permit the other party to retain the benefit without compensation. The general measure of recovery is the value of the benefit conferred on the recipient, not the loss to the party seeking restitution. If there has been unjust enrichment, the injured party is entitled to restitution whether or not there is an enforceable agreement.

### C. Specific Performance

Specific performance is an equitable remedy in which a court orders the breaching party to ***perform the party's contractual duty***, rather than to pay damages.

### D. Injunction

An injunction forbids a party from breaching a contract.

## X. Remedies, UCC

The UCC contains many provisions affording various remedies for breach.

### A. Buyer's Remedies

Upon any breach by the seller, the buyer may, with respect to the impacted goods (or with respect to the whole contract, if the breach materially impairs the value of the whole contract) (1) ***recover*** as much of the purchase price as the buyer has paid, (2) ***cancel*** the contract, and (3) ***elect*** other remedies as appropriate.

#### 1. Buyer's Damages for Nondelivery or Repudiation

If (1) the seller fails to make delivery, (2) the buyer rightly rejects the goods or revokes acceptance, or (3) the seller repudiates the contract, then the general measure of the ***buyer's damages*** is:

- the difference between the market price at the time the buyer learned of the breach and the contract price, plus
- incidental and consequential damages, less

- expenses saved in consequence of the breach.

### 2. Buyer's Damages for Accepted, Nonconforming Goods

If the buyer has accepted nonconforming goods, then the buyer may recover the difference, at the time and place of acceptance, between the value of the goods received and the value the goods would have had, if they had conformed to the contract. The buyer may also recover appropriate incidental and consequential damages.

### 3. Buyer's Right to Specific Performance

The buyer may obtain specific performance if the goods are ***unique*** or in other proper circumstances.

### 4. Buyer's Right to Cover

Upon any breach by the seller, the buyer may, in good faith and within a reasonable time, make a reasonable purchase of or contract to purchase substitute goods.

## B. Seller's Remedies Generally

Upon the buyer's breach, the seller may exercise varying remedies, depending on the circumstances.

### 1. Withhold Delivery

If the buyer breaches, the seller may generally withhold delivery of undelivered goods.

### 2. Stop Delivery

If goods are in possession of a shipper and in transit to the buyer, the seller may stop delivery of the goods if the buyer is insolvent.

### 3. General Measure of Seller's Damages

If the buyer repudiates the contract or wrongfully refuses to accept the goods, then the general measure of the seller's damages is:

- the difference between the market price for the goods at the time and place of tender and the unpaid contract price, plus
- incidental damages, less
- any losses or costs saved due to the breach.

### 4. Seller's Right to Resell and Recover

If the buyer breaches the contract or becomes insolvent, the seller may resell the goods or their undelivered balance.

### 5. Seller's Action for the Price

In some circumstances, the seller may be able to recover the full contract price if the buyer has failed to pay the price when due.

### 6. Lost Profits

If the seller's right to recover the market differential or resell the goods is inadequate to put the seller in as good a position as it would have occupied had the buyer performed (*e.g.*, because the seller is a ***lost-volume seller***), the seller may elect to recover ***lost profits*** on the sale to the breaching buyer.

# I. Introduction

A contract is a legally enforceable exchange of promises between two (or among three or more) parties. In other words, a contract is an agreement for the breach of which the law provides a remedy.

# II. Sources of Contract Law

The general principles of contract law are embodied in the common law of contracts, though federal and state legislatures may make statutory modifications. Likely the most consulted secondary authority on the common law of contracts is the ***Restatement (Second) of Contracts***. Contracts for services are governed by the common law of contracts. Contracts for the sale of goods are governed by a specialized body of law contained in ***Article 2*** of the ***Uniform Commercial Code (UCC)***, which has been adopted in every state except Louisiana. Even in the sale-of-goods context, however, the common law of contracts applies except to the extent Article 2 displaces it.

## A. Goods, UCC

For purposes of the UCC, a ***good*** is anything that is movable at the time it is identified to the sale contract (*i.e.*, made the subject of the contract). [U.C.C. § 2-501 (2002).]

### 1. Identified to the Contract: Existing Goods

Subject to contrary agreement, if the goods exist when the contract is made, then the goods are considered ***identified*** to the contract at that time, provided the contract itself refers to them. [*See* U.C.C. § 2-501 (2002); 67 Am. Jur. 2d *Sales* § 346, Westlaw (database updated Aug. 2018).]

### 2. Identified to the Contract, Future Goods

For most types of future goods (*i.e.*, goods not yet existing or set apart for the contract when the contract is made), subject to contrary agreement, the goods are ***identified*** to the contract when the seller designates them as the goods to which the contract refers. The seller will typically do this by marking the goods (*e.g.*, placing the buyer's name or an invoice number on the goods), shipping them, placing them at a place the buyer has designated for pickup, or otherwise setting them apart for or pointing them out to the buyer. [*See* U.C.C. § 2-501(1)(b) (2002); 67 Am. Jur. 2d *Sales* §§ 197, 349, Westlaw (database updated Aug. 2018).]

## B. Contracts for the Sale of Goods v. Contracts for Services

A contract is one for the sale of goods, governed entirely by Article 2, if its primary purpose or main thrust is the ***transfer of goods***, even if services are provided incidentally. Conversely, if a contract's main thrust is the ***provision of services***, then the contract is one for services, governed by the common law, even if goods are provided incidentally. [*See* U.C.C. §§ 2-102, 2-105 (2002); 67 Am. Jur. 2d *Sales* § 31, Westlaw (database updated Aug. 2018); *Elbe v. Adkins*, 812 F. Supp. 107 (S.D. Ohio 1991).]

*Example*:

A wealthy socialite contracted with an artist to paint her portrait, which the artist did. The portrait itself was a good, because it was movable at whatever time it was identified to the contract. However, what the socialite essentially contracted for was the artist's time and labor to produce the portrait. Accordingly, the contract was primarily one for the provision of services, and the common law of contracts governed the contract.

*Compare*:

A homeowner hired a contractor to install a heating unit in her home, which the contractor did. This required some labor. However, the essential purpose of the contract was for the homeowner to acquire a movable good—the heating unit. Accordingly, the contract was one for the sale of goods governed by UCC Article 2, despite the incidental labor needed to install the heating unit.

## C. Merchant, UCC

Many provisions of UCC Article 2 turn on whether a party is classified as a ***merchant***. Under the UCC, a merchant is a person who:

- deals in goods of the kind that are the subject of the contract, typically in the ordinary course of business;
- holds herself out as having peculiar expertise concerning the practices or goods implicated in the contract; or
- employs someone with that expertise (*e.g.*, a broker or similar intermediary), meaning that this expertise can be imputed to the party.

Put more simply, a merchant is generally one (1) whose ***business*** it is to transact in the goods that are the subject of the contract or (2) who has professional ***expertise*** in the business practices driving the transaction. By contrast, one who transacts in the goods on only a casual or isolated basis or as a hobbyist is generally not a merchant. [*See* U.C.C. § 2-104 (2002); 67 Am. Jur. 2d *Sales* § 63, Westlaw (database updated Aug. 2018).]

**Note**: Some UCC provisions apply to any merchant transacting in furtherance of her business, regardless of the nature of the underlying goods. Other UCC provisions apply only to merchants dealing in goods of the particular kind that are the subject of the contract. These provisions would not apply to a party with special expertise concerning the practices at issue in the transaction who does not actually deal in goods of the kind. [*See* U.C.C. § 2-104 cmt. 2 (2002).]

# III. Formation of Contracts

A contract generally forms if one party makes an ***offer***, and another party ***accepts*** the offer by manifesting assent to the offer's terms (creating ***mutual assent***), provided that there is adequate ***consideration***. This is a classic bilateral contract, an exchange of promises. A unilateral contract, on the other hand, exists if one party makes an offer, and the other party accepts by simply performing. The law will provide a ***remedy*** if a party breaches the contract by failing to adhere to the agreed terms. [*See* Restatement (Second) of Contracts §§ 1, 17, 21, with comments.]

## A. Offer

An ***offer*** is a manifestation by an ***offeror*** (*i.e.*, the party making the offer) that she is willing to enter a bargain, justifying acceptance by the ***offeree*** (*i.e.*, the recipient of the offer). In general, the offeree's acceptance of the offer forms a contract. The offeree's power to form a binding contract by accepting the offer is termed the offeree's ***power of acceptance***. However, to form a contract upon acceptance, the offer must be ***reasonably certain*** and ***communicated*** to the offeree, and it must not have ***terminated*** prior to acceptance. [*See* Restatement (Second) of Contracts §§ 24, 33.]

### 1. Reasonably Certain Offer

An offer is ***reasonably certain*** if a reasonable person in the offeree's position would conclude that an offer has been made and understand that communication of acceptance is all that is necessary to form a binding contract. Typically, this means that the offer must (1) identify the ***parties***, (2) describe the ***subject*** of the agreement, and (3) if applicable, include some sort of ***price term*** (which may be an objective standard from which the price can be derived, such as fair market value). Additional terms may be required depending on the subject matter of the contract. For example, an offer to buy or sell goods must include a quantity term under the UCC. Common types of communications that seem like offers but ***cannot*** form the basis of a contract are ***jokes***, ***preliminary offers***, and ***advertisements***. [*See* Restatement (Second) of Contracts § 33.]

*Example*:

A buyer test-drove a red Ferrari and a black Ferrari before saying to a car salesman, "I'll give you $200,000 for the Ferrari." The buyer never indicated which of the two Ferraris he was offering to purchase. The terms of the buyer's offer were not reasonably certain, because the buyer did not identify the subject matter of the would-be contract. Thus, the salesman cannot accept the offer and form a binding contract.

### a. Joke

An offer made in jest cannot form a contract if the offeree knows or has reason to know that the offer is a ***joke***. Conversely, if a reasonable person in the offeree's position could construe the communication as a genuine offer, then the joke is an offer sufficient to form a contract, even if the one making the joke does not subjectively intend to enter into a contract. This is a corollary of the general principle that whether an offer exists is measured by the ***offeree's reasonable perceptions***, not the offeror's subjective intent. [*See* Restatement (Second) of Contracts § 18 cmt. c.]

*Example*:

A pub owner played every televised game of the local football team on the pub's big-screen television. The team had a losing record for the season and was scheduled to play the top-ranked team. Before the game, the pub owner jested to a patron, "If the home team wins, I'll sell you this bar for a dollar." The two laughed, and the pub owner said, "Seriously, if the home team wins, everybody gets a round on the house!" The circumstances surrounding the pub owner's offer to sell the bar make clear to a reasonable person that the owner was only ***joking***. The patron had ***reason to know*** this, because she heard the pub owner's qualification that he would "seriously" buy a round on the house, indicating that his prior offer to sell the bar was not serious.

### b. Preliminary Negotiations

A party may indicate a desire to enter into a contract through some kind of ***invitation to negotiate***, *e.g.*, an invitation to bid, a negotiation of terms, a price quotation, or a proposal of terms. Generally, these communications are not considered binding offers, because there is as yet no manifestation of the offeror's willingness to conclude a final bargain. [*See* Restatement (Second) of Contracts § 26, with comments.]

*Examples*:

(1) A university asked two construction companies to submit bids for a new building on campus. The first company submitted a bid of $500,000, and the second company submitted a bid of $750,000. Because the companies were merely ***invited to bid***, the

university did not make a valid offer. Thus, no contract has been formed with either company. The university is not obligated to hire either company to construct the new building on campus.

(2) A dairy farmer wrote to a grocery store, "I can quote the price of milk at $3 a gallon in carload lots." Without an indication of the farmer's intent to make a valid offer, the grocery store may not accept the farmer's ***price quotation*** to form a contract.

### c. Advertisements

An ***advertisement*** is generally ***not*** an offer ***unless*** the language makes an express promise to adhere to specific terms. In particular, ***mere puffery*** (*i.e.*, describing a product or service in flattering language meant to attract potential buyers) is not an offer. Courts have typically construed advertisements as either invitations to negotiate or solicitations of offers, rather than as offers. [*See*, *e.g.*, *Craft v. Elder & Johnson Co.*, 38 N.E.2d 416 (Ohio Ct. App. 1941); Restatement (Second) of Contracts § 26 cmt. b.]

*Examples*:

(1) A shoe store published an advertisement that stated: "All boots on sale! Visit our new location! The first 100 customers this Saturday before noon will receive a gift card worth $10!" The shoe store was obligated to provide gift cards to the first 100 customers on Saturday before noon, because it made an express promise to do so. However, the shoe store was not obligated to sell all boots for a specific price, because the advertisement lacked specific terms such as the duration of the sale or prices for specific items.

(2) A soda company created a promotional campaign in which consumers could acquire points from purchasing the company's soda products. The customers could then exchange the points for items in a catalog provided by the soda company. A television commercial advertised that 7,000,000 points (worth $700,000) could be exchanged for a jet (worth $23,000,000). The commercial showed a high school student piloting the jet to school. However, the jet was not included in the catalog. Because the television commercial was ***mere puffery*** and could not be taken seriously by a reasonable person, the soda company was not obligated to provide a jet to a consumer who provided the cash equivalent of 7,000,000 points. [*Adapted from Leonard v. PepsiCo, Inc.*, 88 F. Supp. 2d 116 (S.D.N.Y. 1999), *aff'd*, 210 F.3d 88 (2d Cir. 2000).]

*Compare*:

A company advertised a "smoke ball" that would prevent influenza. The company promised to pay £100 to any person who used the smoke ball three times per day for two weeks and still contracted influenza. Because the terms were ***specific*** and communicated as an ***express promise***, the advertisement was a valid offer. [*Adapted from Carlill v. Carbolic Smoke Ball Co.*, [1893] 1 Q.B. 256 (C.A.).]

## 2. Termination of Offer

An offer may be ***terminated before acceptance*** by (1) rejection or counteroffer, (2) lapse of time, (3) revocation, (4) death or incapacity, or (5) destruction of the subject matter of the offer. Once an offer terminates, the offeree may no longer form a binding contract by accepting it. [*See* Restatement (Second) of Contracts § 36.]

### a. Rejection or Counteroffer

In general, an offer terminates if the offeree ***rejects*** the offer. If the offeree makes a ***counteroffer***, this is at once (1) a rejection of the offer and (2) a new offer on the terms stated in the counteroffer. A purported acceptance on terms different from (or, under the common law, in addition to) those of the offer is a counteroffer, not a true acceptance.

**Note**: An acceptance accompanied by a mere request or suggestion that the offeror consider different terms is ***not*** a counteroffer, so long as a reasonable person would know that the offeree accepted the original offer's terms and merely asked whether the offeror would consider changing them.

*Examples*:

(1) A woman offered to buy her coworker's motorcycle for $15,000. The coworker responded, "I will sell you the motorcycle for $15,500." The coworker's ***counteroffer*** terminated the woman's offer of $15,000. The counteroffer acts as a rejection and a new offer, which the woman may accept or reject.

(2) A woman offered to sell her motorcycle to a coworker for $15,000. The coworker responded, "I accept, and would you consider also including your motorcycle helmet in the deal?" The coworker's response was a valid ***acceptance*** and not a counteroffer, because it is clear that the coworker accepted the woman's terms and merely requested that the woman also sell her motorcycle helmet.

## b. Lapse of Time

An offer terminates, or ***lapses***, if the offeree does not timely respond to the offer. The window of time to accept the offer can be (1) a time specified in the offer itself or, if no time is specified, (2) a reasonable time given the context and circumstances of the negotiation.

*Examples*:

(1) A billionaire said to an entrepreneur, "I'll buy your startup company for $2,000,000, but you have to agree to the offer by Friday." The entrepreneur agreed to the offer on Saturday. Because the billionaire's offer ***terminated*** at the end of Friday, there is no contract.

(2) Shortly before his first year of law school began, a student offered to buy a classmate's used contracts casebook for $40. The student was scheduled to take a contracts class during his first semester. The classmate responded to the student one year later, purportedly accepting the student's offer. One year is not a reasonable time in which to accept an offer of this kind, especially because the classmate presumably knew that the student wanted to use the casebook in a class that had already finished. Thus, the student's offer had lapsed, and there is no contract.

## c. Revocation

The law deems the offeror to be the master of the offer. This means, among other things and with a few exceptions, that the offeror may ***revoke*** the offer at ***any time before acceptance***. An offer immediately terminates if the offeree learns that the offer has been revoked. Revocation usually becomes effective only once the offeree receives ***actual notice*** of it. Some offers are ***irrevocable*** for a specified period of time.

### i. Direct and Indirect Revocation

***Direct revocation*** occurs if the offeror notifies the offeree that the offer has been revoked. ***Indirect revocation*** occurs if the offeree learns from a different source that the offer has been revoked. The different source must be a reasonably reliable source of information, so that a reasonable person in the offeree's position would know that the offer is no longer open.

*Examples*:

(1) A woman offered to sell her coffee mug to her colleague for $20. Five minutes after making the offer, the woman emailed her colleague and said, "I have changed

my mind, and I'm no longer willing to sell you my mug." The woman has directly revoked her offer.

(2) A woman offered to sell her coffee mug to her colleague for $20. Five minutes later, the woman's assistant walked into the colleague's office holding the coffee mug. Noticing the mug, the colleague said he was considering buying the mug. The woman's assistant said that the colleague could not buy the mug, because the assistant had just purchased it from the woman for $25. The woman's offer has been indirectly revoked, as the colleague now knows that the mug is no longer available for sale to him.

### ii. Option Contract

An ***option*** is a distinct contract unto itself. An option provides that the offeree will provide consideration, or value, in exchange for which the offer will remain open for a ***specified time***. If the option is valid, then the offer is deemed ***irrevocable*** for the time specified in the option. [*See* Restatement (Second) of Contracts §§ 25, 37, 87.]

*Example*:

A car owner offered to sell his car to a buyer for $5,000 and said, "If you give me $10, I'll keep this offer open until Monday." The buyer may give the owner $10 to have, until Monday, the ***irrevocable option*** to purchase the owner's car for $5,000.

### iii. Merchant's Firm Offer, UCC

Under Article 2 of the UCC, a merchant's ***signed, written offer*** (not an oral or unsigned offer) may by its terms assure that it will remain open. If so, then the offer will be irrevocable for (1) the time stated in the offer or (2) a reasonable time, but in no case will the offer remain irrevocable for more than ***three months***. A firm offer is not an option contract; unlike an option contract, the offeree need not provide anything of value in exchange for the merchant holding the offer open. [*See* U.C.C. § 2-205 (2002).]

### iv. Unilateral Contracts

An offer for a ***unilateral contract*** is one that invites acceptance only by ***performance***, not by a promise to perform. A classic example is a posting offering a set sum of money or other reward to someone who accomplishes a particular task. In the case of an offer for a unilateral contract, once the offeree has begun performance, the offeror may not revoke the offer unless the offeree fails to

complete the performance in a reasonable time. A contract is not actually formed until the offeree has completed performance and, thus, accepted the offer.

#### v. Detrimental Reliance

In some cases, the offeror should reasonably expect that the offeree may change position or do something in preparation for performance in a way that would hurt the offeree if the offeror were to terminate the offer unexpectedly. This is known as ***detrimental reliance***. In a case like this, the offeror may not revoke the offer until a reasonable period of time has passed to allow the offeree to accept the offer. [*See* Restatement (Second) of Contracts § 87(2), Promissory Estoppel, *infra*.]

### d. Death or Incapacity

In general, an offer immediately terminates if the offeror ***dies*** or becomes ***legally incapacitated***. This is true regardless of whether the offeree learns of the offeror's death or incapacitation before attempting to accept. If the offer was to be held open through an option contract or firm offer, however, the offer does not terminate with the offeror's death. In that event, if the offeree accepts while the offer is irrevocable, the offeree may have a claim against the offeror's estate.

### e. Destruction of the Subject Matter

An offer terminates automatically if the subject matter of the offer is ***destroyed***. For example, an offer to sell a house will automatically terminate if the house burns down.

## B. Acceptance

An offeree generally ***accepts*** an offer by manifesting ***unconditional assent*** to form a contract on the terms of the offer. Acceptance requires that the offeree know about the offer. This sometimes becomes an issue if the offer is one for a unilateral contract, which can be accepted only by performance. If the offeree performs without knowledge of the offer, then there is no acceptance and, hence, no contract. [*See* Restatement (Second) of Contracts §§ 23, 29.]

*Example*:

A mother posted a sign offering a reward of $500 for the return of her child's lost dog. A neighbor found and returned the lost dog ***without knowledge*** of the reward. Later, the neighbor saw the sign and demanded $500. The mother's sign was an offer for a unilateral contract. Because the neighbor ***did not know*** about the offer at the time of performance, there was no acceptance and, thus, no contract. This means the mother is not obligated to pay the reward.

## 1. Method of Acceptance

An acceptance may consist of a ***promise*** or ***performance*** by the offeree, depending upon the terms of the offer. If the offer specifies the method of acceptance, the acceptance must conform to the terms of the offer. Otherwise, any reasonable method of acceptance will suffice, so long as the offeree reasonably manifests asset to be bound by the offer's terms. [*See* Restatement (Second) of Contracts § 1 cmt. f, §§ 30, 32, § 45 cmt. a.]

*Example*:

A high school offered to purchase 500 textbooks from a bookstore without specifying a method of acceptance. The bookstore may enter into a bilateral contract by agreeing to deliver 500 textbooks (a promise). Alternately, the bookstore may enter into a unilateral contract by delivering 500 textbooks (performance).

## 2. Mirror-Image Rule

The traditional rule under the common law is that to accept an offer, the offeree must unconditionally agree to the exact terms of the offer. In other words, the acceptance must be the ***mirror image*** of the offer and must not add, remove, or change any terms. Any deviation, no matter how minor, makes for a counteroffer and thus a rejection and a new offer. However, an acceptance accompanied by ***suggestions*** or ***requests*** that the offeror is free to agree to or reject does ***not*** form a counteroffer. [*See* Restatement (Second) of Contracts § 59; Sale of Goods, *infra*, Acceptance, *supra*, Termination of Offer, *supra*.]

*Example*:

A law student offered to tutor a classmate for 20 hours in exchange for $300. The classmate said, "I accept, but you must agree to return $150 if I fail any of my exams." Because the classmate included an ***additional term***, and this term was more than a mere suggestion or request, the purported acceptance was a ***counteroffer***. No contract has been formed.

## 3. Battle of the Forms, UCC Article 2

The mirror-image rule does not apply to contracts for the sale of goods governed by UCC Article 2. Under UCC Article 2, if an expression is otherwise valid as an acceptance but contains terms in addition to or different from those stated in the offer, then a contract is formed. The additional or different terms may or may not become part of the contract, depending on several factors. However, if the acceptance is ***expressly made conditional*** on the offeror's assent to the additional or different terms, then the acceptance operates as a counteroffer—a rejection and a new offer. [U.C.C. § 2-207 (2002).]

## a. Nonmerchant Contracts

If at least one party to the contract is not a merchant, the additional or different terms do not automatically become part of the contract. Rather, the new terms are treated as ***proposals*** for addition to the contract. They become part of the contract only if the offeror expressly agrees to them. [U.C.C. § 2-207 (2002).]

## b. Contracts between Merchants

If all parties to the agreement are ***merchants***, any new or modified terms ***automatically*** become part of the agreement unless: (1) the offer ***explicitly provides*** that acceptance is limited to the terms of the original offer, (2) the additional or different terms ***materially alter*** the offer, or (3) the offeror ***objects*** within a reasonable time. If one of these exceptions applies, then a contract is formed, and the additional or different terms are considered merely proposals for addition. The additional or different terms do not become part of the agreement unless the offeror assents to them. [U.C.C. § 2-207 (2002); *see Egan Mach. Co. v. Mobil Chem. Co.*, 660 F. Supp. 35 (D. Conn. 1986).]

### i. Terms in Acceptance Materially Altering the Offer

In general, a term in an acceptance ***materially alters*** the offer if it would cause the offeror ***unreasonable surprise*** or ***hardship*** if made part of the contract without her awareness. Examples include:

- disclaimers of implied warranties that would otherwise apply;
- terms giving the seller the right to cancel the contract upon late payment;
- exclusive forum-selection clauses (i.e., language providing that any dispute arising out of the contract must be litigated in a particular jurisdiction and no other); and
- limitation of remedies.

[*See* U.C.C. § 2-207 cmt. 4 (2002); *Transamerica Oil Corp. v. Lynes, Inc.*, 723 F.2d 758 (10th Cir. 1983); *Duro Textiles, LLC v. Sunbelt Corp.*, 12 F. Supp. 3d 221 (D. Mass. 2014); *Packgen v. Berry Plastics Corp.*, 973 F. Supp. 2d 48 (D. Me. 2013).]

## c. Conduct Recognizing the Existence of Contract

Sometimes, the parties' correspondence will fail to form a contract, but the parties will then perform as though there were a contract. In this circumstance, the parties are deemed to be in a contract. The terms of the contract are only those terms upon which both parties' writings agree, supplemented as needed by the UCC's gap-fillers. [U.C.C. § 2-207(3) (2002); *see* Clarifying Terms, *infra*.]

*Example*:

A convenience store ordered 50 bottles of apple juice from a local orchard. The orchard replied with its standard order-acceptance form, which contained a requirement that if any apple juice expired before sale, the store must return the empty bottles to the orchard. The form also contained this language: "Acceptance of the order is expressly conditioned upon assent to the requirements in this form." The store never assented to the requirements in the form. However, the orchard accepted payment for the bottles and then shipped them to the store. The store and the orchard have a contract to sell 50 bottles of apple juice at the price the store paid for them, because the parties performed as though there were a contract. However, the return requirement is not part of the contract.

## 4. Mailbox Rule

An acceptance by mail is effective upon ***proper dispatch***, regardless of whether the offeror receives the acceptance. Proper dispatch means that (1) the acceptance is placed with the postal service, (2) postage is paid, and (3) the acceptance is made out to the correct address. An acceptance is effective upon improper dispatch only if it is received by the offeror within a reasonable time. [17A Am. Jur. 2d *Contracts* § 98, Westlaw (database updated Aug. 2018); *see* Restatement (Second) of Contracts §§ 40, 63, 66-67.]

### a. Mail as a Reasonable Means of Acceptance

The mailbox rule applies ***only*** if sending the acceptance through the mail is a ***reasonable method*** of communicating the acceptance. Generally, acceptance by mail is a reasonable method, especially if the offer itself is sent through the mail. However, acceptance by mail is not reasonable if (1) it is inconsistent with the offer's terms (*e.g.*, if the offer stipulates that acceptance is effective only upon receipt), or (2) the circumstances indicate to a reasonable person in the offeree's position that acceptance through the mail is not a legitimate means of acceptance (*e.g.*, if the offer is made by email or phone, and the circumstances imply that the offeror expects a response by similar means). [*See* Restatement (Second) of Contracts §§ 40, 63, 66-67.]

### b. Acceptance and Revocation Occurring Contemporaneously

A revocation is effective only when the offeree receives it, and an offer cannot be revoked once accepted. Thus, if an offeree were to send an acceptance by mail at the same time that the offeror sent a revocation, also by mail, a contract would be formed. The acceptance would be effective upon mailing, but the revocation would be effective only upon receipt. [*See* Restatement (Second) of Contracts §§ 40, 63, 66-67.]

### c. Offeree's Change of Heart

If the offeree first mails an acceptance and then tries to reject the offer, a contract is formed as of the dispatch of the acceptance. This makes the rejection ineffective. However, if the offeree first mails a rejection and then mails an acceptance, whichever is actually received first by the offeror will be effective. If the acceptance is received first, the offeror and the offeree have formed a binding contract. If the rejection arrives first, the acceptance is treated as an offer to enter a contract on the terms of the acceptance. [*See* Restatement (Second) of Contracts §§ 40, 63, 66-67.]

*Example*:

A man sent a letter to his friend offering to sell his car to the friend for $5,000. The friend was in separate negotiations to buy a pickup truck for $4,000, so the friend sent the man a rejection in the mail. The following day, the friend's negotiations to purchase the pickup truck fell through. The friend quickly mailed an acceptance to the man via overnight mail. The man received the acceptance first, and the rejection arrived the following day. Because the friend rejected the offer first and then attempted to accept it, whichever communication the man received first was effective. Thus, because the man received the friend's acceptance first, the acceptance was effective, and there was a valid contract.

### d. Exceptions to the Mailbox Rule

The mailbox rule does not apply to option contracts. In this case, acceptance is effective only when the offeror receives it. Additionally, the mailbox rule does not apply to unilateral contracts, because offers for unilateral contracts can be accepted only by performance. Finally, the mailbox rule does not apply if it is inconsistent with the offer's terms (*e.g.*, if the offer states that acceptance is effective only upon receipt). [17A Am. Jur. 2d *Contracts* § 98, Westlaw (database updated Aug. 2018); *see* Restatement (Second) of Contracts §§ 40, 63, 66-67.]

## 5. Silence

The general rule is that an acceptance may not consist of mere silence—*i.e.*, failure to accept or reject an offer. However, there are exceptions to this general rule.

### a. Benefit of Services

Silence constitutes acceptance if (1) the offeree receives the benefit of offered services (2) despite the ***reasonable opportunity*** to reject the services, and (3) the offeree has reason to know that the offeror expects compensation for the services. [*See* Restatement (Second) of Contracts § 69(1)(a).]

*Example*:

A man offered to paint a neighbor's house for $300. He arrived at the house and started preparing to paint without waiting for a response. The neighbor saw the man doing so and, despite the opportunity to ask the man to stop, said nothing. The man was entitled to $300 upon completing the painting. The terms of the offer indicated that the man expected compensation for the painting. The neighbor saw the man preparing to paint and did not ask him to stop, despite a reasonable opportunity to do so.

### b. Exercise of Dominion

Silence constitutes acceptance if the offeree exercises dominion over offered property by ***acting inconsistently*** with the offeror's rights of ownership or possession, provided (1) the offeree acts consistently with the terms of the offer itself and (2) the terms of the offer are not manifestly unreasonable (*e.g.*, the offeror unconscionably takes advantage of an honest mistake). [*See* Restatement (Second) of Contracts § 69(2), with comments.]

*Example*:

An uncle sent a tuxedo to his nephew and said, "If you wish to buy my tuxedo, send me $100 within one week of receipt. Otherwise, I will pick up the tuxedo in two weeks." Without sending $100, the nephew wore the tuxedo to a friend's wedding, thus acting inconsistently with the uncle's ownership of the tuxedo. Because the nephew accepted the uncle's offer by exercising dominion over the tuxedo, the uncle was entitled to $100.

### c. Prior Dealings

Silence constitutes acceptance if it is ***reasonable***, based on prior dealings between the parties, for the offeror to understand that the offeree has accepted by remaining silent. [*See* Restatement (Second) of Contracts § 69(1)(c).]

*Example*:

A retail store had frequently ordered clothing from a manufacturer for years. Each time, the manufacturer delivered the clothing within a week of the retail store's order. The manufacturer also mailed a bill to the retail store, without any other notification of acceptance. Based on these prior dealings, the manufacturer's silence constituted acceptance whenever the retail store placed an order.

### d. Offeror's Indication that Offeree May Accept by Silence

Silence constitutes acceptance if the offeror has ***indicated*** that the offeree may accept by silence or inaction. In this scenario, the offeree must subjectively ***intend*** to accept the offer by remaining silent or inactive. Without subjective intent to accept, there is no contract, even if the offeree never communicates intent to reject the offer. [*See* Restatement (Second) of Contracts § 69(1)(b).]

*Example*:

A composer wrote a letter to a pianist, in which the composer said, "You have been borrowing my grand piano for quite a while, so I offer to sell you the grand piano for $5,000. As you are a busy man, you do not need to write back. I will assume that your silence operates as acceptance if you do not respond." If the pianist did not respond to the composer's offer, a contract formed ***only if*** the pianist intended to accept by remaining silent. There was no contract otherwise, even if the pianist never informed the composer that his silence did not constitute acceptance.

## C. Intent

A binding contract does not require real or apparent intent to be legally bound by its terms. Rather, what matters is whether the parties manifest intent to enter into a bargain, exchange, or similar arrangement under specific terms. For instance, if the parties mistakenly believe that the terms of the contract will not be legally binding, that alone will not prevent formation of a contract. However, the manifestation of intent ***not*** to be legally bound may prevent a contract from forming. [*See* Restatement (Second) of Contracts § 21, with comments and illustrations.]

## D. Consideration

Forming a valid contract requires ***consideration***. Consideration means a ***bargained-for exchange*** of promises or performances. This entails mutual inducement; that is, each party's promise or performance must induce the other's promise or performance. The promised or provided performance may consist of (1) an affirmative act; (2) a forbearance to do something a party has a legal right to do; or (3) creating, modifying, or terminating some legal relationship. A promise or performance may be given (1) by the promisor or a third party and (2) to the promisee or a third party. [*See* Restatement (Second) of Contracts § 71, with comments.]

*Example*:

An uncle promised to pay his nephew $5,000 in exchange for his nephew's abstention from alcohol, tobacco, swearing, and gambling until the age of 21. At the time, the minimum age

for gambling and for purchasing alcohol or tobacco was 18. The nephew agreed and refrained from the specified conduct. Because the nephew's ***forbearance*** was ***sufficient consideration***, the uncle was obligated to give $5,000 to his nephew. [*Hamer v. Sidway*, 27 N.E. 256 (N.Y. 1891).]

## 1. Adequacy

Exchanges of value generally make for adequate consideration. The values exchanged ***do not*** have to be equivalent or even roughly equivalent. Even a ***gross inadequacy*** that shocks the conscience will not prevent formation of a contract, but it may constitute evidence supporting one or more defenses against enforcing the contract (*e.g.*, grossly inadequate consideration may be evidence that the contract was based on fraud or that one part lacked capacity to contract). [*See* Restatement (Second) of Contracts § 79, with comments.]

*Example*:

A cash-for-gold company offered $50 for a ring valued at $300,000. Even though the values are not remotely equivalent, there was ***sufficient consideration*** to form a contract. However, the owner of the ring could use the gross inadequacy to support a defense against enforceability (*e.g.*, an argument that the owner lacked capacity).

### a. Nominal Consideration

A nominal amount of consideration cannot form a contract if the bargain is a ***mere pretense***. [*See* Restatement (Second) of Contracts § 79 cmt. d.]

*Example*:

A mother won the lottery and wished to make a binding promise to give $1,000,000 to her daughter. The mother offered to buy a pencil worth $1 from her daughter for $1,000,000. The daughter accepted, knowing that the bargain was a mere pretense. There was no contract because there was a lack of true consideration.

### b. Past Consideration or Moral Obligation

If the offeror's promise is made in recognition of a benefit ***already conferred*** by the offeree, then the promise is not consideration. Any asserted moral obligation to fulfill a promise made in response to the past consideration is not legally enforceable. [*See* Restatement (Second) of Contracts § 86, with comments.]

*Examples*:

(1) A clairvoyant predicted that a man would die before the year 1900. Later, the man promised to pay the clairvoyant in the event that the prediction came true. Because the man's promise was given in exchange for a ***benefit that was already conferred*** (*i.e.*, the clairvoyant's prediction), no contract had been formed. When the clairvoyant's prediction came true, and the man died before 1900, the man's estate was not obligated to pay the clairvoyant. [*See Moore v. Elmer*, 61 N.E. 259 (Mass. 1901).]

(2) A stranger provided medical care for a sailor who had fallen ill. Afterward, the sailor's father promised to compensate the stranger for expenses the stranger had incurred while caring for his son. Because the father's promise was based solely on a ***moral obligation*** for a past benefit, there was no contract due to a lack of consideration. [*See Mills v. Wyman*, 20 Mass. 207 (1825).]

### c. Illusory Promise

If a promisor ***reserves a choice*** of alternative performances, that promise is not sufficient consideration ***unless*** each of the alternative performances would be sufficient for consideration if offered alone. A promise that allows the promisor to choose an alternative that does not constitute sufficient consideration is an ***illusory promise***. In practical effect, this often means that the promisor has discretion whether to perform at all. A promise like this does not form a contract. [*See* Restatement (Second) of Contracts § 77, with comments.]

*Example*:

A homeowner and a landscaper agreed that the landscaper would mow the homeowner's lawn, in exchange for $100, as often as the homeowner would decide to ask the landscaper to mow his lawn. Nothing in the agreement obligated the homeowner to call upon the landscaper at all. The agreement lacked consideration because the homeowner had discretion whether to perform at all.

*Compare*:

A musician said to a charity, "In exchange for $20,000, I agree to perform at the outdoor concert on Saturday or an indoor concert on Sunday." Each of the ***alternative performances*** (an outdoor concert on Saturday or an indoor concert on Sunday) would have been sufficient consideration if offered alone. Thus, there was a contract between the musician and the charity.

## 2. Preexisting Duty Rule

The performance of a legal duty that is ***already owed*** is generally ***insufficient*** for consideration. In other words, a promise to perform an obligation that the promisor is already legally required to perform cannot support a new, binding agreement. [*See* Restatement (Second) of Contracts §§ 73-74.]

*Example*:

A woman offered a reward for evidence leading to the arrest of her husband's murderer. A police officer uncovered evidence that identified the murderer in the course of ***performing his legal duty*** as a member of law enforcement. The woman was not obligated to pay the reward to the police officer.

### a. Modification

A ***modification*** to an ***existing contract*** is generally unenforceable without some new consideration. There are exceptions.

*Example*:

A sailor agreed to work on a captain's ship for £5 per month. During a voyage, two other sailors deserted the ship. To avoid mutiny, the captain promised to divide the deserters' wages among the remaining sailors, raising the remaining sailors' wages to over £5 per month. However, because the remaining sailors were already legally obligated to work on the ship for only £5 per month, the wage increase was unenforceable. [*See Stilk v. Myrick*, 170 Eng. Rep. 1168 (1809).]

#### i. Alteration of Duties

A modification to an existing contract is enforceable if both parties ***alter*** their duties. For instance, a borrower paying down a loan in installments may agree to pay some portion of the outstanding principal ahead of schedule in exchange for a discharge of the remainder.

*Example*:

A hairstylist agreed to trim a man's facial hair for $30. However, the hairstylist stopped before completing the trim and said, "This is taking more time than I expected. If you pay an extra $30, I'll cancel my next appointment and give you a haircut as well." Because the modification altered both parties' duties, it is enforceable.

#### ii. Unforeseen Circumstances

A modification to an existing contract is enforceable if the modification is ***fair and equitable*** in light of circumstances that were ***unforeseen*** by the parties at the time of the contract. [*See* Restatement (Second) of Contracts § 89(a).]

*Example*:

A general contractor hired a subcontractor to excavate debris from a construction site. During excavation, the subcontractor discovered considerable debris that was not foreseen by either party. When the subcontractor refused to finish the excavation, the general contractor agreed to compensate the subcontractor for the removal of the additional debris, plus an additional 10 percent. Because the modification was ***fair and equitable***, and neither party had reason to foresee the additional debris, the subcontractor was obligated to complete the excavation. [*See Brian Constr. & Dev. Co. v. Brighenti*, 405 A.2d 72 (Conn. 1978).]

#### iii. Sale of Goods

In a contract for the sale of goods governed by Article 2 of the UCC, a modification to an existing contract is enforceable, even if only one party's performance is modified. Any modifications must be made in good faith. [*See* U.C.C. § 2-209(1) cmt. 2 (2002).]

*Example*:

A manufacturer contracted to deliver 20 snowplows to the government at $4,500 per snowplow. However, the manufacturer realized that a recent increase in extreme winters had led to a shortage of snowplows. The government agreed to pay $5,000 per snowplow instead of $4,500. Because the contract is for the ***sale of goods***, and the modification was made in ***good faith***, the modification was enforceable.

### b. Settlement of Claims

A party's agreement not to bring suit to enforce a claim or assert a defense will constitute consideration for a settlement agreement, provided that (1) the claim or defense is valid or subject to a good-faith dispute, or (2) the party believes that the claim or defense may be valid. In contrast, if the surrendering party knows that the claim or defense is invalid, an agreement to surrender the claim or defense is unenforceable. [*See* Restatement (Second) of Contracts § 74(1).]

*Example*:

A tenant asserted that he had a valid claim for discrimination against his landlord based on the fact that the tenant owned a dog. His landlord agreed to a reduction in rent in exchange for the tenant's forbearance of the claim. Even if the claim was invalid, there was an enforceable contract if the tenant ***genuinely believed*** that the claim was valid or might be valid.

## 3. Consideration Substitutes

In some circumstances, a contract that lacks consideration is nonetheless enforceable through use of a consideration substitute. The most common substitutes are ***promissory estoppel*** and ***statutory substitutes***.

### a. Promissory Estoppel

The doctrine of ***promissory estoppel*** may permit enforcement of a promise made by a promisor to a promisee, without consideration, if (1) the promisor ***reasonably expects*** or should reasonably expect the promisee to rely on the promise; (2) the promisee in fact ***relies*** on the promise; and (3) as a result, the promisee suffers a ***substantial detriment***. The court will provide a ***limited remedy*** for a breach by the promisor to prevent injustice. [*See* Restatement (Second) of Contracts § 90(1) cmt. d; *Kirksey v. Kirksey*, 8 Ala. 131 (1845).]

*Example*:

A board of directors adopted a resolution promising to provide a loyal employee with a retirement plan of $200 per month for life. In reliance on the resolution, the employee retired two years later and received $200 per month. After five years, however, the employee's payments were cut in half. Even though the employee did not provide consideration, the promise was enforceable based on the doctrine of promissory estoppel. [*Adapted from Feinberg v. Pfeiffer Co.*, 322 S.W.2d 163 (Mo. Ct. App. 1959).]

#### i. Promisor's Reasonable Expectation of Reliance by Promisee

Promissory estoppel requires that the promisor ***reasonably expect*** the promise to induce an act or forbearance from the promisee.

*Example*:

A father promised to pay for all six semesters of his daughter's tuition if she would quit her then-current job (which paid much less than a new lawyer's average

salary) and attend law school. The father should reasonably have expected that his daughter would quit her current job to attend law school based on that promise.

*Compare*:

A father promised to pay for his daughter's first-semester books if she quit her job to attend law school. The father should not reasonably have expected the daughter to quit her job and attend law school based on that promise, as the cost of one semester's books is paltry next to the commitment of time and money that law school entails.

### ii. Promisee's Reasonable Reliance on the Promise

The promisee must ***reasonably rely*** on the promise by performing a ***definite and substantial*** act or forbearance.

*Examples*:

(1) A father promised to pay for all six semesters of his daughter's tuition if she attended law school. The daughter planned to quit her current job to attend law school, but she did not turn in two weeks' notice to her employer or send out law school applications. The daughter had not yet performed a ***definite*** or ***substantial*** act or forbearance that would permit application of the doctrine of promissory estoppel.

(2) A man promised to pay for expenses incurred by his girlfriend's mother during the mother's divorce proceedings, including a $40,000 mortgage debt. The man died, and his estate informed the mother that the mortgage debt would not be paid. Eight months later, relying on the man's promise, the mother entered into a settlement agreement in which she agreed to assume the mortgage debt. Because the mother's reliance on the man's promise was ***unreasonable*** after the estate informed her it would not pay the debt, she was not entitled to $40,000 from the man's estate. [*Adapted from Alden v. Presley*, 637 S.W.2d 862 (Tenn. 1982).]

### iii. Promisee's Substantial Detriment in Reliance on the Promise

The promisee must suffer a ***substantial detriment*** in reliance on the promise for promissory estoppel to apply. Any benefit received by the promisee is ***irrelevant***.

*Example*:

An uncle promised to reimburse his nephew's trip to Europe. In reliance on his uncle's promise, the nephew went on the trip and incurred significant expense. Even though the nephew ***received the benefit*** of the trip to Europe, the nephew also suffered the substantial detriment of the expenses, and the uncle was obligated to provide reimbursement. [*See Devecmon v. Shaw*, 14 A. 464 (Md. 1888).]

#### iv. Remedy Limited to Extent of Detriment

The promisee's remedy in a case of promissory estoppel is generally ***limited*** to ***actual loss*** suffered in reliance on the promise. Thus, the remedy may not encompass the full value of the promise. [*See* Restatement (Second) of Contracts § 90, with comments.]

*Example*:

A mother promised to pay her son's rent ($1,000 per month) for 12 months. After the son renewed his lease in reliance on his mother's promise, she refused to pay the rent at all. After learning that she would not pay the rent, the son paid a fee of $2,000 to break his lease after one month into the renewed term. The son owed $1,000 for the first month plus $2,000 for breaking the lease. The son's remedy against the mother was $3,000 (actual loss) rather than $12,000 (as promised).

### b. Statutory Substitute

In some states, in particular cases, a ***signed writing*** may form a contract under a statutory provision even without consideration. These statutes typically relate to the discharge of a claim or interest. For example, Michigan and New York have statutes providing that a signed writing for modification or discharge of a contract in personal or real property cannot be invalid due to a lack of consideration. Similarly, New York also has a statute providing that a signed agreement for release or discharge of a claim, debt, demand, obligation, or property interest cannot be invalid due to a lack of consideration. [Mich. Comp. Laws § 566.1 (2017); N.Y. Gen. Oblig. Law §§ 5-1103, 15-303 (McKinney 2018).]

## E. Implied-in-Fact Contract

A court may ***imply*** a contract, even if the parties never entered one, if (1) one party provides another with valuable ***services***, ***property***, or ***money***; (2) the recipient has ***reason to know*** of this; (3) the circumstances reasonably indicate the services, property, or money was provided with the ***expectation of compensation***; and (4) the recipient manifests ***assent***, as by knowingly

using or retaining the benefit of the services, property, or money or failing to object under circumstances in which silence would suffice as acceptance of an offer. Recovery is generally the reasonable value of the services, money, or property provided. [*See* 17A Am. Jur. 2d *Contracts* § 17, Westlaw (database updated Aug. 2018); 22 Am. Jur. 2d *Damages* § 134, Westlaw (database updated Aug. 2018).

**Note**: An express contract supersedes any implied-in-fact contract on the same subject. [*See* 17A Am. Jur. 2d *Contracts* § 16, Westlaw (database updated Aug. 2018).]

# IV. Enforceability

A contract is generally ***enforceable*** upon formation. However, a breaching party may assert a ***defense*** to enforceability. The defense, if proven, renders the contract unenforceable, depriving the nonbreaching party of a remedy. Additionally, the statute of frauds requires that certain contracts must appear in a signed writing to be enforceable.

## A. Void versus Voidable Contracts

Some defenses to enforceability, if established, render the contract ***void***. This means that the law will treat the parties as though a contract had never been formed. Other defenses to enforceability will render a contract ***voidable***. This means that the contract remains valid until the aggrieved party chooses to ***disaffirm*** it.

## B. Defenses to Enforceability

A valid defense to enforceability renders a contract ***unenforceable***. The main defenses to enforceability are lack of capacity, duress, undue influence, illegality, unconscionability, and misrepresentation. Only the party who was affected by the ground for unenforceability (*e.g.*, the party who suffered the incapacity) may raise it as a defense. The other party may not.

**Note**: Except as noted otherwise, the defenses to enforceability operate substantially identically under both the common law and the UCC.

### 1. Lack of Capacity

A party may establish the defense of ***lack of capacity*** due to the party's (1) ***infancy***, (2) ***mental illness*** or ***defect***, or (3) ***intoxication*** at the time of the contract. If the party suffered the incapacity at the time of formation, the contract may be unenforceable. If the incapacity arises after contract formation, it is no defense to enforceability.

*Example*:

A landowner entered into a sales contract and later suffered brain damage in a boating accident. Because the contract was formed ***before*** the accident, the landowner ***cannot establish*** a lack-of-capacity defense based on the brain injury.

## a. Infancy

An ***unmarried, unemancipated minor*** lacks capacity due to ***infancy*** until the beginning of the day before the minor reaches the age of majority, which is 18 in most jurisdictions. A minor may generally ***disaffirm*** a contract until a reasonable time after she reaches the age of majority. If the minor disaffirms the contract, it is unenforceable against her. If the minor expressly ratifies the contract or does not disaffirm it within a reasonable time after attaining majority, the contract is deemed ratified and thus enforceable. The minor must generally return the subject matter of the agreement (or what is left of it) to the other party if she elects to disaffirm. [*See* Restatement (Second) of Contracts § 14.]

*Examples*:

(1) A 16-year-old entered into a contract to babysit her neighbor's children at the rate of $10 per hour. The 16-year-old may avoid the contract and refuse to babysit her neighbor's children. However, the neighbor may not refuse to pay the 16-year-old at the rate of $10 per hour if the teenager does in fact babysit the neighbor's children.

(2) A 17-year-old entered into a contract to purchase a car. After driving the car for two years and making monthly payments over that entire period, the now 19-year-old may not stop making payments or return to the car to the dealership on the logic that the contract is unenforceable due to lack of capacity. By making payments and driving the car for one year after his eighteenth birthday, the teenager failed to disaffirm within a reasonable time and thus ratified the contract.

### i. Exception for Necessities

Contracts for ***necessities***, *e.g.*, food, shelter, and medical care, are always ***enforceable*** against minors. In other words, a minor may not disaffirm a contract for necessities. This serves the public-policy goal of ensuring that minors are able to obtain necessities, as people would be reluctant to enter into necessities contracts with minors if they were enforceable only at a minor's election.

#### ii. Statutory Exceptions

By statute in some jurisdictions, a minor may not disaffirm certain types of contracts. For example, some statutes specifically provide that minors cannot disaffirm student-loan or insurance contracts.

### b. Mental Illness or Defect

A person lacks capacity if, due to ***mental illness*** or ***defect***, she is unable to (1) ***reasonably understand*** the nature and consequences of the transaction or (2) ***act*** in a ***reasonable manner*** concerning the transaction (provided the other party has ***reason to know*** of the mental illness or defect). Generally, a contract by a person lacking capacity due to mental illness or defect is enforceable, but it may be voided (*i.e.*, made unenforceable or disaffirmed) by the incapacitated party's legal representative. Alternatively, if the party regains capacity, she may elect to ratify or disaffirm the contract herself. However, if the contract has been ratified, it may not be disaffirmed. Also, if the contract was made on fair terms, and the other party does not know of the mental condition, the contract may not be disaffirmed, to the extent that injustice would arise from disaffirmance because either the contract has been performed or the circumstances have changed. [*See* Restatement (Second) of Contracts § 15, with comments.]

*Examples*:

(1) A grandmother suffering from dementia entered into a contract to purchase a timeshare vacation to Mars, Pennsylvania, believing that she would actually be traveling to the planet Mars. Because the grandmother did not understand the nature of the transaction, the grandmother's representative (or the grandmother, upon regaining capacity) may avoid the contract.

(2) A man suffering from delusions incorrectly believed that he was a billionaire. The man agreed to sell 100 acres of land (worth $3,000 per acre) to his cousin at $500 per acre. The man understood the nature of the transaction, *i.e.*, that he was selling the land at a fraction of its value, but his delusions prevented him from acting reasonably with respect to the land. In other words, the man's delusions prevented him from selling the land at a reasonable price, as he believed his wealth to be so vast that the lost value on the land would be a trifle to him. Thus, the man could avoid the contract if his cousin had reason to know of his delusions.

### c. Intoxication

A person lacks capacity if (1) due to ***intoxication***, he is unable to ***reasonably understand*** the nature and consequences of the transaction or ***act reasonably***

concerning the transaction, and (2) the other party has reason to know this. If these requirements are met, the then-intoxicated party may disaffirm the contract upon becoming sober, provided she acts promptly and does not ratify the contract either expressly or implicitly (as by substantial performance or accepting contractual benefits). Upon disaffirming the contract, the disaffirming party must offer to restore any consideration received. [*See* Restatement (Second) of Contracts § 16, with comments.]

*Example*:

A partner in a law firm was extremely intoxicated. She emailed an offer to sell her share of the law firm to a colleague. Not knowing or having reason to know of the partner's intoxication, the colleague accepted the offer. The partner ***could not avoid*** the contract, despite her intoxication, because her colleague did not know or have reason to know that she was intoxicated.

## 2. Duress

A party's assent to a contract may be induced by an ***improper threat*** leaving ***no reasonable alternative*** but to assent. If so, the party may disaffirm the contract on grounds of ***duress***, provided he acts promptly and does not ratify the contract expressly or implicitly (as by rendering substantial performance or accepting contractual benefits). [*See* Restatement (Second) of Contracts §§ 175-176, with comments.]

### a. Improper Threats

Generally, an ***improper threat*** is one of:

- a crime or tort,
- criminal prosecution,
- bad-faith use of civil process, or
- a breach of the general contractual duty of good faith and fair dealing with the party under duress.

Additionally, a threat is improper if the contractual terms are ***unfair***, and (1) the act threatened would harm the threatened party with no significant benefit to the threatening party, (2) prior unfair dealing by the threatening party increases the threat's effectiveness to induce assent, or (3) the threat is any use of power for improper ends. [*See* Restatement (Second) of Contracts § 176, with comments.]

**Note**: A mere threat to take action that is economically disadvantageous to a contracting party is not duress if unaccompanied by unfair contractual terms or wrongful actions (or threats of wrongful actions). Also, a threat to breach one contract, made to induce a party to enter an altogether unrelated agreement, is often improper. [*See* Restatement (Second) of Contracts § 176, with comments.]

### b. No Reasonable Alternative

For duress to apply, the threatened party must have ***no reasonable alternative*** but to assent. This generally means that the threat, if carried out, would subject the threatened party to ***irreparable harm***. Thus, for instance, if one contractual party threatens the other with nonperformance to induce the other to agree to a contract modification, there is no duress if the other party could find substitute performance at a reasonable (if higher) cost. [*See* 28 *Williston on Contracts* § 71:14 (4th ed.).]

## 3. Undue Influence

A party whose assent to a contract was induced by ***undue influence*** may generally disaffirm the contract. Undue influence arises if the party's assent is the product of ***unfair or excessive persuasion*** by someone who either (1) dominates the party or (2) shares a special relationship of trust and confidence with the party, so that the party is justified to think that the influencer will act in her best interests. [*See* Restatement (Second) of Contracts § 177, with comments; 28 *Williston on Contracts* § 71:50 (4th ed.).]

### a. Domination

A party is generally under an influencer's ***domination*** if the influencer has ***power*** over the party (*e.g.*, a prison guard's power over an inmate) or if the party is ***singularly dependent*** on the influencer. A classic example of the latter is an elderly, infirm person who is dependent on a caregiver. [*See* Restatement (Second) of Contracts § 177, with comments; 28 *Williston on Contracts* § 71:50 (4th ed.).]

### b. Relationship of Trust and Confidence

In undue-influence contexts, special relationships of trust and confidence often include fiduciary, family, caregiver, and similar relationships of familiarity and dependence. [*See* Restatement (Second) of Contracts § 177, with comments; 28 *Williston on Contracts* § 71:50 (4th ed.).]

### c. Unfair or Excessive Persuasion

Unfair or excessive persuasion is persuasion that ***overbears the subject's will***, so that the subject effectively carries out the influencer's will and not her own. This is more than mere robust bargaining; it is closer in nature to ***unscrupulous exploitation***. That

the subject enters a transaction clearly not in her own best interests is strong evidence of unfair or excessive persuasion. [*See* Restatement (Second) of Contracts § 177, with comments; 28 *Williston on Contracts* § 71:50 (4th ed.).]

## 4. Misrepresentation

A contract is voidable if a party's assent is induced by an ***untrue assertion*** that is fraudulent or material, provided the party's reliance on the misrepresentation is ***justified***. [*See* Restatement (Second) of Contracts §§ 159-164, 169, with comments.]

### a. Untrue Assertion

An untrue assertion generally takes the form of (1) a ***statement*** that is not in accordance with the facts, (2) an ***act of overt concealment*** that prevents a party from discovering the facts, or (3) a ***nondisclosure*** made under specific circumstances.

#### i. Nondisclosure as an Untrue Assertion

Mere nondisclosure, as opposed to overt concealment, is generally treated as an untrue assertion only if: (1) the party knows disclosure is ***necessary*** to correct the party's prior assertion; (2) there is a ***duty to disclose***, usually arising from a fiduciary relationship; (3) the party knows the other party is mistaken as to a ***basic assumption*** upon which the contract is made, and nondisclosure would violate the general contractual duty of ***good faith***; or (4) in some jurisdictions, the party knows that the other is mistaken as to the contents or legal effect of the contract. [*See* Restatement (Second) of Contracts § 161, with comments.]

#### ii. Untrue Assertion about the Contents of the Contract

In some jurisdictions, an untrue statement about the contents of the contract will not generally support a defense of misrepresentation, provided the party asserting fraud had a reasonable opportunity to ascertain the contract's contents for herself. The policy rationale here is that a party can reasonably be expected to read and understand a document's contents before agreeing to them. However, an untrue representation as to the nature of the document itself may support a defense of misrepresentation. [*See Clark v. Brewer*, 329 S.W.2d 384 (Ky. 1959).]

### b. Fraudulent or Material

A misrepresentation is ***fraudulent*** if (1) it is intended to induce another's assent to the contract, or the maker is substantially certain that it will induce assent, and (2) the party making the misrepresentation knows it is false, believes it is false, or consciously disregards a significant risk of falsity. Even if a misrepresentation is not fraudulent, the

contract will still be voidable if the misrepresentation is material. A misrepresentation is ***material*** if it is likely to induce a reasonable person's assent, or the party making the misrepresentation knows it will likely induce the particular recipient's assent (even if a reasonable person would not be induced).

*Examples*:

(1) A buyer was interested in purchasing a racehorse. Intending to induce the buyer's assent, a stable owner said, "My thoroughbred horse can run a mile in 90 seconds." However, the stable owner did not know how fast the horse could actually run. The stable owner made a ***fraudulent*** misrepresentation.

(2) A restaurateur mistakenly informed a vegetarian patron that the restaurant's "Green Burger" did not contain any meat. The "Green Burger" actually included beef and bacon. Although the misrepresentation was not fraudulent, the restaurateur made a ***material*** misrepresentation known to be likely to induce the vegetarian patron's assent.

## c. Justified Reliance

A party ***justifiably relies*** on a misrepresentation if the untrue assertion is presented as a ***fact***, unless either (1) the statement is patently false, or (2) the party knows it to be false. Reliance is justifiable even if the party fails to use reasonable care to discover its falsity. An opinion or a judgment about value, quality, authenticity, or related matters justifies reliance only in limited circumstances.

### i. Opinion or Judgment Implying Facts

Reliance on an opinion or judgment is justified insofar as the statement implies that the facts as the speaker understands them either (1) are consistent with the opinion or judgment or (2) justify forming the opinion. For instance, stating that a sewage system is good implies that the system is, at the very least, functional. [*See* Restatement (Second) of Contracts § 168 cmt. d., illus. 3-4.]

### ii. Relationship

An opinion justifies reliance if there is a relationship of ***trust and confidence*** between the party and the speaker (typically, but not necessarily, a fiduciary relationship), so that the party's reliance is reasonable. [*See* Restatement (Second) of Contracts § 169.]

#### iii. Special Skill

An opinion justifies reliance if the party reasonably believes that the speaker, as compared to the party, has special ***skill***, ***judgment***, or ***objectivity*** regarding the subject matter. [*See* Restatement (Second) of Contracts § 169.]

*Example*:

A record producer knew that an aspiring singer did not have the ability to succeed in the music industry. However, the record producer told the singer, "You have a great voice and should pay me to record your demo album. You'll be famous!" The aspiring singer was ***justified in relying*** on the record producer's opinion, because the singer could reasonably believe that, as compared to the singer, the record producer had special skill, judgment, and objectivity regarding whether the singer could achieve success in the music industry.

#### iv. Particular Susceptibility

An opinion justifies reliance if the party is ***particularly susceptible,*** for a special reason, to the type of misrepresentation involved. Special reasons include illiteracy, unusual gullibility, or lack of intelligence. [*See* Restatement (Second) of Contracts § 169.]

*Example*:

A homeowner asked a refrigerator repairman whether her refrigerator needed to be serviced. The repairman told the homeowner to read the information printed on the back of the refrigerator, because the information would indicate how often the refrigerator needed servicing. The homeowner told the repairman that she was unable to read. The repairman then told the homeowner that she should go ahead and have the refrigerator serviced, even though the repairman knew that the manufacturer did not recommend servicing the refrigerator for another two years. The homeowner was ***justified in relying*** on the repairman's opinion, because of the special circumstance of her illiteracy.

## 5. Illegality and Public Policy

A contractual promise may be unenforceable on the distinct, but conceptually related, grounds of illegality or contravention of public policy. [*See* 5 *Williston on Contracts* § 12:1 (4th ed.).]

## a. Illegality

In general, a contractual promise is unenforceable on grounds of ***illegality*** if: (1) performance would constitute an illegal act, (2) any promised consideration is illegal, (3) a party's duty to perform hinges on an illegal condition, (4) the contract's object or purpose is illegal, or (5) the promise itself is unenforceable under applicable statutory or other law. Put more generally, a contract is unenforceable to the extent a party would have to rely on the occurrence or nonoccurrence of an illegal act to support a right to relief under the contract. [*See* 17A Am. Jur. 2d *Contracts* § 217-219, 221, Westlaw (database updated Aug. 2018); 5 *Williston on Contracts* § 12:1 (4th ed.).]

## b. Public Policy

A contract is unenforceable to the extent that enforcement would ***contravene public policy***, even if its performance or object would not necessarily be illegal. In general, a contract contravenes public policy if the court determines that enforcing it would be injurious or repugnant to the public interest or welfare or to good morals. [*See* 17A Am. Jur. 2d *Contracts* § 238, Westlaw (database updated Aug. 2018).]

### i. Factors Considered

Courts generally consider these factors in deciding whether a contract is unenforceable on public-policy grounds:

- the contract's subject matter,
- the strength of the public policy as expressed or embodied in any governing law or judicial precedent,
- the likelihood that nonenforcement would further the relevant public policy,
- the magnitude and deservedness of any loss or forfeiture a party would suffer upon nonenforcement,
- the parties' relative bargaining strength, and
- the general policy favoring freedom of contract.

[*See* 17A Am. Jur. 2d *Contracts* § 238, Westlaw (database updated Aug. 2018).]

### ii. Types of Contracts Generally Unenforceable on Public-Policy Grounds

Courts have consistently found certain types of contracts unenforceable on public-policy grounds, including:

- contracts for sexual intercourse;

- contracts violating antitrust law or policy (*i.e.*, contracts unreasonably restraining trade) or unreasonably restricting a party's right to pursue a gainful occupation;
- contracts the ***sole*** significant purpose of which are to discourage or restrain marriage;
- any promise to commit or induce a tort;
- any promise to violate a fiduciary duty or that tends to or does induce or encourage a breach of fiduciary duty; and
- any term exempting a party from liability for intentional, knowing, or reckless misconduct.

[*See* 17A Am. Jur. 2d *Contracts* § 270, Westlaw (database updated Aug. 2018); Restatement (Second) of Contracts §§ 186, 189, 192-95.]

*Examples*:

(1) A politician offered $20,000 to a journalist to publish a false and defamatory statement about the president of the United States. The contract was unenforceable on public-policy grounds because the offer involved libel (a serious tort).

(2) After leaving a group practice, a doctor was sued for violating a noncompete clause in his employment contract with the group practice. The noncompete clause prevented the doctor from providing even emergency treatment in a large geographic area for a number of years. Because the public's interest in receiving medical treatment outweighed the group practice's business interests, the noncompete clause was against public policy and therefore unenforceable. [*See Valley Medical Specialists v. Farber*, 982 P.2d 1277 (Ariz. 1999).]

## 6. Unconscionability

A party may assert the defense of ***unconscionability*** if both the bargaining process and terms of the contract are so one-sided as to be ***fundamentally unfair***. The court will consider whether the contract has a high degree of ***procedural*** and ***substantive*** unconscionability. [*See* U.C.C. § 2-302 cmt. 1 (2002); Restatement (Second) of Contracts § 208, with comments.]

### a. Procedural Unconscionability

A contract is procedurally unconscionable if (1) a ***significant inequality in bargaining power*** prevents one of the parties from having a meaningful choice or real alternative in setting the terms of the agreement, or (2) the contract involves some aspect of

***unfair surprise***. One example of procedural unconscionability is a contract with buried terms purposely hidden. [*See* Restatement (Second) of Contracts § 208, with comments.]

*Example*:

An impoverished buyer who lacked financial sophistication entered into multiple contracts to purchase expensive items from a furniture store. Despite full knowledge of the buyer's impoverishment and lack of sophistication, the furniture store continued to extend credit to the buyer and allowed the buyer to enter into additional contracts. The furniture store failed to explain the terms of the contracts, including the fact that the furniture store was allowed to repossess all purchased items if the buyer missed a single payment. The terms laying out this practice were expressed in one sentence amidst a series of paragraphs of fine print. Because the bargaining process smacked of excessively sharp practice and irresponsible conduct in business, the contracts were ***procedurally*** unconscionable. [*Adapted from Williams v. Walker-Thomas Furniture Co.*, 350 F.2d 445 (D.C. Cir. 1965).]

### b. Substantive Unconscionability

A contract is substantively unconscionable if the terms are ***overly harsh or one-sided*** against a party. [*See* U.C.C. § 2-302 cmt. 1 (2002); Restatement (Second) of Contracts § 208, with comments.]

*Example*:

A cell-phone company provided service agreements to customers on a ***take-it-or-leave-it*** basis. The terms of the service agreement contained a waiver that would prevent either party from commencing a class-action lawsuit. However, as companies typically do not sue their customers in class-action lawsuits, the waiver was indisputably one-sided in favor of the cell-phone company. The service agreements were ***substantively*** unconscionable. [*Adapted from Gatton v. T-Mobile USA, Inc.*, 152 Cal. App. 4th 571 (2007).]

## 7. Statute of Frauds

Under the statute of frauds, certain types of contracts are ***unenforceable*** unless the terms are set forth in a ***writing signed by the party to be charged***. ***Six classes*** of contracts fall within the statute of frauds:

- ***suretyship*** contracts,
- ***land*** contracts,

- contracts that cannot be fully performed in ***one year***,
- contracts for the sale of ***goods*** for $500 or more,
- ***executor-administrator*** contracts, and
- ***marriage*** contracts.

A mnemonic that may help to remember the six classes is ***SLY GEM*** (suretyship, land, year, goods, executor, marriage). If a contract falls within one of the classes, the court will require a signed writing before enforcing the terms. [*See* U.C.C. § 2-201 (2002); Restatement (Second) of Contracts §§ 110, 132, with comments.]

### a. Writing, Statute of Frauds

For purposes of the statute of frauds, a ***writing*** is any physical or electronic document or memorandum (or a series of related documents or memoranda) affording a reasonable basis to believe that a contract has been made. The writing may consist of the contract itself, a check tendering the purchase price, scribbled notes, and the like. To suffice under the common law, the writing must reasonably identify the ***parties***, the contract's ***subject matter***, any promised ***consideration***, and the nature and time of ***performance***. Under the UCC statute of frauds, the writing only needs to (1) provide a basis to believe a contract has been made and (2) state the quantity of goods. The contract is enforceable only up to the quantity of goods stated in the writing. [*See* 72 Am. Jur. 2d *Statute of Frauds* § 191, Westlaw (database updated Aug. 2018); U.C.C. § 2-201 cmt. 1 (2002).]

*Example*:

A sales manager entered into an agreement to be employed for two years. Because the contract could not be performed within one year, it fell within the statute of frauds. Although the terms of the employment agreement were set forth in an unsigned written document, a general manager subsequently signed a payroll change card that confirmed the agreement. Because the documents related to the ***same transaction***, there was a signed writing sufficient for the statute of frauds. [*See Crabtree v. Elizabeth Arden Sales Corp.*, 110 N.E.2d 551 (N.Y. 1953).]

### b. Signed by Party to be Charged

Generally, under both the common law and the UCC, the writing must be ***signed*** by the party to be charged. Put simply, the party to be charged is the party against whom enforcement is sought. A ***signature*** might include not only a typical handwritten signature but also any other mark placed on the writing that (1) identifies the signer and (2) manifests intent to adopt or authenticate the writing. [*See* 72 Am. Jur. 2d

*Statute of Frauds* § 257, Westlaw (database updated Aug. 2018); U.C.C. § 2-201 cmt. 1 (2002).]

## c. Suretyship or Guaranty

A contract falls within the statute of frauds if one person promises to answer for the ***duty*** of a third party to the contract. These arrangements are generally called ***suretyship*** or ***guaranty*** arrangements. Typically, the promise involves paying a debt owed by the third person. Under the ***main-purpose rule***, however, a contract does not fall within the statute of frauds if the surety or guarantor makes the promise for his or her own ***economic advantage***, rather than for the benefit of the third person. [*See* Restatement (Second) of Contracts §§ 112, 116.]

*Example*:

A law student committed the tort of false imprisonment against a classmate. The law student's father met with the classmate and ***promised to pay for the damages*** resulting from the tort if the law student failed to do so, in exchange for the classmate's promise to remain quiet about the tort when speaking to professors and other classmates. This contract fell within the statute of frauds and required a signed writing to be enforceable. [*Adapted from* Restatement (Second) of Contracts § 112 cmt. b, illus. 1.]

*Compare:*

A general contractor agreed to build a house for a landowner and hired a subcontractor to furnish materials for the house. When the general contractor failed to pay for some of the materials, the subcontractor ceased performance. The landowner orally promised to pay for the materials if the general contractor failed to do so, as long as the subcontractor continued to furnish materials for the house. The landowner made the promise for his ***own economic advantage***. Thus, under the ***main-purpose rule***, the contract was enforceable even without a signed writing. [*Adapted from* Restatement (Second) of Contracts § 116 cmt. b, illus. 3.]

## d. Land Contracts

A contract falls within the statute of frauds if it contemplates a transfer of an interest in land ***other than*** a lease or an easement of less than one year's duration. Examples include contracts for the sale of land, real-property leases for longer than a year, easements with a duration longer than a year, and mortgages. [*See* Restatement (Second) of Contracts § 125, with comments.]

#### i. Part-Performance Exception, Real-Estate Contracts

A real-estate contract, particularly one for the purchase and sale of real estate, may be enforceable without a signed writing under the ***part-performance exception***. Traditionally, this exception requires that the designated recipient of an interest in real property (1) take clear, definite, visible, and reasonably continuous possession of the real property with apparent intent to carry out the contract and (2) either pay at least part of the purchase price or make improvements to the land. If the taking of possession is reasonably explicable with reference to facts other than the existence of a sales contract, then the part-performance exception will not apply. [73 Am. Jur. 2d *Statute of Frauds* §§ 304-05, 311, 314, Westlaw (database updated Aug. 2018).]

### e. One Year

A contract falls within the statute of frauds if, ***by its terms***, the contract cannot be fully performed by any party or all parties within ***one year***. This does not include contracts of indefinite or uncertain duration. Despite the general rule, a party may receive a remedy to the extent he renders actual performance under the contract, which is usually the contract value for the performance rendered or, if the contract does not specify a value, the reasonable value of that performance. [*See* Restatement (Second) of Contracts § 130, with comments.]

*Examples*:

(1) A construction manager orally agreed to oversee a housing project at a university, which involved the construction of several buildings. Even though the housing project would almost certainly take at least several years to complete, it was ***not impossible*** to fully perform within one year under the terms of the contract. Thus, the oral contract did not fall within the statute of frauds and was ***enforceable***. [*Adapted from C.R. Klewin, Inc. v. Flagship Props., Inc.*, 600 A.2d 772 (Conn. 1991).]

(2) A man promised to work for a company, and the company promised to employ the man for life at a stated salary with incremental yearly increases. The man could have died at any time, including within one year of the contracting. Thus, the company's promise of lifetime employment could be fulfilled within one year, and the contract was not within the statute of frauds. [*Adapted from* Restatement (Second) of Contracts § 130 cmt. a, illus. 2.]

*Compare*:

A couple orally agreed to lease a house for thirteen months from a homeowner. Because it was ***impossible*** for the terms to be fully ***performed within one year***, the oral contract fell within the statute of frauds and was unenforceable. [*Adapted from Shaughnessy v. Eidsmo*, 23 N.W.2d 362 (Minn. 1946).]

## f. Sale of Goods for $500 or More

A contract for the sale of goods falls within the UCC's statute of frauds if the price is ***$500 or more***. There are four ***exceptions*** to this rule:

- if the goods are specially manufactured,
- if the party against whom enforcement is sought admits there was a contract,
- if there has been ***part performance***, and
- if the contract is between ***merchants***.

[*See* U.C.C. § 2-201 (2002).]

### i. Contract Modifications, UCC Statute of Frauds

Under the UCC, if an initial contract does not fall within the statute of frauds but is later modified so that it does fall within the statute of frauds, then the contract ***as modified*** is subject to the statute of frauds. However, if the initial contract falls within ***and satisfies*** the statute of frauds, then any modification need not satisfy it. The initial enforceability passes through to the modifications. A contract subject to the UCC statute of frauds is enforceable only up to the quantity of goods indicated in the writing. Thus, if a modification to a contract subject to the statute of frauds purports to change the ***quantity***, then the modification itself must appear in a writing satisfying the statute of frauds. [*See* U.C.C. §§ 2-201, 2-209; *Costco Wholesale Corp. v. World Wide Licensing Corp.*, 898 P.2d 347 (Wash. Ct. App. 1995).]

**Note**: Under the UCC, if a signed contract expressly provides that it can be modified only by a signed writing, then it can be modified only by a signed writing. [U.C.C. § 2-209(2) (2002).]

*Example*:

A department store entered into a signed, written contract to purchase 2,000 boxes of jewelry from a wholesale jeweler for $75,000. A sales agent for the department store orally promised to buy an additional 1,250 boxes of jewelry from

the jeweler. The initial contract fell within and satisfied the statute of frauds. Thus, the oral modification to purchase the additional boxes would not ordinarily need to satisfy the statute of frauds. However, a contract subject to the UCC statute of frauds is enforceable only up to the quantity of goods indicated in the writing. No writing reflected the additional 1,250 boxes of jewelry. Thus, the purely oral modification was unenforceable. [*Adapted from Costco Wholesale Corp. v. World Wide Licensing Corp.*, 898 P.2d 347 (Wash. Ct. App. 1995).]

### ii. Specially Manufactured Goods

A signed writing is not required if the contract is for the sale of ***specially manufactured goods*** that are ***not suitable for sale*** to others in the ordinary course of the seller's business. The seller must have substantially begun to manufacture the goods or made a commitment to procure the goods (1) before receiving notice that the buyer has repudiated (*i.e.*, manifested intent to back out of) the contract and (2) under circumstances reasonably indicating that the goods are or are to be made for the buyer. [U.C.C. § 2-201(3)(a) (2002).]

*Example*:

A sports-team manager orally agreed to purchase 100 custom jerseys and 50 custom hats from a clothing manufacturer for $1,000. After the clothing manufacturer had already produced 25 custom jerseys and made a commitment to procure 50 hats from another manufacturer, the sports-team manager backed out of the agreement. The hats and jerseys were not suitable for sale to others in the ordinary course of the manufacturer's business. The oral contract is enforceable, because the manufacturer had ***substantially begun*** to produce the ***custom goods*** and made a ***commitment to procure*** goods needed to fill the order.

### iii. Admission

A signed writing is not required if the party against whom enforcement is sought ***admits*** in court by pleading, testimony, or other means that a contract for sale was made. However, the contract is enforceable only up to the quantity of goods admitted. [U.C.C. § 2-201(3)(b).]

*Example*:

A buyer orally promised to purchase a sailboat from a seller for $50,000 but breached the agreement. When sued by the seller, the buyer ***admitted in a deposition*** to entering into a contract for the sailboat. The oral contract was

enforceable. [*Adapted from Cohn v. Fisher*, 287 A.2d 222 (N.J. Super. Ct. Law Div. 1972).]

#### iv. Part Performance

A contract subject to the UCC statute of frauds is enforceable without a signed writing to the extent that (1) the goods have been accepted or (2) payment for the goods has been made and accepted. [U.C.C. § 2-201(3)(c).]

*Example*:

A buyer orally promised to purchase a sailboat from a seller for $4,650 but only sent the seller a check for $2,325. Because the buyer's ***payment*** and the seller's ***acceptance*** of the check constituted ***part performance***, the oral contract was enforceable. [*See Cohn v. Fisher*, 287 A.2d 222 (N.J. Super. Ct. Law Div. 1972).]

#### v. Confirmatory Memorandum, Contract between Merchants

Under the UCC, if (1) the contract is between ***merchants***, (2) one party sends a ***writing confirming the contract*** to the other, (3) the writing would satisfy the statute of frauds as against the sender, (4) the recipient receives the writing and has reason to know of its contents, and (5) the recipient does not reply to the sender with written objection to the writing's contents within ***10 days*** of receipt, then the writing satisfies the statute of frauds as against ***the recipient***. [U.C.C. § 2-201(2) (2002).]

### g. Executor-Administrator Contract

A contract falls within the statute of frauds if the ***executor or administrator*** of a deceased person's estate promises to answer ***personally*** for a ***duty*** of the deceased person, usually paying a debt. [*See* Restatement (Second) of Contracts § 111.]

*Example*:

A husband died, leaving his wife as the executor of his estate. The husband owed $5,000 to a creditor. In exchange for the creditor's promise to forgo $1,000 of the debt, the wife promised to ***pay*** the remaining $4,000 ***personally***. The contract falls within the statute of frauds and requires a signed writing to be enforceable.

### h. Marriage

A contract falls within the statute of frauds if the consideration for the contract involves ***marriage*** or a promise to marry ***unless*** the contract consists ***solely*** of mutual promises to marry. This rule also applies if a third party makes some promise to the

marrying parties in consideration of marriage. [*See* Restatement (Second) of Contracts § 124, with comments.]

*Examples*:

(1) A boyfriend promised to move to another state and marry his long-distance girlfriend. In exchange, the girlfriend promised to provide financial support to her boyfriend and execute a new will leaving him all of her property. The ***promise in consideration of marriage*** fell within the statute of frauds and was unenforceable without a signed writing. [*See Dienst v. Dienst*, 141 N.W. 591 (Mich. 1913).]

(2) A man and woman had been dating for many years. The man's father orally promised to give the couple a honeymoon to Paris if they got married. The couple agreed and were married, but the father reneged and refused to pay for the honeymoon. The promise in consideration of marriage fell within the statute of frauds and was therefore unenforceable, because the father ***did not sign any writing***.

*Compare*:

A man and woman agreed to marry in six months. Because the agreement consisted ***solely of a mutual promise to marry***, the marriage contract was enforceable, even without a signed writing.

## V. Interpretation

In enforcing a contract, the court must interpret the terms of the agreement to determine the appropriate remedy. Ordinarily, courts will interpret a contract according to its plain meaning, unless the parties clearly intended a specialized meaning. Often, however, terms may be ***ambiguous***—that is, susceptible to more than one reasonable interpretation. The process of interpretation generally involves the application of ***rules of construction*** and the ***clarification of terms***. However, the use of extrinsic evidence during interpretation is limited by the ***parol-evidence rule***. [*See* Restatement (Second) of Contracts § 202; Parol-Evidence Rule, *infra*.]

### A. Ambiguities

A term is ***ambiguous*** if it is susceptible to more than one reasonable interpretation. The ambiguity is ***patent*** if it appears on the face of the contract. The ambiguity is ***latent*** if the agreement is clear on its face but admits multiple reasonable interpretations if viewed in light of the circumstances. [*Ambiguity*, *Black's Law Dictionary* (10th ed. 2014).]

*Example*:

A seller contractually agreed to ship cotton to a buyer via a ship called the *Peerless*. Unknown to either party, two ships named *Peerless* were to sail from the seller's location to the buyer's location on the day on which the seller was to ship the cotton. The term *Peerless* in the contract had a ***latent ambiguity***. Facially, the term was clear. However, considered in view of the fact that two ships named *Peerless* were scheduled to sail on the same day from the seller's location to the buyer's location, the term was ambiguous. [*Adapted from Raffles v. Wichelhaus*, 159 Eng. Rep. 375 (1864).]

## B. Rules of Construction

Courts adhere to ***rules of construction*** in choosing among reasonable interpretations of a contract. These rules and standards are intended to assist courts in determining the meaning or legal effect of ***ambiguous*** terms; they do not apply if the result would be inconsistent with the ***clear***, ***express*** language of the contract. [*See* Restatement (Second) of Contracts §§ 202-03, 206.]

### 1. Parties' Intent and Purpose

The parties' intent and purpose receive great weight.

### 2. Parties' Words and Conduct

Courts interpret the parties' words and conduct in light of the surrounding circumstances.

### 3. Favoring Lawful, Effective Construction

Courts generally interpret a contract so that the terms are reasonable, lawful, and effective (*i.e.*, not void).

### 4. Specific over General

Typically, more specific terms prevail over more general language.

### 5. Negotiated Terms over Boilerplate

Specifically negotiated or added terms generally prevail over standardized, preformatted, or form language, also known as ***boilerplate***.

### 6. Construction against the Drafter

Generally, ambiguous contractual language is interpreted adversely to the party who drafted it.

### 7. Course of Performance

If a single contract involves repeated performances by either party, *e.g.*, in an installment contract, evidence of the ***course of performance*** of the contract is strong evidence of the contract's meaning, provided the parties acquiesce to it without objection. Unambiguous express language, of course, prevails over course of performance. [*See* Installment Contracts, *infra*.]

### 8. Course of Dealing

If the parties to a contract have undertaken similar transactions in the past, that prior ***course of dealing*** is strong evidence of the current contract's meaning. However, unambiguous express language and course of dealing generally prevail over course of dealing.

### 9. Customs and Usage

A relevant custom, usage, or regularly observed trade practice is often evidence of the contract's meaning, provided (1) the parties know of or assent to the custom, usage, or trade practice; (2) the custom, usage, or trade practice is so generally known or accepted that the parties can be presumed to know about it; or (3) the parties are engaged in the industry in which the custom, usage, or trade is observed.

## C. Clarifying Terms

The terms of a contract must be reasonably certain for a court to enforce the agreement. In most cases involving uncertainty, a court must clarify the meaning of an ***indefinite***, ***ambiguous***, or ***omitted*** term.

### 1. Indefinite or Omitted Essential Terms

A term is ***indefinite*** if it is left open or uncertain. A term is ***omitted*** if it does not appear in the contract. If the indefinite term is ***essential***, then the court will likely void the contract for indefiniteness. However, if the parties intended to form a binding agreement, then the court will, if reasonable, supply a ***customary or reasonable*** term and enforce the contract (*e.g.*, supplying a missing price term with reference to fair market value). [*See* U.C.C. § 2-204 (2002); Restatement (Second) of Contracts §§ 33, 204, with comments.]

#### a. Essential Terms

Which terms are essential to a given contract necessarily varies with the circumstances. Generally, though, essential terms include:

- the contract's subject matter (*e.g.*, the land in a real-estate contract);

- price or other consideration, whether definitely fixed or ascertainable with reference to some objective standard or formula;
- the quantity of goods or other things to be sold;
- the contract's duration; and
- the timing of each party's performance.

[*See* 17A Am. Jur. 2d *Contracts* §§ 188, 191, Westlaw (database updated Aug. 2018).]

### b. UCC Gap-Fillers: Price

Under the UCC, a contract may be formed even if the price term is left open. If (1) a price term is omitted or (2) the parties are to fix a price by later agreement or some external standard or event, and the price is never fixed, then the price is ***a reasonable price*** at the time the goods are delivered. If the seller is to fix the price, then she must do so in good faith. If the parties intended that there be no contract without a fixed price, and the price is never fixed, then (1) there is no contract, (2) the buyer must return or pay for any goods received, and (3) the seller must return any price paid for goods returned or not delivered. [*See* U.C.C. § 2-305 (2002).]

### c. UCC Gap-Fillers: Time, Place, Delivery

Unless the contract specifies otherwise, (1) payment for the goods is due at the time and place the buyer is to receive the goods; (2) goods are to be shipped or delivered within a reasonable time after the contract is formed; and (3) the place for delivery of the goods is the seller's place of business (or, if the seller has none, the seller's residence) or the place where the goods are at the time of contracting if the goods are identified, and the parties know them to be there. [U.C.C. §§ 2-308, 2-309, 2-310 (2002).]

### d. UCC Gap-Fillers: Duration

If the contract calls for successive performances, but duration is not definitely stated, then the duration is a ***reasonable time***. However, unless otherwise agreed, either party may terminate the contract at any time. [U.C.C. § 2-309(2) (2002).]

### e. UCC, Missing Quantity Term

In general, a contract subject to UCC Article 2 is void for indefiniteness if it fails to specify the quantity of goods to be sold; courts will not supply a quantity term if one is missing. However, if the contract calls for the seller to provide as many goods as the buyer requires (a ***requirements contract***) or for the buyer to buy as many goods as the seller can or will produce (an ***output contract***), then two special rules apply. First, the

quantity term means as many outputs or requirements as will arise or occur in ***good faith***. Second, neither party may demand or tender a quantity that is ***unreasonably disproportionate*** to (1) any stated estimate or, if none, (2) any comparable prior demands or tenders. [*See* U.C.C. § 2-306 (2002); John R. Trentacosta, *The Much-Maligned Purchase Order*, 86 Mich. B.J. 32 (2007).]

**Note**: Some jurisdictions require that the requirements contract or output contract be exclusive. A requirements contract is exclusive if the buyer agrees to purchase its requirements for the goods solely from the seller. An output contract is exclusive if the seller promises to supply its production of the goods solely to the buyer. [*See* Shelley Smith, *A New Approach to the Identification and Enforcement of Open Quantity Contracts: Reforming the Law of Exclusivity and Good Faith*, 43 Val. U. L. Rev. 871 (2009).]

## 2. Misunderstanding

If the parties both assigned the same meaning to an ambiguous term, then a court will interpret the contract based on that meaning. However, if the parties understood different meanings, and one party knew of the other's understanding, then a court will interpret the term against the party who knew of the other's understanding. If the parties assigned different meanings to the term, and neither knew of the other's understanding, then the court will void the contract for lack of mutual assent. [*See* Restatement (Second) of Contracts § 201.]

*Examples*:

(1) A seller agreed to deliver cotton to a buyer via a ship named the *Peerless*. Neither party realized that two different ships named *Peerless* were sailing from the seller's location to the buyer's location on the same day. Because it was unclear whether the parties understood the same meaning of the term, the contract was void for lack of mutual assent. [*Adapted from Raffles v. Wichelhaus*, 159 Eng. Rep. 375 (1864).]

(2) A coin collector agreed to purchase "Swiss coins" from a seller for $50,000. The coin collector believed that "Swiss coins" referred to all of the seller's coins from Switzerland, while the seller believed that "Swiss coins" referred to only a subset of coins in her collection. Neither party was aware of the other's understanding. The contract was void for lack of mutual assent. [*Adapted from Oswald v. Allen*, 417 F.2d 43 (2d Cir. 1969).]

*Compare*:

A fisherman agreed to sell "fish" to a restaurant owner. "Fish" ambiguously referred to either salmon or tuna. Based on the restaurant owner's prior conversations with the fisherman, the restaurant owner understood "fish" to mean salmon. However, the fisherman intended to sell only tuna. The fisherman was ***aware of the misunderstanding*** at the time of the contract. The court interpreted "fish" to refer to salmon, rather than voiding the contract for lack of mutual assent.

### 3. Supplying Missing Term Requiring Performance

It may be that the parties clearly intended to form a contract, but they inadvertently drafted the agreement in a way that, read literally, gives one party sole discretion whether to perform at all. Ordinarily, a contract like this would be void for lack of consideration. However, in cases like this, if it is reasonable to do so, courts may imply an obligation on the part of the party who seems to have none—*e.g.*, an obligation to use good-faith efforts to perform. [*See Wood v. Lucy, Lady Duff-Gordon*, 118 N.E. 214 (N.Y. 1917).]

*Example*:

A fashion designer granted an advertising agent the exclusive right to market and sell her clothing designs, as well as to place her endorsement on anyone else's clothing designs. Although the contract did not specify whether the advertising agent was actually required to market any designs or place any endorsements, it was ***reasonable and implied*** that the parties expected the advertising agent to use his best efforts to promote the fashion designer by marketing her designs and placing endorsements. Otherwise, the contract would have appeared irrational. Thus, the court supplied this obligation instead of declaring the contract void. [*Adapted from Wood v. Lucy, Lady Duff-Gordon*, 118 N.E. 214 (N.Y. 1917).]

## D. General Obligation of Good Faith and Fair Dealing

In every contract, the law implies an obligation on both parties of ***good faith and fair dealing***. Generally, a party breaches this obligation through conduct that, although not contrary to the letter of the contract, violates the spirit of the contract by (1) unfairly, unjustly, or opportunistically defeating the other party's contractual expectations or (2) unfairly failing to cooperate to enable the other party to perform under the contract. [*See* 17A Am. Jur. 2d *Contracts* § 362, Westlaw (database updated Aug. 2018).]

### 1. Good Faith, UCC

Under the UCC, the term ***good faith***, as applied to a ***merchant***, requires "honesty in fact and the observance of reasonable commercial standards of fair dealing in the trade." [U.C.C. § 2-103(1)(b) (2002).]

## E. Parol-Evidence Rule

In general, the common-law ***parol-evidence rule*** provides that courts may not consider evidence of prior or contemporaneous oral or written agreements (or other evidence outside the four corners of the contract) to vary or contradict the unambiguous terms of an ***integrated agreement***. [*See* 29A Am. Jur. 2d *Evidence* § 1104, Westlaw (database updated Aug. 2018); Restatement (Second) of Contracts §§ 213-14; *Extrinsic Evidence*, *Parol-Evidence Rule*, *Black's Law Dictionary* (10th ed. 2014).]

### 1. Integrated Agreement

In general, an agreement is ***integrated*** insofar as it (1) consists of a writing or a series of related writings forming one transaction and (2) embodies the ***final*** expression of the parties' intent concerning the contract's subject matter. [*See* Restatement (Second) of Contracts §§ 209, with comments.]

#### a. Completely Integrated

A completely integrated agreement is the ***full and final*** expression of the parties' intent regarding the contract's subject matter. The parol-evidence rule excludes extrinsic evidence of prior or contemporaneous oral or written agreements or negotiations that are ***within the scope*** of the completely integrated agreement. In other words, the court may not use extrinsic evidence to contradict or supplement (*i.e.*, add to) the contract. [*See* Restatement (Second) of Contracts §§ 213(1)-(2), 214-16, with comments.]

*Example*:

A farmer entered into a written contract to sell his farm to a buyer. The farmer also orally agreed to remove a nearby icehouse. However, the written agreement was ***completely integrated***, as the sale of the farm did not inherently imply the removal of the icehouse. Evidence of the oral agreement was not permissible to supplement the contract. [*See Mitchill v. Lath*, 160 N.E. 646 (N.Y. 1928).]

#### b. Partially Integrated

A partially integrated agreement is a ***final but incomplete*** statement of the parties' intent regarding the contract's subject matter. The parol-evidence rule excludes extrinsic evidence of prior or contemporaneous agreements or negotiations that are

***inconsistent*** with the partially integrated agreement. In other words, the court may use extrinsic evidence to add terms to the contract, but not to contradict it. [*See* Restatement (Second) of Contracts §§ 213(1), 214-16, with comments.]

*Example*:

A buyer entered into a written contract to purchase jewelry from a seller, with the stipulation that the buyer could return the jewelry for a refund. The contract did not specify the time limit for the return. The parties orally agreed that the buyer had until the following Monday to return the jewelry. Because the written agreement was only ***partially integrated***, extrinsic evidence of the oral agreement was permissible to supplement the contract. [*Adapted from George v. Davoli*, 397 N.Y.S.2d 895 (Geneva City Ct. 1977).]

### c. Merger Clause

Written contracts often contain so-called ***merger clauses*** meant to invoke the parol-evidence rule. A typical merger clause provides that (1) there are no representations, promises, or agreements between the parties except those stated in the contract, or perhaps that (2) all prior negotiations or correspondence between the parties is merged with and superseded by the contract. Generally, a merger clause is strong, but not conclusive, evidence that the contract is completely integrated. Some courts may presume that a contract with a merger clause is completely integrated, absent contrary evidence. [*See* 29A Am. Jur. 2d *Evidence* § 1107, Westlaw (database updated Aug. 2018); Restatement (Second) of Contracts § 216 cmt. e.]

## 2. Exceptions to the Parol-Evidence Rule

The court may admit extrinsic evidence to: (1) establish the extent to which the agreement is ***integrated*** (or not), (2) ***clarify*** the meaning of an ambiguous term, (3) support a ***defense*** to enforceability or establish whether a valid contract was formed, (4) grant or deny a ***remedy***, or (5) establish a ***subsequent*** modification to the contract. [*See* Restatement (Second) of Contracts § 214, with comments.]

*Examples*:

(1) A gun-store owner entered into a written contract to sell a large quantity of rifles to a buyer. Subsequently, the gun-store owner asserted the ***defense of illegality*** when sued by the buyer for breaching the contract. The court may consider extrinsic evidence indicating that the gun-store owner and the buyer had previously agreed that the rifles would be used illegally to support a rebellion against the local government. [*Adapted from* Restatement (Second) of Contracts § 214 cmt. c, illus. 6.]

(2) A millionaire entered into a written contract to sell a tract of land to a corporation. However, the terms of the integrated agreement incorrectly described the tract of land as a different tract of land. The millionaire argued that the court should implement the equitable remedy of reformation (which sometimes allows a court to amend a contract if it misstates the parties' intent) and modify the description in the contract to refer to the correct tract of land. The court could have considered extrinsic evidence of prior agreements between the millionaire and the corporation in determining whether reformation would be an appropriate remedy. [*Adapted from* Restatement (Second) of Contracts § 214 cmt. d, illus. 7.]

### 3. UCC Parol-Evidence Rule

Under the UCC, if (1) the parties' writings agree on a particular term or (2) the term is set forth in a writing that the parties intend to be their agreement's final expression concerning the terms in the writing, then evidence of any prior agreement or any contemporaneous oral agreement is ***inadmissible*** to ***contradict*** the term. However, specific evidence is ***admissible*** to ***explain*** or ***supplement*** the term, namely: (1) course of performance; (2) course of dealing; (3) usage of trade; or (4) evidence of consistent additional terms, unless the court finds that the agreement is ***completely integrated***. [*See* U.C.C. § 2-202 (2002).]

## VI. Performance

An injured party to a contract is generally entitled to a remedy if the other party ***breaches*** the contract by failing to perform the agreed terms. However, the court may decline to award a remedy in certain cases, particularly if the ***circumstances*** have changed or the contract is affected by a ***mistake***. Also, the occurrence or nonoccurrence of a ***condition*** may effectively excuse what would otherwise be a breach of contract.

### A. Breach Generally

Technically, a ***breach*** is any failure to render full performance when performance is due. Any breach will, at the very least, entitle the nonbreaching party to damages. A sufficiently serious uncured breach may suspend or discharge (*i.e.*, terminate) the nonbreaching party's duty of performance and give the nonbreaching party a right to terminate the contract and recover damages. In general, to have any remedy for breach, the nonbreaching party must be ready and willing to perform. [*See* Restatement (Second) of Contracts §§ 235, 237, with comments.]

### 1. Effect of Breach on Nonbreaching Party's Duty of Performance

In general, and subject to contrary language in the contract, if one party commits only a minor or technical breach, the nonbreaching party may be entitled to damages, but the

nonbreaching party must still render performance or else commit breach. If one party commits a material breach by failing to render ***substantial*** (if not literally perfect) performance when due, then the nonbreaching party may ***suspend*** performance. The nonbreaching party's duty of performance is discharged, and the other party may terminate the contract, if (1) the breaching party fails to cure the breach (*i.e.*, render ***substantial performance***) within a reasonable time ***after*** performance is due; (2) time is of the essence; (3) cure is impossible or apparently not forthcoming; or (4) the breaching party ***repudiates*** the contract. [*See* Restatement (Second) of Contracts § 237, with comments; 17A Am. Jur. 2d *Contracts* § 554, Westlaw (database updated Aug. 2018).]

### a. Performance as a Condition

Another way to state the effect of a breach on the nonbreaching party's duty of performance is that, in general, a ***condition*** to each party's remaining duty of contractual performance is that there be no uncured, material failure by the other party to render performance due at some earlier time. Thus, an uncured, material breach will suspend or terminate the nonbreaching party's duty to perform ***unless*** the breach is ***excused***. A breach may be excused on the same grounds as the nonoccurrence of any other condition, such as waiver or disproportionate forfeiture. [*See* Restatement (Second) of Contracts § 237: Conditions, *infra*.]

### b. Material Breach, Substantial Performance

***Material breach*** is the absence of substantial performance. In other words, a material breach is one so serious or fundamental that it thwarts the purpose of the contract or deprives the nonbreaching party of the essential benefit of its bargain. By contrast, a minor, technical, incidental, or trivial breach that leaves the nonbreaching party with the essential benefit of her bargain may give rise to a claim for damages, but it will not suspend or discharge the nonbreaching party's duty to perform. [*See* 17A Am. Jur. 2d *Contracts* §§ 544, 548, 554, 594, Westlaw (database updated Aug. 2018); Restatement (Second) of Contracts §§ 237, 242, with comments.]

### c. Factors, Materiality of Breach

Courts generally consider the ***totality of the circumstances*** in deciding whether a breach is material. Relevant factors include:

- the loss to the nonbreaching party,
- the extent to which the nonbreaching party could be compensated for any detriment,
- any disproportionate forfeiture by the breaching party based on that party's preparation or performance in substantial reliance on the exchange,
- the likelihood of cure by the breaching party, and

- any absence of good faith or fair dealing by the breaching party.

[*See* Restatement (Second) of Contracts § 241, with comments.]

*Example*:

A contracting company agreed to build a sewer system for a city. After performing and receiving compensation for 90 percent of the work, the contracting company refused to complete the project. There was a material breach, because the city had not received the benefit of a working sewer system, the very thing for which it had contracted. [*Adapted from Roberts Contracting Co. v. Valentine-Wooten Rd. Pub. Facility Bd.*, 320 S.W.3d 1 (Ark. Ct. App. 2009).]

*Compare:*

A general contractor agreed to build a house with the specification that all pipes were to be manufactured in a specific manufacturing facility. However, the general contractor accidentally installed pipes that were manufactured in other facilities. The pipes installed were practically identical to those that could have been obtained from the specified facility. The breach was discovered after the house was completed, and reinstalling the pipes would have required demolishing and reconstructing the house. There was no material breach, because the general contractor had ***substantially performed*** the terms of the contract at a trivial loss to the owner of the house. [*Adapted from Jacob & Youngs v. Kent*, 129 N.E. 889 (N.Y. 1921).]

## d. Delayed Performance

The general rule is that if a party fails to render full performance when due, the other party may suspend performance but must wait for a ***reasonable time*** after the due date before terminating the contract, unless (1) time is of the essence, (2) cure is impossible or apparently not forthcoming, or (3) the breaching party repudiates the contract. In other words, the nonbreaching party must give the breaching party a reasonable time after the due date to cure the breach by rendering at least substantial performance. However, if ***time is of the essence***, then the nonbreaching party need not give the breaching party a reasonable time to cure the breach. [*See* 17A Am. Jur. 2d *Contracts* §§ 544, 548, 554, 594, Westlaw (database updated Aug. 2018); Restatement (Second) of Contracts §§ 237, 242, with comments; Anticipatory Repudiation, Common Law, *infra*.]

### i. Reasonable Time

A breaching party cures the breach within a ***reasonable time*** after performance is due if, despite the delay, the nonbreaching party receives the essential benefit of

its bargain. By contrast, the delay is unreasonable if it causes the nonbreaching party material prejudice (*i.e.*, detriment). Also, the delay is unreasonable if it is so long that, considering the usual factors relevant to materiality of breach, (1) the nonbreaching party may reasonably conclude that the breaching party does not intend to perform, or (2) the nonbreaching party's ability to obtain adequate substitute performance is substantially compromised. [*See* Restatement (Second) of Contracts § 242, with comments; 17A Am. Jur. 2d *Contracts* §§ 554, 594, Westlaw (database updated Aug. 2018).]

#### ii. Time as of the Essence

If time is of the essence, then the nonbreaching party need not give the breaching party a reasonable time after performance is due to cure the breach. The nonbreaching party's duty of performance is ***completely discharged***, not just suspended, and she may terminate the contract. In general, time is of the essence if, under all the circumstances, performance by the ***exact due date*** is necessary for the nonbreaching party to receive the substantial benefit of her bargain or avoid significant detriment. Many contracts contain express language indicating that time is of the essence to the agreement. Courts generally afford this language great weight, though it is not infallibly conclusive if the overall circumstances indicate that time is not, in fact, of the essence. [*See* Restatement (Second) of Contracts § 242; 17A Am. Jur. 2d *Contracts* §§ 462-63, Westlaw (database updated Aug. 2018); *Breof BNK Tex., L.P. v. D.H. Hill Advisors, Inc.*, 370 S.W.3d 58 (Tex. Ct. App. 2012).]

**Note**: The mere fact that a contract sets a specific date for performance does not, by itself, mean that time is of the essence. [*Breof BNK Tex., L.P. v. D.H. Hill Advisors, Inc.*, 370 S.W.3d 58 (Tex. Ct. App. 2012).]

### e. Divisible Contracts

In general, a ***divisible contract*** is one in which the parties' duties can be broken down into multiple, successive, corresponding sets of performances that can fairly be regarded as bargained-for equivalents. In a divisible contract, a party's performance or breach concerning one set has the same effect on the nonbreaching party's duties concerning that set as it would if the set were a standalone contract. This means that the effect of a breach or performance regarding one set is confined to that set, and it does not impact the larger contract. [*See* Restatement (Second) of Contracts § 240, with comments; 17A Am. Jur. 2d *Contracts* § 613, Westlaw (database updated Aug. 2018).]

*Example*:

A landowner hired a contractor to build 35 houses. The contract specified a set price to be paid upon completion of each house. After building 20 houses, the contractor defaulted. The landowner sued for breach, and the contractor counterclaimed for the contract price for the 20 completed houses. Even though the contractor breached the contract by failing to build the final 15 houses, the contractor was able to recover the money owed for the completed units, because the contract was divisible. [*Carrig v. Gilbert-Varker Corp.*, 50 N.E.2d 59 (Mass. 1943).]

### 2. Tender or Offer of Performance by Nonbreaching Party

In general, a nonbreaching party must ***fully perform*** or, at the very least, ***tender*** performance (*i.e.*, credibly offer to perform) before she may avail herself of any remedies for breach. [*See* 17A Am. Jur. 2d *Contracts* § 579, Westlaw (database updated Aug. 2018).]

## B. Breach, UCC Article 2

On the subject of breach, UCC Article 2 departs from the common law in several significant respects.

### 1. Buyer's Breach

In general, the buyer breaches a contract for the sale of goods by (1) failing to make a payment when due, (2) wrongfully rejecting goods, (3) wrongfully revoking acceptance of goods, or (4) repudiating the contract. [*See* U.C.C. § 2-703 (2002).]

### 2. Seller's Breach, UCC Article 2: Perfect-Tender Rule

In a contract for the sale of goods subject to UCC Article 2, the ***perfect-tender rule*** provides that the goods and their delivery must conform to the contract in ***every respect***, including the time of delivery. If the goods deviate from the contract, even only slightly, then the seller has breached the contract. In that event, the buyer may elect to ***reject*** or ***accept*** the goods entirely, or the buyer may accept some units and reject the rest. [*See* U.C.C. §§ 2-513, 2-601 (2002); Revocation of Acceptance, *infra*.]

**Note**: The perfect-tender rule is a substantial deviation from the common law. Unlike the common law, UCC Article 2 does not distinguish between material and minor breach. If the goods fail to conform to the contract in ***any*** respect, no matter how trifling, the buyer may reject the goods.

*Example*:

A seller entered into a contract to ship 15,000 cubic meters of logs to a buyer by a set date. Subsequent market changes made the buyer's deal under the agreement less favorable, and the seller feared the buyer would cancel the contract. The seller failed to ship the logs by the due date. The ***perfect-tender rule was violated***, regardless of whether the time of delivery was a material term of the contract. Because the seller breached the contract, the buyer could refuse to accept the logs. [*Adapted from Alaska Pac. Trading Co. v. Eagon Forest Prods., Inc.*, 933 P.2d 417 (Wash. Ct. App. 1997).]

## 3. Rejection of Nonconforming Goods

A buyer may reject goods within a reasonable time after delivery by ***promptly notifying*** the seller of the rejection. [*See* U.C.C. § 1-205 (2001); U.C.C. § 2-602(1) (2002).]

## 4. Wrongful Rejection

If the goods fully conform to the contract, then the buyer breaches the contract by rejecting them. [*See* U.C.C. §§ 2-601, 2-703 (2002).]

## 5. Buyer's Duties Regarding Rightfully Rejected Goods

The buyer has a duty to hold rightfully rejected goods with ***reasonable care*** and ***without exercise of ownership*** over them for an amount of time sufficient to permit the seller to remove the goods. If the buyer is a merchant and has possession or control of the goods at the time of rejection, then the buyer must generally (1) follow any reasonable instructions from the seller regarding the goods or, if none, (2) make reasonable efforts to sell the goods for the seller's account if they are perishable or threaten to lose value quickly. If the merchant-buyer sells the goods for the seller's account, the buyer is generally entitled to deduct reasonable expenses and commissions. If there are no commissions, then the buyer may take a usual commission in the trade or, if there is none, a reasonable commission not to exceed 10 percent of the gross proceeds. [*See* U.C.C. §§ 2-602, 2-603 (2002).]

*Example*:

A buyer bought a new car and took it home. Afterward, the buyer discovered that the car's heater did not work as required under the contract. The buyer notified the seller that he ***revoked his acceptance*** of the car. The buyer left the car parked in front of his home and refused delivery of new license plates. Eventually, the car was towed due to an expired registration. The buyer held the car with ***reasonable care*** and did not violate his duty to hold. [*Adapted from Colonial Dodge, Inc. v. Miller*, 362 N.W.2d 704 (Mich. 1984).]

## 6. Buyer's Right to Inspect Goods

Generally, and before paying for or accepting goods, the buyer has a ***right to inspect*** delivered goods at a reasonable time and place and in a reasonable manner. Initially, the buyer must bear the costs of the inspection, but the buyer may recover the costs from the seller if the goods do not conform to the contract. [*See* U.C.C. § 2-513 (2002).]

## 7. Seller's Limited Right to Cure

If a buyer rightfully rejects goods due to nonconformity, and the time for the seller's performance has not expired, then the seller may notify the buyer of her intention to ***cure*** and, within the contract time, supply conforming goods. If the seller does so, then the buyer ***must accept*** the conforming goods or else be in breach, and the seller will not be deemed to have breached the contract. However, if the time for the seller's performance has expired, then the seller has a reasonable additional time to make a conforming delivery ***only if*** the seller (1) promptly notifies the buyer of her intention to cure and (2) initially had reasonable grounds to believe that the nonconforming goods would be acceptable to the buyer, with or without a monetary allowance. [*See* U.C.C. § 2-508 (2002).]

*Example*:

A man ordered an older-model hearing aid from a manufacturer but received a newer model that allegedly caused him to suffer headaches. After submitting a complaint, the man received a prompt offer from the manufacturer to replace the hearing aid with the older model. Because the newer model was a modified and improved version of the older model, the manufacturer had ***reasonable grounds*** to believe that the newer model would have been acceptable to the man. The manufacturer was allowed ***additional time*** to make a conforming delivery, even though the time for performance had expired. The man was not entitled to cancel the contract and could not refuse the hearing aid. [*Adapted from Bartus v. Riccardi*, 284 N.Y.S.2d 222 (Utica City Ct. 1967).]

## 8. Manner of Acceptance

A buyer may accept goods by ***indicating acceptance*** or ***failing to reject*** the goods, after a reasonable opportunity for inspection, or by ***acting inconsistently*** with the seller's ownership of the goods at any time. The buyer may not reject the goods after accepting them, but the buyer may be able to revoke acceptance under limited circumstances. [*See* U.C.C. § 2-606 (2002); *see also* Conditions, *infra*.]

*Example*:

A student purchased a laptop from an online store. The student may accept the laptop by ***beginning to use*** the laptop at any time or, after a reasonable amount of time for inspection, ***failing to return*** the laptop.

*Compare*:

A buyer entered into a contract for the sale of a pickup truck. However, the engine overheated during a test drive. The buyer attempted to drive away several times but immediately returned to the car dealership each time due to the truck overheating. Finally, the buyer notified the car dealership that he was not taking the truck and would be stopping payment. The buyer ***has not accepted*** the truck. [*Adapted from Capitol Dodge Sales, Inc. v. N. Concrete Pipe, Inc.*, 346 N.W.2d 535 (Mich. Ct. App. 1983).]

## 9. Revocation of Acceptance

A buyer's right to ***revoke acceptance*** of goods is much more limited than the right to reject before acceptance. For a buyer to rightfully revoke acceptance of goods, not just any trifling nonconformity will suffice; the nonconformity must ***substantially impair*** the goods' value to the buyer. The buyer must ***notify*** the seller of the revocation within a reasonable time after the buyer discovered or should have discovered the nonconformity and before any substantial change in the goods' condition not caused by their own defects. Additional requirements apply, depending on whether the buyer knew of the nonconformity upon acceptance. Once the buyer rightfully revokes acceptance, her rights and duties with respect to the goods are the same as on rightful rejection. [*See* U.C.C. § 2-608 (2002).]

### a. Buyer's Knowledge of Nonconformity, Revoking Acceptance

If the buyer accepted the goods knowing of the nonconformity, then (1) acceptance must have been under the reasonable assumption that the nonconformity would be cured seasonably and (2) the nonconformity must not have been cured seasonably. If the buyer accepted without knowing of the nonconformity, then either the difficulty of discovering the nonconformity before acceptance or the seller's assurances must have induced acceptance. [*See* U.C.C. § 2-608 (2002).]

*Example*:

A buyer purchased a station wagon but subsequently discovered that the station wagon was missing a spare tire. The nonconformity could not have been easily ***discovered*** before acceptance, as the location of the spare tire was inside a concealed panel. The buyer ***promptly notified*** the car dealership of the nonconformity and

***reasonably believed***, based on the car dealership's ***assurances***, that a spare tire would be provided as soon as possible. The buyer revoked acceptance within a reasonable time and promptly notified the seller. There was a ***valid revocation*** of acceptance from the buyer. [*Adapted from Colonial Dodge, Inc. v. Miller*, 362 N.W.2d 704 (Mich. 1984).]

## 10. Installment Contracts

An ***installment contract*** provides for the delivery of goods in ***separate installments***, to be separately accepted by the buyer. Installment contracts vary slightly from typical contracts in terms of the buyer's rights and duties under the perfect-tender rule. [*See* U.C.C. § 2-612 (2002).]

### a. Rejection of Goods, Installment Contracts

A buyer may ***reject*** a nonconforming installment only if the nonconformity ***substantially impairs*** the value of the installment to the buyer and ***cannot be cured*** by the seller. A single nonconforming installment does not automatically entitle the buyer to cancel the entire contract. [*See* U.C.C. § 2-612 (2002); Cancellation of Installment Contracts, *infra*.]

### b. Acceptance of Goods, Installment Contracts

A buyer must ***accept*** an installment if (1) the seller gives ***adequate assurance*** that the nonconformity will be cured and (2) there are no grounds for the buyer to cancel the entire installment contract. [*See* U.C.C. § 2-612 (2002); Cancellation of Installment Contracts, *infra*.]

### c. Cancellation of Installment Contracts

A buyer may ***cancel*** the contract if at least one nonconforming installment substantially impairs the value of the ***entire contract***. However, the contract will be reinstated if the buyer (1) ***demands*** future installments, (2) ***accepts*** a nonconforming installment without seasonably notifying the seller of the cancellation, or (3) brings a ***lawsuit*** concerning only past installments. [*See* U.C.C. § 2-612 (2002).]

*Example*:

A trick-or-treater ordered a superhero costume, to be delivered in three separate installments (a blue jumpsuit, a red cape, and boots). However, the trick-or-treater received a black jumpsuit intended for a different superhero costume. The red cape and boots were useless without the blue jumpsuit, ***substantially impairing*** the value of the ***entire contract***. If the seller refused to cure the defect, the trick-or-treater was

entitled to cancel the contract by refusing to accept the black jumpsuit and promptly notifying the seller of the cancellation.

## C. Anticipatory Repudiation, Common Law

An ***anticipatory repudiation*** takes place when one party to a contract communicates to the other party that he will not perform under the contract. This may take the form of (1) a ***statement*** that clearly indicates an intent to breach or (2) a ***voluntary, affirmative act*** that renders (or apparently renders) a party unable to perform. An anticipatory repudiation must be an unambiguous indication that the party will not perform. A mere expression of doubt or a statement that a party ***might*** not perform is not enough. If a party makes an anticipatory repudiation, the nonrepudiating party may generally terminate the contract ***immediately*** and obtain all appropriate remedies for breach of contract, without waiting for performance to come due. [*See* Restatement (Second) of Contracts § 250, with comments.]

*Example*:

(1) A courier agreed to accompany a traveler on a trip to Europe. However, three weeks before the departure date, the traveler informed the courier that the trip had been canceled and that the courier's services were no longer required. The courier was entitled to seek a remedy before the departure date, due to the traveler's ***statement*** of anticipatory repudiation. [*Adapted from Hochster v. De la Tour*, 118 Eng. Rep. 922 (Q.B. 1853).]

(2) A company agreed to build a gravel driveway for a property owner within 60 days. After two weeks, the company removed its equipment from the construction site and refused to return or meet with the property owner, despite promising to resume work immediately on multiple occasions. The property owner was entitled to seek a remedy, due to the company's ***act*** of anticipatory repudiation. [*Adapted from Wholesale Sand & Gravel, Inc. v. Decker*, 630 A.2d 710 (Me. 1993).]

### 1. Retraction

If the repudiating party ***retracts*** the anticipatory repudiation in time, then the nonrepudiating party may not terminate the contract or exercise other remedies for breach. An anticipatory repudiation by statement is retracted if the repudiating party, by words or actions, puts the other party on notice that he intends to perform (*e.g.*, by recanting the statement, offering to perform, or beginning performance). An anticipatory repudiation by act is retracted if the nonrepudiating party ***knows*** that the events causing the repudiation have ceased to exist. However, an anticipatory repudiation is final and ***cannot*** be retracted if the injured party (1) has ***materially changed*** position in reliance on

the repudiation or (2) has ***indicated*** that she considers the repudiation final. [*See* Restatement (Second) of Contracts § 256, with comments.]

*Example:*

(1) A gas company agreed to supply gas to an apartment complex beginning on May 1. On June 1, the gas company repudiated the contract. Before the apartment complex took any action in response to the repudiation, the gas company issued a ***notice of retraction*** on June 15. The apartment complex is not entitled to a remedy for breach. [*See* Restatement (Second) of Contracts § 256 cmt. a, illus. 2.]

(2) A gas company agreed to supply gas to the government for a federal housing project. Before completing full performance, the gas company sent a notice of anticipatory repudiation. The government informed the gas company that the anticipatory repudiation would be considered final if it was not retracted within three days. The gas company refused to retract the anticipatory repudiation, and the government entered into a contract with another company. Because the government gave the gas company notice that it would consider the repudiation final after three days and materially changed its position by entering into a contract with another company, the gas company could ***no longer retract*** the anticipatory repudiation. [*Adapted from United States v. Seacoast Gas Co.*, 204 F.2d 709 (5th Cir. 1953).]

## 2. Reasonable Grounds to Expect Breach, Adequate Assurance

In some circumstances, a party may have ***reasonable grounds*** to believe that the other party will commit a breach, but the other party has not communicated anticipatory repudiation with an unambiguous indication that it will not perform. In this case, the aggrieved party may ***suspend performance*** and demand ***adequate assurance*** that the other party will perform. If adequate assurance is not provided within a reasonable time, then the aggrieved party may proceed as if there has been an anticipatory repudiation. In general, assurance is adequate if a reasonable person in the aggrieved party's position would expect performance to be forthcoming (*e.g.*, by actual performance or beginning of performance, providing collateral to secure an obligation, advance payment, or an oral or written assurance that is plausible under the circumstances). [*See* Restatement (Second) of Contracts § 251, with comments.]

*Example*:

A subcontractor entered into a contract with a general contractor to provide labor and materials for the construction of a house. During the project, the subcontractor learned that the general contractor had become insolvent. The subcontractor ***demanded*** either

reasonable security or payment for the remaining work in advance. When the general contractor refused to do either, the subcontractor ceased performance. The general contractor was not entitled to a remedy. [*Adapted from* Restatement (Second) of Contracts § 252 cmt. a, illus. 1.]

*Compare*:

The owner of an opera house entered into a contract with four musicians for a concert. When a snowstorm blocked many of the nearby roads, the owner assumed the musicians would not be able to travel to the opera house, and he therefore failed to make the necessary preparations for the concert. However, the musicians were able to arrive by train. Because the owner ***failed to demand adequate assurance*** before proceeding as if there was an anticipatory repudiation, the four musicians were entitled to a remedy. [*See Hathaway v. Sabin*, 22 A. 633 (Vt. 1891).]

## D. Anticipatory Repudiation, UCC

The UCC defines ***anticipatory repudiation*** in substantially the same way as the common law. Under the UCC, if an anticipatory repudiation occurs, ***and*** the lost performance would ***substantially impair*** the contract's value to the nonrepudiating party, the nonrepudiating party may (1) immediately suspend performance and (2) either simply await the repudiating party's performance for a commercially reasonable time or immediately avail herself of any remedy for breach under UCC Article 2. [U.C.C. § 2-610 (2002).]

### 1. Adequate Assurance of Performance, UCC

Under the UCC, if one party has reasonable grounds for insecurity about the other's performance, the insecure party may make ***written demand*** for ***adequate assurance*** of performance. Until the assurance is received, the insecure party may suspend (if commercially reasonable) any performance for which that party has not received the promised consideration. If the other party does not provide adequate assurance of performance within ***30 days*** after receiving the demand, the insecure party may treat the contract as repudiated. [*See* U.C.C. § 2-609 (2002).]

### 2. Retraction, UCC

Under the UCC, a repudiating party may ***retract*** the repudiation until the earlier of (1) the time the repudiating party's next performance is due or (2) the time the nonrepudiating party cancels the contract, materially changes position in reliance on the repudiation, or indicates that she considers the repudiation final. The retraction can consist of any act clearly indicating the repudiating party's intent to perform. However, the retraction ***must***

include any adequate assurance of performance that the nonrepudiating party has justifiably demanded. [U.C.C. § 2-611 (2002).]

## E. Changed Circumstances

A breaching party's performance is excused if the circumstances since the contract have changed, so that performance is ***impossible*** or ***impracticable***, or the principal purpose of the contract is ***substantially frustrated***. The changed circumstances must result from an event (1) the nonoccurrence of which was a basic assumption underlying the contract; (2) that is ***not*** the result of the nonperforming party's fault (*e.g.*, an act of God or the act of a third party); and (3) of which the nonperforming party has not assumed the risk (usually by contractual language). If the nonperforming party's performance is excused, then the other party will not be entitled to a remedy. If the impossibility or impracticability is temporary, the obligation to perform will be suspended rather than excused. [*See* Restatement (Second) of Contracts § 261, with comments.]

*Example*:

The owner of a grocery store hired a manager to work for two years at a salary of $50,000 per year. After one year, the owner voluntarily shut down the grocery store due to changed family circumstances and fired the manager. Because the event that changed the circumstances was the owner's fault, the manager was entitled to a remedy for the termination. [*Adapted from* Restatement (Second) of Contracts § 261 cmt. b, illus. 3.]

### 1. Basic Assumption on Which the Contract Was Made

A ***basic assumption*** on which the contract was made is an assumption that must be true for a party to receive the expected benefit of her bargain. Put differently, if the party had known the assumption were untrue at the time of contracting, she would not have entered the contract in the first place. Basic assumptions generally do ***not*** include assumptions as to the value of any consideration exchanged, market conditions, and the like, because a vital purpose of making a contract is to account for volatility and uncertainty in these things. However, assumptions relating to discrete facts that ***happen to affect value*** can be basic assumptions on which a contract is made. [*See* 30 *Williston on Contracts* § 77:52 (4th ed.); Restatement (Second) of Contracts §§ 151-52, 261-62, with comments.]

*Example*:

A landowner contracted with a timber company to sell a plot of land. As the landowner knew, the timber company wanted the land solely to harvest the timber. At the time of contracting, and unknown to the parties, a wildfire destroyed all the timber on the land.

The existence of timber on the land was a basic assumption on which the contract was made. Had the timber company known that all the timber had been destroyed, it would never have entered the contract. The loss of the timber deprived the timber company of the essential thing for which it contracted. [*Adapted from* Restatement (Second) of Contracts § 152, cmt. b, illus. 1.]

## 2. Assuming the Risk of an Event

In general, a party ***assumes the risk*** of an event if either (1) the contract expressly allocates the risk to that party or (2) the circumstances indicate that the party foresaw the risk, yet knowingly failed to make contractual provision for it despite reasonable ability to do so, considering the party's knowledge, experience, and bargaining power, along with all the other pertinent circumstances. In any contract, the inclusion of a price term generally allocates the risk of a general decline or increase in the subject matter's value or of changing market conditions. [*See* Restatement (Second) of Contracts § 261, with comments and illustrations.]

*Example*:

A maritime salvager with many years of experience was the only reputable salvager in the area, and she contracted with a boat owner to retrieve the owner's boat. The boat had run aground. The contract did not restrict or relieve the salvager's work obligation in the event of bad weather or unforeseen circumstances interfering with the salvage operation. An unexpectedly powerful storm caused the owner's boat to slide out into deep water, fill with mud, and sink, making the boat many times more difficult and expensive to salvage. A court could find that the salvager assumed the risk of this event. The salvager arguably should have anticipated this event and contracted to allocate the risk of its occurrence, given her many years of experience and relative bargaining power (being the only reputable salvager in the area). [*Adapted from* Restatement (Second) of Contracts § 261 cmt. c, illus. 5.]

## 3. Impossibility

A performance is ***impossible*** if it cannot be performed by ***anyone***, not just the breaching party. Generally, only three types of events are sufficient to render performance impossible:

- the ***death or incapacity*** of a person necessary for the performance,
- the ***destruction*** of the subject matter (including significant deterioration or failure to come into existence), and
- the ***prevention*** of the performance by law (including regulations and court orders).

The Restatement (Second) of Contracts and the UCC treat impossibility under the doctrine of impracticability. [*See* Restatement (Second) of Contracts §§ 262-64; U.C.C. § 2-615 (2002).]

### a. Death or Incapacity of Person Necessary for Performance

In general, performance is excused upon the ***death*** or ***incapacity*** of a person necessary to the contract's performance. The person's death or incapacity must make it ***impossible*** to carry out the contract. Typically, if the performance could be rendered by any number of people, then no one person is necessary to the performance. Thus, no one's death or incapacity—including the death of the person bound to perform under the contract (*i.e.*, the ***obligor***)—will excuse performance. However, if the parties assumed that one distinct person would perform, and that person's peculiar identity, skills, experience, or traits are a basic assumption underlying the contract—that is, if what matters is not just what is done but ***who does it***—then that person's death or incapacity will excuse performance. [*See* Restatement (Second) of Contracts § 262, with comments.]

*Example*:

A lumberjack contracted with a landowner to cut timber. Before performance was rendered or due, the lumberjack died. Nothing indicated that the lumberjack's distinct identity or talent was essential to the contract, and there were any number of qualified lumberjacks who could have done the work. The lumberjack's death did not excuse performance, and the landowner had a claim for breach of contract against the lumberjack's estate. [*Adapted from* Restatement (Second) of Contracts § 262 cmt. b, illus. 6.]

*Compare*:

A producer agreed to produce a musical starring a famous actress as the main character. However, the actress developed a throat condition that ultimately prevented her from performing at all in the play. Here, the actress's distinct identity and talents were basic assumptions underlying the contract; not just anyone could bring the actress's peculiar talents, star power, and other characteristics to bear in the play. Thus, her incapacity due to the throat condition excused performance. [*Adapted from* Restatement (Second) of Contracts § 262 cmt. a, illus. 5.]

### b. Destruction of the Contract's Subject Matter

If a particular item's existence is necessary to perform the contract, and the item (1) is destroyed, (2) never comes into being, or (3) deteriorates to the point that performance is impossible, then performance is excused. It is not enough that one

party happens to have only one means of performance at her disposal, and that means is destroyed. Rather, the thing's destruction or nonexistence must make performance impossible under the terms of the contract. The UCC applies a similar rule under the doctrine of impracticability. A classic example involves the destruction of a music hall at which the hall's owner had agreed to host a performance. If the music hall is destroyed without either party's fault before the time for performance, then performance is excused. [*See Taylor v. Caldwell*, 122 Eng. Rep. 309 (1863); Restatement (Second) of Contracts § 263, with comments and illustrations.; U.C.C. § 2-615 cmt. 5 (2002).]

*Example*:

A farmer agreed to sell a large number of beans to a food-processing plant. The farmer had only one tract of land suitable for growing beans. Even so, the contract did not call for the beans to come from any particular tract of land, nor did the food-processing plant know or care that the farmer had only one tract of land on which to grow beans. An extraordinary and unforeseeable flood destroyed the farmer's bean crop just before the time for performance. Here, performance was not excused. As a practical matter, it became impossible for the farmer to perform, because his sole means to produce beans was destroyed. However, the contract did not call for the beans to come from any specific tract of land; it simply called for beans. [*Adapted from* Restatement (Second) of Contracts § 263 cmt. b, illus. 8.]

*Compare*:

A farmer agreed to sell a large number of beans to a food-processing plant. The farmer had only one tract of land suitable for growing beans. The farmer's contract with the food-processing plant specified that the beans were to come from that tract of land. An extraordinary and unforeseeable flood destroyed the farmer's bean crop just before the time for performance. Here, performance was excused. Performing the contract according to its terms was objectively impossible. The contract called for the beans to come from one tract of land, and the flood substantially destroyed the beans on that tract. [*Adapted from* Restatement (Second) of Contracts § 263 cmt. b, illus. 7.]

### c. Performance Prevented by Law

If, after the contract is made, ***changes*** in the ***governing law*** or ***intervening government orders*** make it impossible or extremely and unreasonably difficult to perform under the contract, then performance is excused. That is, it must become impossible to comply with both the contract and the law or order. This often means that performance itself is made illegal, although it may also mean that the requirements of the intervening law or order would make performance practically impossible. The law

or order need not be valid; the breaching party need only believe in ***good faith*** that it is valid. [*See* Restatement (Second) of Contracts § 264, with comments; U.C.C. § 2-615 cmt. 10 (2002).]

*Example*:

A food-processing plant in the United States contracted with a wheat farmer in a foreign country to receive the farmer's total wheat output for three years. Soon after the contracting, war broke out in the foreign country, and that country's government ordered the farmer to sell his total wheat output to the country's army. The farmer believed in good faith that the order was valid, and he complied with the order. As a result, the farmer did not sell his wheat output to the food-processing plant. The farmer's performance under his contract with the food-processing plant was excused. [*Adapted from* Restatement (Second) of Contracts § 264 cmt. b, illus. 6.]

## 4. Impracticability

Performance is ***impracticable*** if it will cause ***extreme and unreasonable*** difficulty, expense, injury, or loss to one of the parties, even if performance is still objectively possible. The impediment to performance must be severe, and the breaching party must reasonably attempt to overcome any obstacles to performance. Market fluctuations or mere increases in the cost or difficulty of performance do not make performance impracticable. However, unforeseeable situations that increase difficulty or expense far beyond even the outermost extremes of the normal range or that make performance unreasonably dangerous may suffice. Examples include severe shortages of materials or supplies due to things like war, embargoes, or crop failures. [*See* Restatement (Second) of Contracts § 261 cmt. d; U.C.C. § 2-615 cmt. 10 (2002).]

*Example*:

A shipping company agreed to transport a farmer's wheat to a port in a foreign country. However, a civil war unexpectedly broke out in the foreign country, and rebels announced their intent to attack any vessels bound for that port. The ***risk of injury*** was severe enough that it was impracticable for the shipping company to render full performance. [*Adapted from* Restatement (Second) of Contracts § 261 cmt. d, illus. 7.]

*Compare*:

A shipping company agreed to transport wheat to a port in a foreign country. The contract specified the port of delivery but not the route. During the voyage, a main shipping canal was seized and closed to traffic, thereby making it impossible for the shipping company to travel via the usual and customary route to the foreign country.

However, an alternate route ***would not have significantly increased*** the shipping company's expense. It was neither impossible nor impracticable for the shipping company to render full performance. [*Adapted from Transatlantic Fin. Corp. v. United States*, 363 F.2d 312 (D.C. Cir. 1966).]

### a. Impracticability, UCC

Generally, under UCC Article 2, the doctrine of impracticability virtually always affects the ***seller***, not the buyer, because the buyer's obligation is generally simply to pay for the goods. Impracticability almost never excuses a mere payment obligation. Thus, if impracticability exists, a seller may generally deliver the goods late or, if appropriate, not deliver the goods at all, without being found in breach. If the seller's ability to perform is only partially impacted, he must ***allocate*** the goods among his customers. The seller may include in the allocation regular customers not then under contract and his own further manufacturing requirements. The allocation may be done in any fair, reasonable manner. Finally, the seller must seasonably notify the buyer (1) that delivery will be delayed or will not take place and (2) if the seller has reallocated goods, of any estimated quota available to the buyer. [U.C.C. § 2-615 (2002).]

## 5. Frustration of Purpose

A party's principal purpose is substantially frustrated if the other party's performance has become ***virtually worthless***, regardless of whether the performance is possible or practicable. The event that caused the frustration of purpose must not fall within the possible risks each party assumed by entering into the contract, nonoccurrence of that event must be a basic assumption under which the contract was made, and the event's occurrence must not be the breaching party's fault. [*See* Restatement (Second) of Contracts § 265, with comments.]

*Example*:

A man entered into a contract with a landlord to rent a room for the ***sole purpose*** of viewing a king of England's upcoming coronation. However, the king became ill and canceled the coronation. Because the room had become virtually worthless to the man at no fault of his own, the man's principal purpose was substantially frustrated. [*Adapted from Krell v. Henry*, [1903] 2 K.B. 740.]

*Compare*:

A merchant entered into a contract to buy fidget spinners directly from a factory, planning to resell the fidget spinners at a profitable marked-up price. However, between the time that the merchant entered the contract and the time that the factory was set to

deliver the fidget spinners, the market in the merchant's area was flooded with other suppliers. The price of fidget spinners dropped so significantly that the merchant would have to sell the fidget spinners for a lower price than what he had agreed to pay the factory. Despite the fact that the contract was no longer profitable for the merchant, his performance was not excused. He assumed the risk that the price of fidget spinners would change, and his principal purpose had not been substantially frustrated.

## F. Conditions

A party may avoid performance if a ***condition*** has ***not occurred***, and the nonoccurrence is ***not excused***. If a party is able to avoid performance, then the other party will not be entitled to a remedy for breach due to nonperformance. [*See* Restatement (Second) of Contracts § 225.]

### 1. Types of Conditions

A ***condition*** is a term in a contract specifying an ***uncertain event*** that must occur before one of the parties is required to perform. ***Express*** conditions are conditions appearing in the contract, and ***constructive*** conditions are implied by law. Sometimes, a condition specifies an event that must occur for a party to be obligated to perform. Other times, a condition specifies events that must occur together for either party to be obligated to perform. Still other times, a condition specifies an event that, if it happens, will cut off a party's preexisting duty to perform. In these cases, the nonhappening of the event is the condition. [*See* Restatement (Second) of Contracts §§ 204-05, 224, 226, with comments.]

**Note**: Each party's compliance with the general duty of good faith and fair dealing ***is always a condition*** to the other party's duty of performance.

*Example*:

A principal said to a teacher, "If you substitute-teach the algebra class on Friday, I will pay you $400 on the condition that 30 days have passed after you have finished." The agreement did not actually contain a condition, as the passage of time is ***not uncertain***. The principal must pay $400 to the teacher after 30 days have passed. [*Adapted from* Restatement (Second) of Contracts § 224 cmt. b, illus. 2.]

### 2. Excuses for Nonoccurrence

An ***excuse*** for the nonoccurrence of a condition allows performance to become due even though the condition has not occurred. The most common excuses for nonoccurrence are ***estoppel, waiver,*** and ***disproportionate forfeiture***. [*See* Restatement (Second) of Contracts § 225 cmt. b.]

### a. Estoppel

The duty of performance of an obligor (*i.e.*, a person bound to perform under a contract) arises despite the nonoccurrence of a condition if the obligor is ***estopped*** from relying on or enforcing the condition. Estoppel applies if the obligee (*i.e.*, the person to whom the obligor is bound under the contract) reasonably and detrimentally ***changes position*** in reasonable, foreseeable ***reliance*** on the obligor's promise to perform despite the condition's nonoccurrence, so that insisting on the condition would unjustly harm the obligee. [*See* Restatement (Second) of Contracts §§ 84, 89-90, with comments.]

### b. Waiver

An obligor's duty of performance arises despite the nonoccurrence of a condition if the obligor ***waives*** the condition. Subject to the contract, the obligor may waive the condition by (1) expressly communicating intent to waive the condition or (2) accepting the obligee's performance despite knowing of the nonoccurrence of the condition. However, a waiver is ***not*** binding on the obligor if (1) the occurrence of the condition is a material part of the consideration for which the obligor bargained (*i.e.*, if nonoccurrence would deprive the obligor of the substantial benefit of her bargain), or (2) the obligor assumed the risk that the condition would not occur. In either of these cases, the waiver is generally treated as a contract modification and, thus, may not be enforceable without new consideration or detrimental reliance giving rise to estoppel. [*See* Restatement (Second) of Contracts §§ 84, 89, 246(1), with comments.]

*Examples*:

(1) An author contracted in writing with a publisher to write books satisfactory to the publisher for $2 per page. If the author abstained from liquor for the contract's duration, he was to receive $6 per page, making the author's abstinence a condition to the publisher's duty to pay the extra $4 per page. The author did not abstain from liquor during the contract's duration, but the publisher orally promised to pay him $6 per page anyway. The author finished the books, which were satisfactory to the publisher. The publisher owed the author $6 per page, having waived the abstinence condition. The waiver was binding. The essential consideration for which the publisher bargained was satisfactory books, which it got. The author's drinking liquor did not deprive the publisher of the essential benefit of its bargain. [*Adapted from Clark v. West*, 86 N.E. 1 (N.Y. 1908).]

(2) A chauffeur entered into a contract to drive an actor to an awards ceremony for $200. A condition provided that the chauffeur was required to pick up the actor in a limousine between 5:00 p.m. and 5:30 p.m. When the chauffeur arrived at 6:15 p.m.,

the actor got into the limousine and was driven to the awards ceremony. The actor thus ***accepted the chauffeur's performance***. The nonoccurrence of the condition was excused by ***waiver***, and the actor was required to pay $200. The actor received the essential consideration for which he bargained—a ride to the awards ceremony—despite the late arrival. [*Adapted from* Restatement (Second) of Contracts § 246 cmt. b, illus. 2.]

### c. Disproportionate Forfeiture

An obligor's duty of performance persists despite nonoccurrence of a condition if enforcing the condition would harm an obligee who has ***substantially relied***, through preparation or performance, on the expectation of the exchange. The condition must not be a ***material part*** of the exchange, in that the nonoccurrence must not deprive the obligor of the substantial benefit of her bargain, and the loss to the obligee must be unreasonably great next to the harm the obligor would suffer if the condition were not enforced. [*See* Restatement (Second) of Contracts § 229 cmt. b.]

*Example*:

A homeowner and a painter formed a contract under which the painter would paint the homeowner's house and garage for the price of $50 per hour. The contract specified that the homeowner would pay the painter only after the painter completed the work and sent a bill through certified mail. The painter fully performed the painting work, but he sent the bill through regular, noncertified mail. The homeowner refused to pay due to the nonoccurrence of the condition that the painter send the bill through certified mail. The painter successfully argued that receiving no payment for the fully performed work was ***disproportionate forfeiture***.

*Compare*:

A dentist accidentally damaged his office and gave unreasonably late notice to his insurance company. Timely notice was a condition for receiving coverage under the dentist's policy. Therefore, the dentist was required to show that denying insurance coverage due to his failure to provide timely notice would be a disproportionate forfeiture, by showing that he substantially relied on the expectation of coverage, that there was a ***lack of significant harm*** (materiality) to the insurance company, and that the requirement of timely notice was not a material part of the exchange. Because the dentist was unable to show that the requirement was not a material part of the exchange, the nonoccurrence of the condition was not excused, and the insurance company was not required to provide coverage to the dentist. [*Adapted from Aetna Cas. & Sur. Co. v. Murphy*, 538 A.2d 219 (Conn. 1988).]

## G. Mistake

In contract law, a ***mistake*** is a belief that is not in accordance with the facts and law as they exist ***at the time of contracting***. The term ***mistake*** does not refer to an exercise of poor judgment or to a prediction of future events. A mistake may be ***mutual*** or ***unilateral***. [*See* Restatement (Second) of Contracts §§ 151-52, with comments.]

### 1. Mutual Mistake

A mistake is ***mutual*** if ***both parties*** enter into the contract based on the same mistake. A party adversely impacted by a mutual mistake may void the contract (or sometimes have the contract reformed to reflect the parties' true intent) if: (1) the mistake relates to a ***basic assumption*** on which the contract was made, (2) the mistake has a ***material effect*** on the agreed-upon exchange, and (3) the adversely affected party does not ***bear the risk*** of the mistake. [*See* Restatement (Second) of Contracts § 152, with comments.]

#### a. Basic Assumption

The mistake must relate to a ***basic assumption*** upon which the contract was made. [*See* Basic Assumption on Which the Contract Was Made, *supra*.]

*Example*:

A farmer agreed to purchase a cow from a breeder of cattle. Both parties believed that the cow was barren. However, the cow was discovered to be with calf before performance was due. Because the agreement was formed on the ***basic assumption*** that the cow was barren, there was a mutual mistake that allowed the breeder to avoid performance. [*See Sherwood v. Walker*, 33 N.W. 919 (Mich. 1887).]

*Compare*:

A woman agreed to sell a stone to a jeweler for one dollar. Neither party knew anything about the stone or its worth. Later, the woman learned that the stone was actually an uncut diamond worth $700. Because the ***value*** of the item was not a basic assumption of the agreement, the woman could not avoid performance. [*See Wood v. Boynton*, 25 N.W. 42 (Wis. 1885).]

#### b. Material Effect on Agreed Exchange

The mistake must have a material effect on the exchange of performances. In other words, the ***resulting imbalance*** must be so severe that the adversely impacted party cannot be fairly required to perform. Typically, this means that due to the mistake, the contract proves to be (1) significantly more detrimental (or less advantageous) to the adversely impacted party and (2) significantly more advantageous (or less detrimental)

to the other party than the parties supposed at the time of contracting. [*See* Restatement (Second) of Contracts § 152 cmt. c.]

*Example*:

A landowner entered into a contract to sell a tract of land to a buyer at $1,000 per acre. Both parties mistakenly believed that the tract contained 500 acres. Whether there is a material effect depends on the ***severity*** of the resulting imbalance. If the tract actually contains 490 acres (making the price $490,000 instead of $500,000), then there will not be a material effect on the exchange of performances. If, however, the tract actually contains 800 acres (making the price $800,000 instead of $500,000), then the buyer will likely be able to ***avoid performance***. [*Adapted from* Restatement (Second) of Contracts § 152 cmt. c, illus. 8.]

### c. Bearing the Risk

A mistake will not excuse a party's performance if that party ***bears the risk*** of the mistake. A party may bear the risk of the mistake if: (1) the ***terms*** of the contract expressly allocate the risk to the party, (2) ***the court*** allocates the risk to the party upon finding that it is reasonable under the circumstances to do so, or (3) the party proceeds with the contract despite ***conscious ignorance*** of the relevant facts. [*See* Restatement (Second) of Contracts § 154, with comments.]

*Example*:

A law student agreed to sell a box of books to a bookstore. The contract included a ***term*** specifying that the law student made no representation as to the contents of the box. Both parties believed that the box contained law books, but it actually contained children's books. Because the contract allocated the risk to the bookstore, the bookstore bore the risk of the mistake and could not avoid performance. [*Adapted from* Restatement (Second) of Contracts § 154 cmt. b, illus. 1.]

*Compare*:

Two homebuyers entered into separate agreements to purchase adjoining lots of property. Both parties proceeded with their contracts despite knowing that the seller was uncertain of the location of the boundary between the lots. Eventually, one of the homebuyers learned that the boundary ran through his house. Although both parties were aware of the risk of mistake regarding the location of the boundary, neither party was ***conscious*** of the specific risk that the boundary might run through the house. Thus, the aggrieved homebuyer did not assume this risk. [*Adapted from Bailey v. Ewing*, 671 P.2d 1099 (Idaho Ct. App. 1983).]

## 2. Unilateral Mistake

The term ***unilateral mistake*** means that only one party enters the contract based on a belief that is not in accordance with the facts or law as they existed at the time of contracting. The requirements for the mistaken party to void a contract for unilateral mistake are the same as those to void a contract for mutual mistake, except that in a case of unilateral mistake, at least one of three additional requirements must be satisfied: (1) the mistake is such that enforcing the contract against the mistaken party would be unconscionable, (2) the other party knew or had reason to know of the mistake, or (3) the mistake is the other party's fault. [*See* Restatement (Second) of Contracts § 153, with comments; Unconscionability, Mutual Mistake, *supra*.]

**Note**: Even if enforcing the contract against the mistaken party would be unconscionable, a court may still decline to void the contract if the mistake is not the other party's fault, the other party had no reason to know of the mistake, and the other party materially and detrimentally changed position in reasonable reliance on the contract. [*See* Restatement (Second) of Contracts § 153, with comments.]

*Example*:

A building contractor submitted a construction bid of $300,000 to a school district. Due to a clerical error by the building contractor, the construction bid did not include a $150,000 expense, meaning the building contractor would sustain a $100,000 loss on the contract rather than reaping an expected $50,000 profit. The building contractor may avoid performance. [*Adapted from* Restatement (Second) of Contracts § 153 cmt. c, illus. 1.]

*Compare*:

A building contractor submitted a construction bid of $90,000 to a school district. Due to a clerical error by the building contractor, the construction bid did not include the cost of some materials totaling $400. The building contractor was unable to avoid performance. [*Adapted from Elsinore Union Elementary Sch. Dist. v. Kastorff*, 353 P.2d 713 (Cal. 1960).]

## 3. Fault of Party Seeking Relief on Grounds of Mistake

If the party seeking relief on grounds of mistake could have discovered the mistake in the exercise of reasonable care, this alone will not bar relief. However, if the party proceeded in ***conscious disregard*** of facts indicating the mistake, this may bar relief. [*See* Restatement (Second) of Contracts § 157 cmt. a.]

## H. Discharge

If a party's duty of performance is ***discharged***, then the party no longer owes that duty. Perhaps the most common way for a party to discharge her contractual obligations is by ***full performance***. Other ways to discharge contractual obligations include (1) accord and satisfaction, (2) substitution, (3) novation, (4) mutual rescission, (5) release, and (6) a covenant not to sue.

### 1. Accord and Satisfaction

An ***accord*** is created if the obligee agrees to accept a ***substitute performance*** in ***satisfaction*** of the obligor's existing duties. An accord suspends the promisor's duties under the original contract and imposes new duties under the terms of the accord. If the obligor performs under the accord, then her duties under both the original contract and the accord are discharged. But if there is a material breach of the accord, the obligee may enforce ***either*** the obligor's original duties ***or*** the new duties under the accord. [*See* Restatement (Second) of Contracts § 281, with comments.]

*Example*:

A celebrity rented a yacht for $10,000. The owner of the yacht agreed to accept an autographed picture in ***satisfaction*** of the $10,000 obligation. If the celebrity breached the contract, the owner could sue for ***either*** the $10,000 ***or*** the autographed picture. [*Adapted from* Restatement (Second) of Contracts § 281 cmt. b, illus. 4.]

#### a. Requirement of Consideration or a Substitute

An accord is a ***new contract***. This means that it requires mutual assent and consideration (or a substitute for consideration, *e.g.*, detrimental reliance by the obligor on the promise to accept substituted performance) to be enforceable. Consideration often exists in this context, because either (1) the obligee is tentatively relinquishing its right to insist on performance under the original contract in exchange for the substituted performance or (2) the obligation itself is unliquidated (not reduced to a fixed amount), unmatured (not yet owing), or subject to a good-faith dispute. [*See* Restatement (Second) of Contracts § 273, with comments and illustrations; 1 Am. Jur. 2d *Accord and Satisfaction* § 31, 38, Westlaw (database updated Aug. 2018).]

#### b. Tender of Check in Purported Full Satisfaction

Often, an obligor who owes a monetary obligation will send a check to an obligee marked with language such as "payment in full." Most of the time, courts will deem the underlying monetary obligation discharged as an accord and satisfaction, ***even if*** the check is for less than the purported outstanding balance, provided that (1) the

payment-in-full notation is prominent enough to create a reasonable belief that the obligee has seen and understood it; (2) the obligee cashes the check (whether under protest or not); and (3) the underlying obligation is unliquidated (not reduced to a definite amount), unmatured (not yet due), or subject to a good-faith dispute as to enforceability or amount. [*See* Restatement (Second) of Contracts §§ 74, 281, with comments; 1 Am. Jur. 2d *Accord and Satisfaction* §§ 17-18, 24, 31, 38, Westlaw (database updated Aug. 2018).]

**Note**: The rules under the UCC are very similar, except that additional technical qualifications apply, and the underlying obligation is not discharged if the obligee tenders repayment of the check within 90 days after cashing the check. [*See* U.C.C. § 3-311 (2002).]

*Example*:

A homeowner contracted with a remodeling company to remodel his house, resulting in a final bill of $6,500. Believing the amount to be excessive, the homeowner mailed a check for $5,000 with a notation stating that the check constituted "full and final satisfaction of any and all claims." The remodeling company wrote a letter refusing the payment but subsequently cashed the check. There was an accord and satisfaction of the final bill. [*See Marton Remodeling v. Jensen*, 706 P.2d 607 (Utah 1985).]

## 2. Substituted Contract

A ***substituted contract*** is conceptually similar to an accord and satisfaction, with one key difference: in a substituted contract, the obligee accepts new contractual terms in ***complete, immediate discharge*** of the obligor's duties under the original contract. As a result, if there is a breach of the new contract, the obligee may enforce ***only*** the obligor's duties under the new contract. The original contract is discharged and, thus, unenforceable. [*See* Restatement (Second) of Contracts § 279.]

*Example*:

A furniture store contracted to deliver an armchair to a homeowner. Subsequently, the furniture store offered to deliver a sofa instead of the armchair. The homeowner accepted the substituted contract, ***immediately discharging*** the furniture store's duty to deliver the armchair. If the furniture store failed to deliver the sofa, the homeowner could enforce the new agreement to deliver the sofa, but not the old agreement to deliver the armchair. [*Adapted from* Restatement (Second) of Contracts § 279 cmt. a, illus. 1.]

### a. Substituted Contract as New Contract

Like an accord, a substituted contract is a ***new contract***. Thus, to be valid and enforceable, the substituted contract requires mutual assent and consideration (or a consideration substitute). [*See* Restatement (Second) of Contracts § 279 cmt. b.]

### b. Substituted Contract versus Accord and Satisfaction

Whether a new contract discharging obligations under an old contract is an accord or a substituted contract is a question of what the parties intended. Generally, courts will construe the new contract as an accord, unless the language clearly indicates that the parties intended for the new contract to ***immediately*** discharge the obligor's duties under the initial contract. [*See* 1 Am. Jur. 2d *Accord and Satisfaction* §§ 2, 50, Westlaw (database updated Aug. 2018).]

## 3. Novation: Substituted Party

A ***novation*** is a type of substituted contract in which the parties agree to replace one party to the original contract with a ***new party*** who agrees to the substitution. The original party's duties under the original contract are then ***immediately discharged***. [*See* Restatement (Second) of Contracts § 280 cmt. c.]

*Example*:

A student agreed to purchase a neighbor's used car for $8,000. After delivering the car, the neighbor promised to discharge the student's debt immediately if the student's father agreed to pay the $8,000. The student and father agreed. There has been a ***novation***, and the neighbor may sue the father but not the student in the event of breach. [*Adapted from* Restatement (Second) of Contracts § 280 cmt. d, illus. 1.]

## 4. Mutual Rescission

A ***mutual rescission*** is a new contract in which each party to a prior contract agrees to immediately discharge ***all*** of the other's remaining duties of performance under the prior contract. Consideration generally exists to support a mutual rescission, as each party is agreeing to give up the other's promised performance. A valid mutual rescission terminates the contract and discharges the parties' remaining duties. Of course, if each party agrees to discharge the other's remaining duties only partially, then this is a modification, not a rescission. [*See* Restatement (Second) of Contracts § 283, with comments; Modification, *supra*.]

**Note**: An agreement for mutual rescission presupposes that the original contract is executory—that is, that each party has material, unperformed obligations under the

original contract. Thus, if one party has fully performed, leaving no remaining duties, then the contract is not ***executory***, and there can be no valid agreement for mutual rescission. [*See* Restatement (Second) of Contracts § 283 cmt. a, illus. 2.]

*Example*:

A homeowner hired a painter to paint his house for $500. The painter began to paint the house but realized that full performance would require $600 in materials. Because the painter saw that the contract would cause him to lose money, he proposed rescinding the contract. If the homeowner accepted the painter's offer to rescind the contract, the painter could immediately cease performance, and the homeowner could avoid paying the $500. [*Adapted from* Restatement (Second) of Contracts § 283 cmt. a, illus. 1.]

*Compare*:

A homeowner hired a painter to paint his house for $500. After completing full performance, the painter said, "You do not have to pay me $500 for painting the house." The contract was not executory, because the painter had fully performed and thus ***had no remaining duties*** under the agreement. Accordingly, the original contract was not validly rescinded, and the homeowner remained obligated to pay the $500. [*Adapted from* Restatement (Second) of Contracts § 283 cmt. a, illus. 2.]

## 5. Release

A ***release*** occurs if ***one party*** agrees ***in writing*** to discharge a presently existing duty owed by the other party, either immediately or on the occurrence of a condition. Depending on the state, a release is valid to discharge a party's duties if it is (1) supported by consideration (or a consideration substitute, such as detrimental reliance) or (2) set forth in a signed writing. [*See* Restatement (Second) of Contracts § 284, with comments.]

*Example:*

A homeowner hired a painter to paint his house for $500. After completing full performance, the painter provided a signed document stating that, effective immediately, the homeowner did not have to pay the $500. By state statute, a written, signed release of contractual obligations needed no consideration to be effective. The ***written release*** discharged the homeowner's obligation to pay the painter.

## 6. Contract Not to Sue

A ***contract not to sue*** (sometimes called a covenant not to sue) exists if an obligee enters into a binding contract not to sue an obligor to enforce a duty. If the obligee promises

***never*** to sue, then the duty is discharged. If the obligee promises only to ***refrain*** from suing for a limited time, the duty is not altogether discharged, but a suit to enforce the duty is barred during the specified time. Generally, a contract not to sue is an independent contract and must meet the requirements of an enforceable contract, such as consideration. [*See* Restatement (Second) of Contracts § 285, with comments.]

# VII. Warranties, UCC Article 2

The sale of goods is often accompanied by a ***warranty***, which is an express or implied representation that the goods conform to a certain condition. Under UCC Article 2, there are three primary types of warranties: ***express*** warranties, implied warranties of ***merchantability***, and implied warranties of ***fitness for a particular purpose***. However, a seller may limit warranties through the use of ***disclaimers***. If the goods fail to conform to a warranty, then the seller is in breach.

## A. Express Warranty

In general, an ***express warranty*** is the seller's overt representation that the goods conform to certain specifications. The seller does not need to use any particular language, nor does the seller need to have the specific intent to create a warranty. Under UCC Article 2, an express warranty arises in one of three ways. [*See* U.C.C. § 2-313 (2002).]

### 1. Affirmation of Fact or Promise

If the seller puts forth an ***affirmation of fact*** or ***promise*** relating to the goods, whether within the contract or not, and the affirmation or promise forms part of the basis of the bargain, then there is an express warranty that the goods conform to the affirmation or promise. However, an affirmation of the goods' value or the seller's mere opinion or commendation of the goods does not create a warranty. Particularly, mere ***puffery***, or exaggerated sales talk, typically does ***not*** give rise to a warranty. [U.C.C. § 2-313(1)(a), (2) (2002).]

### 2. Description of the Goods

A ***description*** of the goods, whether appearing in the contract or not, creates an express warranty that the goods conform to the description if the description is part of the basis of the bargain. [U.C.C. § 2-313(1)(b) (2002).]

## 3. Sample or Model of the Goods

If any ***sample*** or ***model*** of the goods forms part of the basis of the bargain, then there is an express warranty that ***all*** of the goods will conform to the sample or model. [U.C.C. § 2-313(1)(c) (2002).]

## 4. Basis of the Bargain, Express Warranties

For purposes of express warranties, the term ***basis of the bargain*** means that the buyer relies on the affirmation, promise, description, sample, or model in deciding to purchase the goods. In general, an affirmation, promise, description, sample, or model of which the buyer is aware will be deemed part of the basis of the bargain, unless it is shown that the buyer knew that the goods would not conform to it before entering the contract. [*See Liberty Lincoln-Mercury Inc. v. Ford Motor Co.*, 171 F.3d 818 (3d Cir. 1999); *Overstreet v. Norden Labs., Inc.*, 669 F.2d 1286 (6th Cir. 1982).]

*Examples*:

(1) A jeweler described a diamond bracelet as "VVS grade" to a customer, who purchased the diamond bracelet based in part on the description. Even though the jeweler did not intend to create a warranty, the ***description*** created an ***express warranty*** that the diamond bracelet was VVS grade. The customer later discovered that the diamonds were a substantially lesser grade. The jeweler violated the express warranty. [*Adapted from Daughtrey v. Ashe*, 413 S.E.2d 336 (Va. 1992).]

(2) A printing center provided a sample book with white pages to a publishing company. Based in part on the sample, the publishing company ordered 5,000 books from the printing center. The ***sample*** created an ***express warranty*** that the delivered books would have white pages, even though the terms of the contract did not address the color of the pages. However, the printing center delivered 5,000 books with gray pages. The printing center violated the express warranty. [*Adapted from Printing Ctr. of Tex. v. Supermind Pub. Co.*, 669 S.W.2d 779 (Tex. App. 1984).]

*Compare*:

The owner of a horse barn offered to sell an interest in a stallion to a novice in the equine industry, opining that the stallion was "an all-around winning stallion" that was "capable of attaining national show titles again." Because the owner's ***mere puffery*** did not create an express warranty, the novice did not prevail on a claim that an express warranty had been violated, even though the stallion was suffering from chronic lameness and was incapable of participating in future shows. [*Adapted from Leal v. Holtvogt*, 702 N.E.2d 1246 (Ohio Ct. App. 1998).]

## B. Implied Warranty of Merchantability

If the seller is a merchant with respect to goods of the kind, then the UCC ***implies*** a ***warranty of merchantability***, regardless of the language of the contract. In general, goods are merchantable if they are ***fit for the ordinary purpose*** for which goods of the kind are used. More particularly, goods are merchantable if they:

- would pass without exception in the relevant trade;
- have quality that is fair and average within the description, if fungible;
- are of even kind, quality, and quantity (with contractually permitted variations) within and among all units;
- are contained, packaged, and labeled as the contract requires; and
- conform to any promises or affirmations on the container or label.

[*See* U.C.C. § 2-314 (2002).]

**Note**: In general, a product ***violates*** the implied warranty of merchantability if it is ***unreasonably dangerous*** due to a defect of the kind that would give rise to products liability in tort. This protection typically extends not only to the buyer, but also to other reasonably foreseeable users of the product, though in some jurisdictions it may be limited to the buyer and the buyer's relatives or household guests. [*See* U.C.C. § 2-318 (2002), with comments.]

*Example*:

A printing center entered into a contract to print 5,000 books for a publishing company. However, the delivered books were printed with off-center cover art, crooked and wrinkled pages, and inadequate perforation. Even though the contract did not expressly address the nonconformities, there was an implied warranty of merchantability that required the books to be ***fit for sale*** to the public. The printing center violated the implied warranty of merchantability. [*Adapted from Printing Ctr. of Tex. v. Supermind Pub. Co.*, 669 S.W.2d 779 (Tex. App. 1984).]

## C. Implied Warranty of Fitness for a Particular Purpose

Whether the seller is a merchant or not, UCC Article 2 ***implies*** a ***warranty of fitness for a particular purpose*** if, at the time of contracting, the seller either knows or has reason to know that the buyer (1) requires the goods for a particular purpose and (2) is relying on the seller's expertise or judgment to provide or choose goods suitable for that purpose. If the goods are not fit for that purpose, then the seller has breached the warranty. [*See* U.C.C. § 2-315 (2002).]

*Example*:

A boat owner visited a truck dealership to buy a truck capable of hauling his heavy sailboat. He explained this to a salesperson and asked the salesperson for advice about selecting a powerful truck to haul the sailboat, given the sailboat's dimensions and weight. The salesperson recommended an extremely expensive luxury truck and assured the boat owner that the truck would perfectly meet his needs. The boat owner relied on the salesperson's expertise and bought the truck. However, the boat owner learned after driving the truck home that the truck's engine was not strong enough to haul the sailboat more than very short distances. Even though the salesperson ***knew*** of the boat owner's ***reliance*** and ***particular purpose*** of buying a truck to haul his sailboat, the salesperson selected a truck that was not ***suitable*** for hauling sailboats. The salesperson violated the implied warranty of fitness for a particular purpose.

*Compare*:

A buyer wished to purchase a boat for the purpose of offshore fishing, which required traveling at a speed of 30 miles per hour. However, the buyer did not make this purpose known to the seller at any point. The buyer purchased a boat that was capable of traveling up to a maximum speed of only 13 miles per hour. Because the seller ***did not know*** that the buyer required a speed of 30 miles per hour, the seller did not violate the implied warranty of fitness for a particular purpose. [*Adapted from Bayliner Marine Corp. v. Crow*, 509 S.E.2d 499 (Va. 1999).]

## D. Modifying or Eliminating Warranties

Within limits, the parties may eliminate or modify (*i.e.*, disclaim in whole or in part) warranties under UCC Article 2.

### 1. Eliminating or Modifying an Express Warranty

It is extremely difficult to eliminate or modify an express warranty under UCC Article 2. In general, language or conduct tending to create an express warranty is construed, insofar as is reasonable, consistently with language or conduct tending to negate an express warranty. To the extent the two cannot reasonably be reconciled, the language or conduct tending to negate an express warranty is ineffective. The upshot is that an express warranty generally prevails over any language or conduct attempting to disclaim it. [*See* U.C.C. § 2-316(1) (2002); *Sierra Diesel Injection Serv., Inc. v. Burroughs Corp., Inc.*, 890 F.2d 108 (9th Cir. 1989).]

## 2. Disclaiming Implied Warranty of Merchantability

The implied warranty of merchantability may be disclaimed by language explicitly mentioning ***merchantability***. If the disclaimer is in writing, then the disclaimer must be ***conspicuous***. [U.C.C. § 2-316(2) (2002).]

### a. Conspicuous Disclaimer

In general, a disclaimer is conspicuous if it is prominently set apart from the text around it and included in a location the buyer is reasonably likely to see. Examples of conspicuous text include text in all capital letters, larger font than the surrounding text, and bolded font. [*See Stevenson v. TRW, Inc.*, 987 F.2d 288 (5th Cir. 1993).]

## 3. Disclaiming Implied Warranty of Fitness for a Particular Purpose

The implied warranty of fitness for a particular purpose may be disclaimed ***in writing***, provided the disclaimer is ***conspicuous***. [U.C.C. § 2-316(2) (2002).]

## 4. Language Sufficient to Disclaim Both Implied Warranties

Either the implied warranty of merchantability or the implied warranty of fitness for a particular purpose may be disclaimed by language such as "as is," "with all faults," or other language that, in general understanding, calls the buyer's attention to the fact that there are no implied warranties. [U.C.C. § 2-316(3)(a) (2002).]

## 5. Buyer's Opportunity to Examine as Eliminating Implied Warranties

The buyer may, before entering the contract, examine the goods as thoroughly as she cares to. Alternatively, she may refuse the seller's ***demand*** that she examine the goods. In either case, there is no ***implied*** warranty concerning any defect that an examination should have revealed to the buyer under the circumstances. [U.C.C. § 2-316(3)(b) cmt. 8 (2002).]

## 6. Disclaimer by Course of Dealing, Course of Performance, Usage of Trade

Implied warranties may be modified or excluded by the parties' course of dealing or course of performance, or from trade usage. [U.C.C. § 2-316(3)(c) (2002).]

## 7. Limiting Remedies for Breach of Warranty

Remedies for breach of warranty may generally be limited according to the UCC's general provisions on liquidating or limiting damages and on contractual remedy limitations. [U.C.C. §§ 2-316(4), 2-718, 2-719 (2002).]

# VIII. Third Party Rights and Duties

Generally, contractual rights and obligations are imposed only on the parties to the contract. Although most contracts are between two parties, a third party may become involved as a ***beneficiary***, ***assignee***, or ***delegatee***.

## A. Beneficiaries

A third-party beneficiary is a non-party to the contract who receives some advantage from the contract. In general, there are two types of beneficiaries: intended and incidental beneficiaries. [*See* Restatement (Second) of Contracts § 302 cmt. d, §§ 304, 311, 315.]

### 1. Intended Beneficiary

A beneficiary is ***intended*** if giving the beneficiary a right to performance is appropriate to carry out the parties' intent, and either (1) performance would satisfy some debt the obligee owes to the beneficiary (making the beneficiary a ***creditor beneficiary***) or (2) under the circumstances, it appears the obligee intends to give the beneficiary the benefit of the promised performance, even as a gift (making the beneficiary a ***donee beneficiary***). Put differently, if a reasonable person in the beneficiary's position could believe that the parties intended for her to have enforceable rights emanating from the contract, then the beneficiary is an intended beneficiary. [Restatement (Second) of Contracts §§ 302, 304, with comments; 17A Am. Jur. 2d *Contracts* § 426, Westlaw (database updated Aug. 2018).]

#### a. Intended Beneficiary's Rights

An intended beneficiary may enforce the obligor's duties under the contract just as the obligee could, subject to the same defenses the obligor could assert against the obligee. The obligor's duties to the obligee and the beneficiary are said to overlap—that is, satisfaction of the obligor's duty to the beneficiary generally also satisfies the obligor's duty to the obligee. In general, the parties may terminate or modify a duty to an intended beneficiary by later agreement. However, the parties may ***not*** do this without the beneficiary's consent if, before receiving notice of the termination or modification, the beneficiary has (1) foreseeably, reasonably, and detrimentally changed position in reliance on the promise; (2) brought litigation to enforce the promise; or (3) manifested assent to the promise in a manner the parties have invited. [*See* Restatement (Second) of Contracts § 311, with comments; 17A Am. Jur. 2d *Contracts* § 438, Westlaw (database updated Aug. 2018).]

*Example*:

A builder contracted with a landlord to design and construct a shopping center. The contract required the builder to adhere to a particular tenant's proposed construction schedule and to submit design drawings to the tenant for approval. These terms indicated that the builder and the landlord formed the contract to benefit the tenant. As an ***intended beneficiary***, the tenant could enforce the contract if the builder failed to adhere to the construction schedule or submit design drawings for approval. [*Adapted from KMART Corp. v. Balfour Beatty, Inc.*, 994 F. Supp. 634 (D.V.I. 1998).]

### 2. Incidental Beneficiary

An ***incidental beneficiary*** is someone who would receive some indirect benefit from the contract's performance but is neither a party to the contract nor an intended beneficiary. Unlike an intended beneficiary, an incidental beneficiary has ***no right*** to enforce the contract. [*See* Restatement (Second) of Contracts § 315 cmt. a; 17A Am. Jur. 2d *Contracts* § 426, Westlaw (database updated Aug. 2018).]

*Example*:

A landscaper agreed to design and plant an elaborate garden on a homeowner's land. One of the homeowner's neighbors learned that the value of his own land would be enhanced by the garden. However, the landscaper and the homeowner did not form the contract to benefit the neighbor. As an ***incidental beneficiary***, the neighbor could not enforce the contract if the landscaper breached it. [*Adapted from* Restatement (Second) of Contracts § 302 cmt. e, illus. 16.]

## B. Assignment

An ***assignment*** is not a contract, but rather a present transfer of contractual rights. That is, an obligee may transfer his contractual rights to a third party through assignment. Here, the obligee becomes the ***assignor***, and the third party becomes the ***assignee***. A valid assignment transfers, to the assignee, the assignor's right to performance from the obligor, so that only the assignee may enforce the right against the obligor. This right is subject to any defenses the obligor could establish against the assignor. [*See* Restatement (Second) of Contracts § 317, with comments; 29 *Williston on Contracts* § 74:47 (4th ed.).]

### 1. Method of Assignment

No particular form or language is required for an assignment. The assignor need only manifest present intent to fully transfer the contract rights to the assignee, without subjecting the transfer to any conditions or purporting to retain power to revoke it. The

assignee must accept the assignment. [*See Collier v. Greenbrier Developers, LLC*, 358 S.W.3d 195 (Tenn. Ct. App. 2009).]

## 2. Rights Assignable

Any contractual right may generally be assigned, with or without either a writing or the obligor's assent, unless the particular assignment would ***materially***:

- change the obligor's duty,
- increase the obligor's contractual burden or risk,
- impair the obligor's chance of obtaining return performance, or
- reduce the value of the assignor's return performance to the obligor.

[Restatement (Second) of Contracts §§ 317, 323 cmt. a.]

*Example*:

A news corporation acquired a television station. The acquisition contract assigned all of the television station's contractual rights to the news corporation, including the right to employ a news anchorman. Because the assignment did not alter the news anchorman's duties or risks in any ***material*** way, the right to employ the news anchorman was assignable. [*Adapted from Evening News Ass'n v. Peterson*, 477 F. Supp. 77 (D.D.C. 1979).]

*Compare*:

An aunt entered into a contract to support her nephew financially for the remainder of his life. However, the nephew attempted to assign his rights under the contract to his child. Because the assignment would materially ***change*** the aunt's duties and ***increase*** her burden under the contract (as the nephew's child would likely outlive the nephew by many years), the nephew's right to receive financial support was not assignable. [*Adapted from* Restatement (Second) of Contracts § 317 cmt. d, illus. 3.]

## 3. Irrevocability of Assignments for Value

Generally, an ***assignment for value*** is ***irrevocable***. An assignment for value is one made in exchange for consideration or as security for indebtedness. [*See* Restatement (Second) of Contracts § 322, with comments; *Doyle Equip. Co. v. Erickson of Johnstown, Inc. (In re Robert T. Noel Coal, Inc.)*, 82 B.R. 778 (Bankr. W.D. Pa. 1988); *Collier v. Greenbrier Developers, LLC*, 358 S.W.3d 195 (Tenn. Ct. App. 2009).]

### 4. Revocability of Gratuitous Assignments

A ***gratuitous assignment***, meaning an assignment given for no value, is typically ***revocable***, unless: (1) the obligor has already performed, or the assignee has obtained judgment against the obligor, making the assignment irrevocable to the extent of the performance or the judgment award; (2) the assignment is in a signed writing delivered to the assignee; (3) there has been delivery of a tangible thing, usually a document, symbolizing the assignment and representing the rights being assigned (*e.g.*, stock certificates or insurance policies); or (4) the assignee has reasonably, foreseeably, and detrimentally changed position in reliance on the assignment, making the assignment irrevocable to the extent needed to avoid injustice. [*See* Restatement (Second) of Contracts § 332.]

#### a. Gratuitous Assignments, How Revoked

A revocable gratuitous assignment may be revoked if the assignor (1) notifies either the assignee or obligor that the assignment is revoked; (2) accepts performance in the assignee's place, or (3) reassigns the right to someone else. An assignment may also be revoked by operation of law, such as upon the assignor's death or incapacity. [*See* Restatement (Second) of Contracts § 332.]

### 5. Contractual Language Forbidding Assignment

Contractual language forbidding assignment is generally valid, but courts tend to construe it very strictly.

#### a. Language Forbidding Assignment of "the Contract"

Absent clear contrary indication, if the contract prohibits assignment of "the contract," courts will construe the language to forbid only the assignor's ***delegation*** of any contractual duties to the assignee. The language will not be construed to forbid assignment of contractual rights. [*See* Restatement (Second) of Contracts § 322.]

#### b. Terms Forbidding Assignment of Contractual Rights

Absent clear contrary indication, if contractual terms purport to forbid assigning rights under the contract, any assignment in violation of the terms is valid. The obligor's remedy is limited to seeking damages for the assignment. [*See* Restatement (Second) of Contracts § 322.]

## C. Delegation

An obligor under a contract may arrange for a third party to perform the obligor's duties; this is ***delegation***. [*See Delegation of Duties*, *Black's Law Dictionary* (10th ed. 2014); Restatement (Second) of Contracts § 318.]

## 1. Delegation Terminology

For purposes of a delegation, the ***delegator*** is the obligor under the contract, who is arranging for the third party to perform her contractual duty. The ***delegatee*** is the third party to whom the duty is delegated by the delegator (obligor). The obligee is the other party to the contract with the delegator (obligor), to whom the performance is owed.

## 2. Contract between Delegator and Delegatee

Delegation does ***not*** require a contract between the delegator and the delegatee. Rather, all that is required is for the delegator and the delegatee to assent that the delegatee will perform the delegator's contractual obligations. However, practically speaking, there often is a separate contract between the delegator and the delegatee, in which the obligee is an intended beneficiary with a right of enforcement against the delegatee. [*See* Restatement (Second) of Contracts § 318 cmt. b.]

## 3. Effect of Delegation on Delegator's Obligations

Absent a novation, delegation does ***not*** relieve the delegator of liability under the contract. This is true even if the delegatee contractually agrees to assume the delegator's obligations. The effect of the assumption is to create a contract in which the obligee is, again, an intended beneficiary with a right of enforcement against the delegatee. [*See* Restatement (Second) of Contracts § 318, with comments; Novation: Substituted Party, *supra*.]

*Example*:

A borrower received a loan from a lender. After the lender delegated its duties under the loan agreement to a bank, the borrower requested funds from the lender under the terms of the agreement. The lender refused, arguing that any duties regarding the loan had been delegated to the bank. However, the delegation had ***not discharged*** the lender's duties. Because there was no novation, the lender, as delegator, remained liable under the terms of the original contract. Thus, the lender was still liable to the borrower regarding the provision of funds. [*See First Am. Commerce Co. v. Wash. Mut. Savs. Bank*, 743 P.2d 1193 (Utah 1987).]

## 4. Duties Delegable

In general, any contractual duty may be delegated. However, a duty is not delegable if (1) the contract clearly states that a specific person must perform, (2) performance requires substantial personal skill and discretion, or (3) there are other circumstances in which it is clear that the identity of the person rendering performance is a material part of the

obligee's bargained-for exchanged. [*See* Restatement (Second) of Contracts § 318, with comments.]

*Examples*:

(1) A singer contracted to perform three songs over the radio. Because the contract was for the exercise of a ***personal skill***, the singer could not delegate her duties to anyone else, even another competent singer. [*Adapted from* Restatement (Second) of Contracts § 318 cmt. c, illus. 6.]

(2) A beauty company acquired a barber-supply company. The acquisition contract delegated the barber-supply company's contractual duties to the beauty company, including the duty to distribute a manufacturer's hair-care products. However, the beauty company was owned by a major competitor of the manufacturer. Because the manufacturer had a ***substantial interest*** in avoiding performance by a subsidiary of a competitor, the duty to distribute the hair-care products was not delegable. [*See Sally Beauty Co. v. Nexxus Prods. Co.*, 801 F.2d 1001 (7th Cir. 1986).]

## D. Assignment and Delegation under UCC Article 2

In a contract for the sale of goods, the rules on assignment and delegation are substantially the same as under the common law. There are, however, a few additional nuances. [*See* U.C.C. § 2-210 (2002).]

### 1. General Assignment of All Contractual Rights

Under UCC Article 2, absent clear contrary indication, a general assignment of all contractual rights ***also*** operates as a delegation of all the assignor's duties under the contract. If the assignee accepts the assignment, then he is deemed to promise to perform those duties. Either the assignor or the obligee may enforce the implied promise against the assignee. [*See* U.C.C. § 2-210 (2002).]

### 2. Effect of Assignment Operating as a Delegation

If an assignment operates as a delegation, then this entitles the delegator's obligee to demand adequate assurances of performance. This, in turn, means that the delegator's failure to supply adequate assurance will amount to a repudiation of the contract. [*See* U.C.C. §§ 2-210(5), 2-609 (2002).]

# IX. Remedies

When one party breaches an enforceable contract, the other party will be entitled to a ***remedy*** based on the circumstances of the resulting loss or injustice. The court will typically award money damages (a legal remedy), one or more equitable remedies, or some combination of legal and equitable relief. [*See* Restatement (Second) of Contracts § 345, with comments.]

## A. Damages

Generally, an injured party is entitled to compensatory damages for the party's actual losses. The injured party may receive compensation in the form of ***expectation***, ***reliance***, or ***liquidated damages***, subject to certain limitations. A party entitled to expectation or reliance damages may also be entitled to recover ***incidental*** or, in more limited circumstances, ***consequential damages***. If the breach has not caused any losses that can be proven with reasonable certainty, then the injured party may receive only ***nominal damages*** (*i.e.*, a small sum of money). [*See* Restatement (Second) of Contracts ch. 16, topic 2, intro. note, §§ 346(2), 355.]

*Example*:

A shareholder agreed to sell 1,000 shares of stock to a friend at $10 per share. Although the shareholder refused to deliver the stock on the promised date, the friend could purchase the same stock at $10 per share from the stock market. The friend had not suffered any ***actual loss*** and was entitled only to ***nominal damages***, *e.g.*, $1. [*Adapted from* Restatement (Second) of Contracts § 346 cmt. b, illus. 1.]

### 1. Expectation Damages

***Expectation damages*** are intended to place the injured party in the position that she would have been in had the contract been fully performed. This form of damages recognizes that the injured party is entitled to the benefit of her bargain. The amount of compensation is equal to (1) the value of the performance that should have been rendered, (2) plus any incidental damages or recoverable consequential damages resulting from the breach, (3) minus any losses or costs that the injured party saved by not having to perform the contract. [*See* Restatement (Second) of Contracts §§ 344, 347; Incidental Damages, *infra*.]

*Example*:

A boy entered into a contract with a surgeon for the removal of scars from the boy's hand. The surgeon promised a perfectly normal hand but grafted skin from the boy's chest onto the scars, causing thick hair to grow on the hand. The boy was entitled to expectation damages equal to the difference between the value of a perfectly normal

hand and a hairy hand, as well as any incidental loss resulting from the breach. [*Adapted from Hawkins v. McGee*, 146 A. 641 (N.H. 1929).]

## a. Losses or Costs Saved

Losses or costs that the injured party saved by not having to perform are generally subtracted from the total damage award. These take many forms. For instance, the injured party may have allocated resources to perform the contract. If those resources are freed up due to the breach, and the injured party makes substitute arrangements for their use, the net profit of those arrangements is subtracted from the damage award. [Restatement (Second) of Contracts § 347, with comments.]

*Example*:

A laborer contracted with a farmer to harvest the farmer's crops for the upcoming season in exchange for $10,000. Just before the season started, the farmer breached the contract by firing the laborer. The laborer found substitute employment for the season, which paid $6,000. In calculating the laborer's expectation damages from the farmer's breach, the $6,000 the laborer earned through substitute employment will be subtracted from the $10,000 he would have earned working for the farmer. [*Adapted from* Restatement (Second) of Contracts § 347 cmt. e, illus. 13.]

### i. Lost-Volume Seller

If a buyer breaches a contract, and the seller is able to resell the goods from the breached contract to another buyer, the seller may still recover lost profits from the breaching buyer if the seller could have benefited from having both contracts. This is known as the ***lost-volume seller rule***, which typically applies to sellers who have large or limitless inventory to sell. [*See* U.C.C. § 2-708(2) (2002); Lost Profits, *infra*.]

## b. Incidental Damages

A party entitled to recover expectation damages may be entitled to recover ***incidental damages***, sometimes called general damages. Incidental damages are damages arising in the ***ordinary course of events*** from the breach, which the breaching party should reasonably expect or foresee the injured party to incur. These usually involve reasonable expenses the injured party incurs due to the breach, *e.g.*, costs associated with reasonable efforts to obtain substitute performance. [*See* Restatement (Second) of Contracts § 347, with comments and illustrations.]

*Example*:

A business contracted to hire a worker for one year but then repudiated the contract just before the worker was to start. In seeking substitute employment, the worker paid a $200 fee to a job-placement agency. The $200 constitutes incidental damages that the worker may recover in a breach-of-contract action against the business. [*Adapted from* Restatement (Second) of Contracts § 347 cmt. c, illus. 3.]

### c. Consequential Damages

In general, ***consequential damages*** are those arising not from the ordinary course of events due to the breach, but from ***special circumstances*** peculiar to the injured party. Consequential damages are not recoverable unless the breaching party had reason to know of the special circumstances. [*See* Restatement (Second) of Contracts § 351 cmt. a, illus. 1.]

*Example*:

A miller contracted with a shipper to transport the miller's crankshaft to the manufacturer for repairs. The shipper knew that the crankshaft was part of the mill machine. The shipper did not have any reason to know that this particular crankshaft was the only one the miller had, which meant the mill could not operate while the crankshaft was away. The shipper delayed transporting the crankshaft, making the mill inoperable and costing the miller substantial profits. The lost profits were consequential damages that the miller could ***not*** recover. The loss arose from circumstances peculiar to the miller, of which the shipper had no reason to know. [*Adapted from* Restatement (Second) of Contracts § 351 cmt. a, illus. 1.]

## 2. Reliance Damages

***Reliance damages*** are intended to place the injured party in the position that she would have occupied ***had the contract never been made***. This form of damages often serves as an alternative to expectation damages if (1) the injured party's expectation damages are too speculative to measure or prove with reasonable certainty or (2) the injured party would not have profited at all from the contract. Reliance damages are equal to the injured party's ***expenditures*** in performing or anticipation of performance, ***less*** (1) any ***loss*** the injured party would have sustained on the contract, provided the breaching party can prove it with reasonable certainty, and (2) any ***value*** the injured party has obtained as a result of the expenditures (*e.g.*, reselling or reallocating materials purchased or allocated to perform the contract). [*See* Restatement (Second) of Contracts § 349, with comments and illustrations; 22 Am. Jur. 2d *Damages* §§ 62-63, 65, Westlaw (database updated Aug. 2018).]

*Examples*:

(1) A corporation agreed to allow a franchisee to sell the corporation's radios. However, the corporation subsequently refused to deliver any radios to the franchisee. At the time of the breach, the franchisee had already employed salesmen and solicited orders for the radios. Because the franchisee ***incurred expenses in reliance*** on the contract, the franchisee was entitled to reliance damages. [*See Goodman v. Dicker*, 169 F.2d 684 (D.C. Cir. 1948).]

(2) A producer entered into a contract with a theater to stage a musical and divide the profits. After the producer had already spent $5,000 on set construction and costume design, the theater decided to stage an opera instead of the musical. The producer sued for breach. At trial, the theater proved that the producer ***expected to lose*** $1,000 from the contract. Thus, the producer was only entitled to $4,000 in reliance damages. [*Adapted from* Restatement (Second) of Contracts § 349 cmt. a, illus. 2.]

## 3. Liquidated Damages

***Liquidated damages*** are a fixed measure of damages for breach set forth in the terms of the contract. Liquidated-damages provisions are generally enforceable, but only if the amount is reasonable, considering (1) the actual or anticipated loss resulting from the breach and (2) any difficulties in proving the amount of loss. By contrast, ***penalties*** are unenforceable. A liquidated-damages provision is unenforceable as a penalty if it is so unreasonably large that it was apparently meant to ***punish*** the breach, not just to compensate for it. [*See* Restatement (Second) of Contracts § 356 cmt. *a; Liquidated Damages*, *Black's Law Dictionary* (10th ed. 2014).]

*Example*:

A general manager agreed to work for a hotel for three years. The employment contract provided that the ***liquidated damages*** for early termination would be the general manager's entire remaining salary. After a year, the hotel terminated the general manager. The hotel could not prove that the liquidated damages were disproportionate to the actual loss resulting from the early termination. Thus, the provision for liquidated damages was enforceable. [*Adapted from Wassenaar v. Towne Hotel*, 331 N.W.2d 357 (Wis. 1983).]

*Compare*:

A comedian agreed to perform at a theater. The contract provided that the liquidated damages for any full or partial breach of the agreement would be £1,000. However, the provision for liquidated damages was unreasonable because it applied to even minor

breaches inflicting, at most, trivial losses. Thus, the amount of £1,000 was an ***unenforceable penalty***. [*See Kemble v. Farren*, 130 Eng. Rep. 1234 (1829).]

### 4. Avoidable Losses

The injured party may not recover damages for a loss that was ***avoidable*** without undue risk, burden, or humiliation. This is also known as the ***duty to mitigate loss***. Note that the injured party is not precluded from recovery if she makes ***reasonable efforts*** to avoid loss, even if those efforts are unsuccessful. [*See* Restatement (Second) of Contracts § 350, with comments and illustrations.]

*Example*:

A board of commissioners hired a company to build a bridge but subsequently refused to honor the contract. At the time of the breach, the company had already spent $1,900 on labor and materials. The company continued to build the bridge after the breach, incurring a total cost of $18,300. Because the company violated the ***duty to mitigate loss*** by continuing work even after it knew the other party had breached, the company was entitled only to lost profits and the $1,900 in damages that were incurred ***before*** the breach. [*See Rockingham Cty. v. Luten Bridge Co.*, 35 F.2d 301 (4th Cir. 1929).]

*Compare*:

An actress entered into a contract with a film corporation for the lead role in a movie. However, the film corporation decided not to produce the movie and instead offered the actress the lead role in an alternate movie. Although the compensation would have been identical, the alternate movie was a ***significantly different*** production and constituted an offer of inferior employment. The actress could refuse the role in the alternate movie without violating the duty to mitigate loss. [*See Parker v. Twentieth Century-Fox Film Corp.*, 474 P.2d 689 (Cal. 1970).]

## B. Restitution or Quasi-Contract

***Restitution*** is a remedy, usually monetary, intended to prevent ***unjust enrichment***. Restitution may be awarded even if there is no enforceable contract, though a party to an enforceable contract (whether in breach or not) may generally seek restitution. [*See* Restatement (Second) of Contracts §§ 370-74, with comments and illustrations.]

### 1. Unjust Enrichment

Unjust enrichment arises if (1) one party confers a ***benefit*** on another party, and (2) under the circumstances, it would be ***unfair*** to permit the other party to retain the benefit

without compensation—usually because the other party knew or had reason to know that the party conferring the benefit reasonably expected compensation (*i.e.*, usually, the benefit was not intended to be a gift). [*See Unjust Enrichment*, *Black's Law Dictionary* (10th ed. 2014).]

## 2. Measure of Recovery in Restitution

In restitution, the general measure of recovery is the ***value of the benefit conferred*** on the recipient, ***not*** the loss to the party seeking restitution. Thus, for instance, the party seeking restitution cannot generally recover for mere expenditures in preparation to perform under a contract, except to the extent those expenditures ***benefitted*** the other party. The value of the benefit conferred is generally either (1) the value of what the recipient got, measured by what it would cost for her to obtain the equivalent from a person in the position of the party seeking restitution or (2) if applicable, the extent to which the recipient's property has increased in value or the recipient's other interests have been enriched. [*See* Restatement (Second) of Contracts § 371, cmt. a.]

## 3. Existence or Nonexistence of Enforceable Contract

If there has been unjust enrichment, then the injured party is entitled to restitution whether there is an enforceable agreement or not. Most often, restitution is invoked to obtain a remedy if the party seeking restitution cannot enforce a contract. For instance, the contract may be unenforceable on statute-of-frauds grounds or grounds of duress. [*See* Restatement (Second) of Contracts §§ 373, 375-76, with comments.]

### a. Restitution for Injured Party If Contract Has Been Breached

If an enforceable contract has been breached, the injured party may seek restitution as an ***alternative*** to expectation or reliance damages. Though this is rare, restitution occasionally affords higher recovery than an award of expectation or reliance damages would. For the injured party to seek restitution as an alternative, there must have been a ***total breach*** by a complete failure of performance or a repudiation. This means that part performance by the breaching party generally precludes restitution for the injured party. Additionally, the injured party is not entitled to restitution if (1) the injured party has fully performed and (2) the breaching party's only remaining obligation is to pay a definite sum of money for the performance. [*See* Restatement (Second) of Contracts § 373 cmt. a.]

### b. Restitution for Party Who Has Breached a Contract

If one party has breached the contract in a manner giving the other party the right to terminate performance, the breaching party is entitled to restitution, but only to the

extent that the value of the benefit conferred on the injured party ***exceeds*** the losses arising from the breach. [*See* Restatement (Second) of Contracts § 374 cmt. a.]

## 4. Quasi-Contract

Restitution is often referred to as ***quasi-contract***. It is sometimes said that even if there is not an enforceable contract, the law will imply a contract for the recipient of a benefit to make just restitution to the party who conferred the benefit. However, some authorities distinguish between restitution and quasi-contract on the basis that restitution requires some fault or wrongdoing by the recipient, and quasi-contract does not. In those jurisdictions, ***restitution***, as used in this outline, should be read to reference quasi-contract. [*See* 66 Am. Jur. 2d *Restitution and Implied Contracts* §§ 9-10, Westlaw (database updated Aug. 2018).]

## 5. Specific Performance

Specific performance is an equitable remedy in which a court orders the breaching party to ***perform the party's contractual duty***, rather than to pay damages. This type of order is usually appropriate only if the contract involves a ***unique*** performance for which a substitute performance cannot feasibly be procured, such that ***monetary damages are inadequate***. Relevant factors include (1) the difficulty of proving damages or obtaining substitute performance with money and (2) whether a damages award would likely be successfully collected. In particular, a parcel of land is almost always considered unique. Thus, courts will typically order specific performance in the event of a breach by the ***seller*** in a land-sale contract. [*See* Restatement (Second) of Contracts §§ 357, 360, 367, with comments.]

*Example*:

A contract for the sale of a stereo system provided that the seller had the option of repurchasing the stereo system, which was designed and built by the seller over a period of 15 years and could not be replaced. However, the buyer refused to return the stereo system when the seller attempted to exercise the option. Due to the ***unique and sentimental value*** of the stereo system, an award of damages would have been inadequate. The seller was entitled to specific performance for the return of the stereo system from the buyer. [*Adapted from Cumbest v. Harris*, 363 So. 2d 294 (Miss. 1978).]

### a. Contract for Personal Services

Courts generally will ***not*** award specific performance if the contract is one for ***personal services***, such as acting or singing, especially if doing so would (1) force antagonistic parties to continue associating, (2) require ongoing supervision, or (3) impose what

seems like involuntary servitude. [*See* Restatement (Second) of Contracts § 367, with comments.]

*Example*:

An opera singer contracted to sing exclusively at an opera house for three months. However, the opera singer arranged to sing at a competing opera house after a month. Although ***damages are inadequate***, the opera house is ***not entitled to specific performance*** for a personal service such as singing. [*Adapted from* Restatement (Second) of Contracts § 367 cmt. b, illus. 1.]

### b. Other Limitations on Specific Performance

Courts generally will not award specific performance if (1) doing so would cause unreasonable hardship to the breaching party or any third party, (2) the contract's terms are unfair, or (3) the party seeking specific performance has breached the contract severely enough that the other party has a right to terminate performance. [*See* Restatement (Second) of Contracts §§ 364, 369, with comments.]

## 6. Injunction

Specific performance orders a breaching party to perform under a contract. An ***injunction***, by contrast, ***forbids*** a party from ***breaching*** a contract. Often, the result is the same, whether the relief is labeled specific performance or an injunction. An injunction may be ordered if (1) the contractual duty is solely to forbear from taking some action or (2) specific performance would not be ordered solely due to practical considerations, such as difficulties associated with supervising ongoing performance. In that event, rather than ordering a party to perform, a court may forbid a party from acting inconsistently with a contractual duty. [*See* Restatement (Second) of Contracts § 357(2) cmt. b.]

*Examples*:

(1) Three veterinarians formed a partnership to practice veterinary medicine in a town. The contract provided that any partner who left the partnership could not practice in the same town for three years. Eventually, one of the veterinarians left the partnership and immediately began to practice in the same town. The remaining two veterinarians were entitled to an injunction that directly enforced the third veterinarian's ***duty to forbear*** by requiring the veterinarian to refrain from practicing in the same town. [*Adapted from* Restatement (Second) of Contracts § 357 cmt. b, illus. 2.]

(2) A retail store contracted to sell a designer's dress patterns exclusively for a year. After a few months, however, the retail store began to sell a competing designer's dress

patterns. The designer was entitled to an injunction that indirectly enforced the retail store's ***duty to perform*** by requiring the retail store to refrain from selling the competing designer's dress patterns. [*Adapted from* Restatement (Second) of Contracts § 357 cmt. b, illus. 4 (1981).]

# X. Remedies, UCC

Article 2 of the UCC contains many specific provisions affording various remedies if a party to a contract for the sale of goods commits a breach.

## A. Buyer's Remedies

Upon any breach by the seller, the buyer may, with respect to the impacted goods (or with respect to the whole contract, if the breach materially impairs the value of the whole contract) (1) ***recover*** as much of the purchase price as the buyer has paid, (2) ***cancel*** the contract, and (3) ***elect*** other remedies as appropriate. [*See* U.C.C. § 2-711 (2002).]

### 1. Buyer's Damages for Nondelivery or Repudiation

If (1) the seller fails to make delivery, (2) the buyer rightly rejects the goods or revokes acceptance, or (3) the seller repudiates the contract, then the general measure of the ***buyer's damages*** is (1) the ***difference*** between the ***market price*** at the time the buyer learned of the breach and the ***contract price***, plus (2) ***incidental damages*** (relating to caring for the goods, inspecting the goods, and other expenses directly caused by the breach) and (3) ***consequential damages*** (provided the seller had reason to know about the special circumstances at contracting, and cover or other means could not reasonably prevent the loss), but ***less*** (4) ***expenses*** saved in consequence of the seller's breach. Here, market price is determined with reference to the place of tender or, in a case of rejection after arrival or revocation of acceptance, the place of arrival. [U.C.C. §§ 2-713, 2-715 (2002).]

### 2. Buyer's Damages for Accepted, Nonconforming Goods

If the buyer has accepted nonconforming goods, then the buyer may recover the difference, at the time and place of acceptance, between the value of the goods received and the value the goods would have had, if they had conformed to the contract. The buyer may, if appropriate, also recover incidental and consequential damages. [U.C.C. § 2-714 (2002).]

### 3. Buyer's Right to Specific Performance

The buyer may obtain specific performance if the goods are ***unique*** or in other proper circumstances. In general, the goods are unique if they are peculiarly scarce, so that the buyer could not feasibly obtain them from a source other than the seller. Other proper circumstances generally exist if the right to cover or the buyer's other general remedies would be inadequate to make the buyer whole. [*See* U.C.C. § 2-716 (2002); 71 Am. Jur. 2d *Specific Performance* § 172, Westlaw (database updated Aug. 2018).]

### 4. Buyer's Right to Cover

Upon any breach by the seller, the buyer ***may***, in good faith and within a reasonable time, make a reasonable purchase of or contract to purchase substitute goods. This is called the buyer's right to ***cover***. If the buyer does this, then she may recover from the seller (1) the difference between the cost of the purchase and the contract price, (2) incidental damages (including expenses associated with caring for the goods or exercising the right to cover), (3) consequential damages (provided the seller had reason to know about the special circumstances at contracting, and cover or other means could not reasonably prevent the loss), and (4) personal injury or property damage arising from breach of warranty, but less (5) expenses saved in consequence of the seller's breach. [U.C.C. §§ 2-712, 2-715 (2002).]

**Note**: The buyer is not required to cover or attempt to cover. The buyer may avail herself of other remedies, even if she elects not to cover. [U.C.C. § 2-712 (2002).]

## B. Seller's Remedies Generally

Generally, a buyer breaches a contract for the sale of goods by (1) wrongfully rejecting or revoking acceptance of goods, (2) repudiating the contract, or (3) failing to make a payment when due. Upon the buyer's breach, the seller may exercise varying remedies, depending on the circumstances. If the buyer breaches with respect to only some of the goods, then the seller's remedies apply only to those goods. If the buyer breaches the entire contract, then the seller may invoke its remedies with respect to the whole contract. [*See* U.C.C. § 2-703 (2002).]

**Note**: Under UCC Article 2, a seller is ***not*** entitled to consequential damages.

### 1. Withhold Delivery

If the buyer breaches, the seller may generally ***withhold delivery*** of undelivered goods. [*See* U.C.C. § 2-703 (2002).]

## 2. Stop Delivery

If goods are in possession of a shipper and in transit to the buyer, the seller may ***stop delivery*** of the goods if the buyer is insolvent. The seller may stop delivery of a large shipment of freight, such as a planeload, if the buyer repudiates or fails to make a payment due on or before delivery of the goods, or if the seller for any reason has a right to reclaim or withhold the goods. However, the seller may not stop delivery if the goods have been delivered to the buyer or the buyer's designated recipient. [*See* U.C.C. § 2-705 (2002).]

## 3. General Measure of Seller's Damages

If the buyer repudiates the contract or wrongfully refuses to accept the goods, then the general measure of the seller's damages is (1) the difference between the market price for the goods at the time and place of tender and the unpaid contract price, plus (2) incidental damages, less (3) any losses or costs saved due to the breach. [*See* U.C.C. § 2-708 (2002).]

## 4. Seller's Right to Resell and Recover

If the buyer breaches the contract or becomes insolvent, the seller ***may*** resell the goods or their undelivered balance. Provided the seller does so in good faith and in a commercially reasonable fashion, the seller may recover (1) the difference between the resale price and the contract price and (2) incidental damages arising from the buyer's breach (*e.g.*, charges associated with stopping delivery, reclaiming the goods, preparing the goods for resale, and caring for the goods), less (3) any losses or costs saved due to the breach. The seller will need to meet specific requirements, depending on whether the sale is public or private. [*See* U.C.C. §§ 2-706, 2-710 (2002).]

### a. Commercially Reasonable Manner

Generally, a resale is done in a ***commercially reasonable manner*** if done with reasonable diligence and pursuant to an arm's length transaction reasonably calculated under the circumstances to optimize the sale price. [*See Ashby Enters., Ltd. v. Petters Co., Inc. (In re Ashby Enters., Ltd.)*, 262 B.R. 905 (Bankr. D. Md. 2001); *Elephant Butte Resort Marina, Inc. v. Woolridge*, 694 P.2d 1351 (N.M. 1985).]

## 5. Seller's Action for the Price

A seller may be able to recover the full contract price if the buyer has failed to pay the price when due. In addition, one of three requirements must also be satisfied: (1) the goods have been accepted, and acceptance has not been rightfully revoked; (2) the goods conform to the contract and have been lost or destroyed within a commercially

reasonable time after the risk of loss has passed to the buyer; or (3) the goods are specifically identified, and either the seller cannot resell them at a reasonable price after a reasonable effort, or the circumstances reasonably indicate that any efforts to do so would not be availing. [*See* U.C.C. §§ 2-509, 2-709 (2002).]

### a. Risk of Loss, General Rule

Unless a specific UCC rule or the contract provides otherwise, risk of loss passes to the buyer when the buyer receives the goods. [*See* U.C.C. § 2-509(3) (2002).]

### b. Risk of Loss, Goods to be Shipped by Carrier, No Particular Destination

If the contract requires the seller to deliver the goods by carrier and does not require delivery at a particular destination, the risk of loss generally passes to the buyer when the goods are properly delivered to the carrier. The contract may alter this rule. [U.C.C. § 2-509(1)(a) (2002).]

### c. Risk of Loss, Goods to be Shipped by Carrier to a Particular Destination

If the contract requires the seller to deliver the goods by carrier at a particular destination, the risk of loss passes to the buyer when the goods are tendered to the buyer at that destination, so that the buyer is able to take delivery. The contract may alter this rule. [U.C.C. § 2-509(1)(b) (2002).]

### d. Risk of Loss, Goods to be Delivered by Third Party Without Movement

If a third party (*e.g.*, a warehouseman or similar bailee) holds the goods, and the goods are to be delivered without being moved, the risk of loss passes to the buyer once (1) the third party receives a bill of lading, warehouse receipt, dock warrant, dock receipt, or similar negotiable document of title covering the goods; (2) the third party receives written direction to deliver the goods to the buyer, provided the buyer does not object within a reasonable time; or (3) the third party acknowledges the buyer's right to possess the goods. The contract may alter this rule. [U.C.C. §§ 2-509(2), 2-503(4), 1-201(b)(16) (2002).]

### e. Risk of Loss, Breach of Contract

If the goods fail to conform to the contract, giving the buyer the right to reject them, then the risk of loss remains on the seller until (1) the nonconformity is cured or (2) the buyer accepts the goods. However, if the buyer rightly revokes acceptance, then the buyer may treat the risk of loss as having always been on the seller. If the buyer repudiates or breaches the contract as to goods identified to the contract, and the risk of loss has not yet passed to the buyer, then the seller may treat the risk of loss as

resting on the buyer for a commercially reasonable time (insofar as the seller's insurance coverage proves inadequate). [*See* U.C.C. § 2-510 (2002).]

## 6. Lost Profits

Sometimes, the seller's right to recover the market differential or resell the goods is inadequate to put the seller in as good a position as it would have occupied had the buyer performed. This is often the case if, but for the breach, the seller is a so-called ***lost-volume seller***. A lost-volume seller is one who could have made two sales (one including the aborted sale to the breaching buyer) and profited from both. In that event, the seller may elect to recover ***lost profits*** on the sale to the breaching buyer. The general requirements for lost-volume-seller treatment are that (1) the seller had the capacity to supply multiple buyers at once (often, the seller's supply exceeds demand, such that the seller could satisfy any number of buyers), (2) the sale to a buyer other than the breaching buyer would have been profitable, and (3) a second sale would have been consummated with or without the breach. [*See generally* Alex Devience, Jr., *Recovering Lost Profits under the UCC: An Analysis*, 79 Ill. B.J. 238 (May 1991); 67A Am. Jur. 2d *Sales* § 969, Westlaw (database updated Aug. 2018); U.C.C. § 2-708(2) (2002).]